



CITY OF HENDERSON

NORTH CAROLINA

FY 2022-2023

APPROVED BUDGET

JUNE 13, 2022

*Prepared by The Offices of:
The City Manager &
Finance Department*

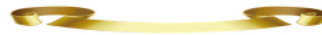
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**City of
Henderson, North Carolina**

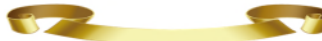
Mayor and City Council



Eddie Ellington
Mayor

William Burnette
Sara M. Coffey
Garry D. Daeke
Melissa Elliott

D. Michael Rainey
Jason A. Spriggs
Ola Thorpe-Cooper
Marion B. Williams



Leadership Team

Edward Blackmon
City Manager

Marcus Barrow, Police Chief
Shay Bennett, Customer Service Manager
Steve Cordell, Fire Chief
Joey Fuqua, Finance Director
Elgin Lane, Human Resources Director
Christy Lipscomb, Regional Water & Water Reclamation Plant Director
Tracy Madigan, Downtown Development Manager
Esther J. McCrackin, City Clerk
Andy Perkinson, Public Works Director
Paylor Spruill, Assistant City Manager
Vacant, City Engineer
Vacant, IT Administrator
Kendrick Vann, Recreation & Parks Director
Corey Williams, Development Services Director

D. Rix Edwards, City Attorney



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www.henderson.nc.gov
May 2022

The Honorable Mayor Eddie Ellington

Mayor Pro-Tem Sara Coffey
Council Member William Burnette
Council Member Garry Daeke
Council Member Melissa Elliott

Council Member D. Michael Rainey
Council Member Jason Spriggs
Council Member Ola Thorpe-Cooper
Council Member Marion Williams

Presentation and Consideration of the FY 2022-2023 Recommended Budget

Ladies and Gentlemen:

In accordance with the Henderson City Charter and the Statutes of the State of North Carolina, the FY 2022-23 Recommended Budget is herewith submitted to the City Council for its review, deliberation, amendments and adjustments as deemed appropriate, and adoption prior to July 1st. The City Administration looks forward to working with the Mayor and members of City Council on the budget during the next several weeks, and helping it achieve a spending plan which addresses the needs and aspirations of both the community and municipal organization.

OVERVIEW

State law requires localities adopt and operate within a balanced budget at all times. To that end, revenues have shown some growth, but continue to be projected in a conservative manner and expenditures have been limited to capital needs. Revenues in the Enterprise Funds continue to remain stable and there have been increases in real and personal property values. FY 21 collections trended up and FY 22 is pacing ahead of last year which positively affects the General Fund projected tax revenue.

Many projects have reached completion and other initiatives such as the outdoor pavilion are in the construction phase which will further our goals for downtown development.

With the COVID-19 virus largely behind us, the City can continue to seek every opportunity to strengthen our economic base.

GENERAL FUND

The General Fund recommended budget for FY 2022-23 is \$22,688,450.

Revenues

- Personal property and real property tax is gaining value, and signs of new growth are taking shape. The tax rate is recommended to remain at .712 per \$100 of property value.
 - 2021 City Value (property, personal, utilities, and gap) -\$827,167,890
 - 2022 City Value (property, personal, utilities, and gap) -839,213,376
- The tax collection rate reported in our FY 21 increased to 97.59% from the previous year of 95.78% and collections for FY 22 are tracking ahead of last year.
- Revenues from sales tax and other hold harmless taxes have continued to surpass previous year's marks despite the period of time attributable to the COVID virus.
- Appropriation of \$1,675,000 of Fund Balance. This is a considerable reduction from what was originally recommended last fiscal year due to the availability of ARPA funds used to balance the budget. Per the City's 2021 audit, the fund balance remained sound and well above the minimum requirements as set by the Local Government Commission (LGC).
- As part of the budget process, no changes in the schedule of fees and revenues are expected for FY 23.
- Provided that the City will eventually establish a storm-water utility fee, this will help fund much needed stormwater infrastructure projects for future budgets.

Highlights on the expenditure side of the General Fund are as follows:

- With the appropriation of ARPA funds, CIP/Redevelopment initiatives can receive a priority focus for the City where \$2,476,000 has been earmarked for a variety of paving, building renovations, and redevelopment pursuits.

- The Police Department law enforcement officers currently receive a 5.0% 401-K match as mandated by state law. Salary enhancements have been put into place to improve retention and longevity.
- Downtown Development Commission (DDC) - \$25,000 is proposed to pay for continued funding of downtown development incentives and grants.
- Capital outlay of equipment in the Police Department and Fire Department is a combination of loan purchase and outright purchase:
- Police Department — replacement vehicles — to be loan purchased over a five- year period with the first payment due in FY 24. Radios, computers, and vehicle upfit items are budgeted for equipment.
- Information Technology — Cyber security/data storage.
- Fire Department – New fire engine.
- Development Services - UDO
- Public Works – HVAC replacement and ice machine (shared).
- Recreation – HVAC replacement.
- Water Reclamation – Pump/SCADA IT
- Sewer Collection – HVAC replacement and ice machine (shared).
- Includes funding of \$100,000 for Economic Development Incentive grants due to existing agreements with M R Williams, North Central Medical Transport, and MAKO Laboratory.
- Funding for outside local agencies such as Crime Stoppers, Boys and Girls Club and Arts Council matches FY 21 levels.

REGIONAL WATER

The Regional Water Fund Budget is proposed at \$5,312,490; a slight increase from the current year budget. Regional Water production has remained steady throughout the past fiscal year.

Expense highlights are as follows:

- No rate increase is proposed.
- Funds in the amount of \$1,850,000 will be placed in Regional Water Reserve.
- Capital Outlay in the total amount of \$107,000 for lab work and pumps.

WATER FUND

The Water Fund budget is proposed at \$7,530,571 which is a slight decrease from the past year. Highlights of the Water Fund are as follows:

- No rate increase is proposed.
- Capital Outlay — (Water) HVAC replacement and ice machine shared with Sewer and Public Works.

SEWER FUND

The Sewer Fund budget is proposed at \$5,567,907 which is a slight increase from the past year. No use of Rate Stabilization funds is proposed to be used this year.

Some highlights of the expense side include funding for the following:

- No rate increase is proposed.
- Capital outlay for replacement pumps and SCADA IT software, HVAC replacement and ice machine (shared).

EMPLOYEE PAY AND OTHER BENEFITS CONSIDERED IN THE FY 22 BUDGET:

Personnel - Salaries and wages continue to be a major concern for the City in many departments as we must find ways to increase our competitiveness to hire and retain the best staff.

Health insurance — The City maintains its association with insurance broker, Mark III, as negotiations continue to establish the FY 23 benefits.

Proposed Monthly Premium of \$632.87 per Employee with \$5,000 deductible – With an increase in our HRA offering from up to \$1,000 (after \$2,000 met) to up to \$1,500 (after \$3,500 met) due to an increase in deductible.

Worker's Compensation - The City has received an estimated premium for Worker's Compensation insurance rates from the League of Municipalities which represents a decrease from last year and lower than what has been initially budgeted.

Debt — Other than the KLRW plant upgrade, which will increase the debt service in the future, and current long-term projects already forecasted for years to come, no other major projects have been added to our debt facility. Capital outlay loans will reduce this year with another significant retirement of debt in FY 23.

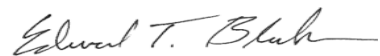
Combining all funds, this represents a combined budget of \$43,747,353. Whereas not all needs are met, as in most budgets, I believe this budget represents further positive steps in areas not funded previously which will help the City continue to grow and reach its full potential. We must continue to work towards innovative ways to promote and energize redevelopment initiatives now to position the City to be ready for near-future business prospects and citizenship.

Again, I appreciate the opportunity to work for the City of Henderson in providing a high level of service that our citizens deserve and look forward to working with the staff in carrying out the necessary work to ensure that our goals are realized as outlined in the Strategic Plan.

I want to take this opportunity to especially thank our Finance department staff. I am extremely grateful in the team's efforts in putting this budget together as well as the cooperation of the Department Directors.

I welcome your suggestions and comments as we prepare for our Budget Hearing as well as upcoming meetings, as needed, to discuss this proposed budget.

Sincerely,



Terrell Blackmon, City Manager
City of Henderson

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Strategic Plan



2022-2024



Elected Officials

Eddie Ellington, Mayor

Sara M. Coffey, Mayor Pro-Tem

Marion Brodie Williams

D. Michael Rainey

William Burnette

Garry D. Daeke

Melissa Elliott

Ola Thorpe-Cooper

Jason A. Spriggs

E. Terrell Blackmon, City Manager

Paylor Spruill, Assistant City Manager



Executive Summary

The purpose of this strategic plan is to provide a framework, overall direction, and specific guidance to the city staff.

The city council of the City of Henderson, with support from staff, held a strategic planning board retreat on February 24 and 25, 2022. Chris Aycock, President of The Aycock Group, was engaged to facilitate the strategic planning process and create this strategic planning document.

First, the city manager presented a report on “the state of the city.” Secondly, the department heads presented valuable information. Then the city council completed a SWOT (analysis of external opportunities and threats, and internal analysis of strengths and weaknesses).

Based on this foundation, the city council established four priorities. Priorities are not listed in order of importance.

Priority 1. Improve the perception of the city.

Priority 2. Attract and retain employees with a focus on succession planning.

Priority 3. Encourage housing stock that is diverse, safe, and affordable.

Priority 4. Promote economic development/develop and revitalize downtown.

The city council developed specific objectives for each of the four priorities to provide guidance and specific direction on how these priorities should be addressed. These are included in this strategic plan.

The city council will formally monitor this strategic plan quarterly at board meetings and update this strategic plan in 2023.

The city council of The City of City of Henderson values continuous improvement, investing in their staff, and actively listening to their citizens. They proudly seek to serve the needs, opportunities, and desires of the people of their great city.



The Strategic Plan

The priorities are not listed in order of importance.

Priority 1 Improve the perception of the city.

- Objective 1A: The city manager will present manpower options to the city council for a specific person (internally or on contract) to coordinate the methods, and partnerships needed to remove litter (budget process, Feb.--June 2022).
- Objective 1B: Collaborate with The Henderson-Vance County Chamber of Commerce on enhancing the attractiveness of the city including removing litter. The city manager and council members will meet with The Chamber of Commerce (by the end of April 2022).
- Objective 1C Enhance the safety and beauty of the city.
- Increase the police presence in high crime areas. In addition, encourage the use of community watch.
 - Place slow down road signs on identified streets by 6/30/23.
 - Encourage youth groups, schools, churches, and others to participate in the beautification of their city.
 - Partner more effectively with the Vance County Sheriff's Office.
- Objective 1D: Each council member will hold quarterly ward meetings.
- Objective 1E: Complete the beautification of the entry ways to the city around North Carolina Highway 39 and by Raleigh Road by 6/30/24.

Priority 2. Attract and retain employees and focus on succession planning.

- Objective 2A: The city manager will evaluate the feasibility of using funds from The American Rescue Plan (ARP) for employee compensation. The city manager will present his recommendations to the city council by 6/30/22.
- Objective 2B: Develop options for flexible hours, incentives, internships, open houses, and professional development plans. The manger will present options to the city council by 6/30/23.
- Objective 2C: Benchmark methods other cities and counties are using to attract and retain employees and promote succession planning.



Objective 2D: Review and update the City's Human Resources policy manual by 6/30/24.

Priority 3. Encourage housing stock that is diverse, safe, and affordable.

Objective 3A: The manager will create a listing of landlords and their properties by 6/30/22.

Objective 3B: The council will establish or affirm a policy regarding landlord registration.

Objective 3C: The council will review code enforcement policies and update as needed by 12/31/22. The city will enforce the code consistently and equitability.

Objective 3D: Continue to find grants to benefit the quality of life for employees and the citizens as a whole including exploring funding options for housing through The American Rescue Plan (ARP).

Priority 4: Promote economic development/develop and revitalize downtown.

Objective 4A: Develop and revitalize downtown.

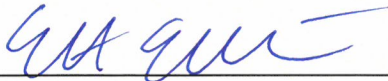
- Evaluate the possibility of new uses for current vacant buildings.
- Assess potential incentives for businesses.
- Recognize the contributions of current businesses.
- Build on current efforts to have young people be engaged and have a voice in their city government.

Objective 4B: Support the S-Line Project.

Objective 4C: Explore options for the use of shell buildings and the use of incentives.

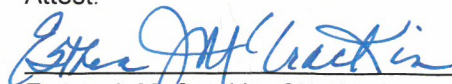
Objective 4D: The manager will provide recommendations on the feasibility of the city buying identified properties by 6/30/2022.

Council Member Daeke moved the approval of the 2022-2024 Strategic Plan. Motion seconded by Council Member Burnette and unanimously approved



Eddie Ellington, Mayor

Attest:



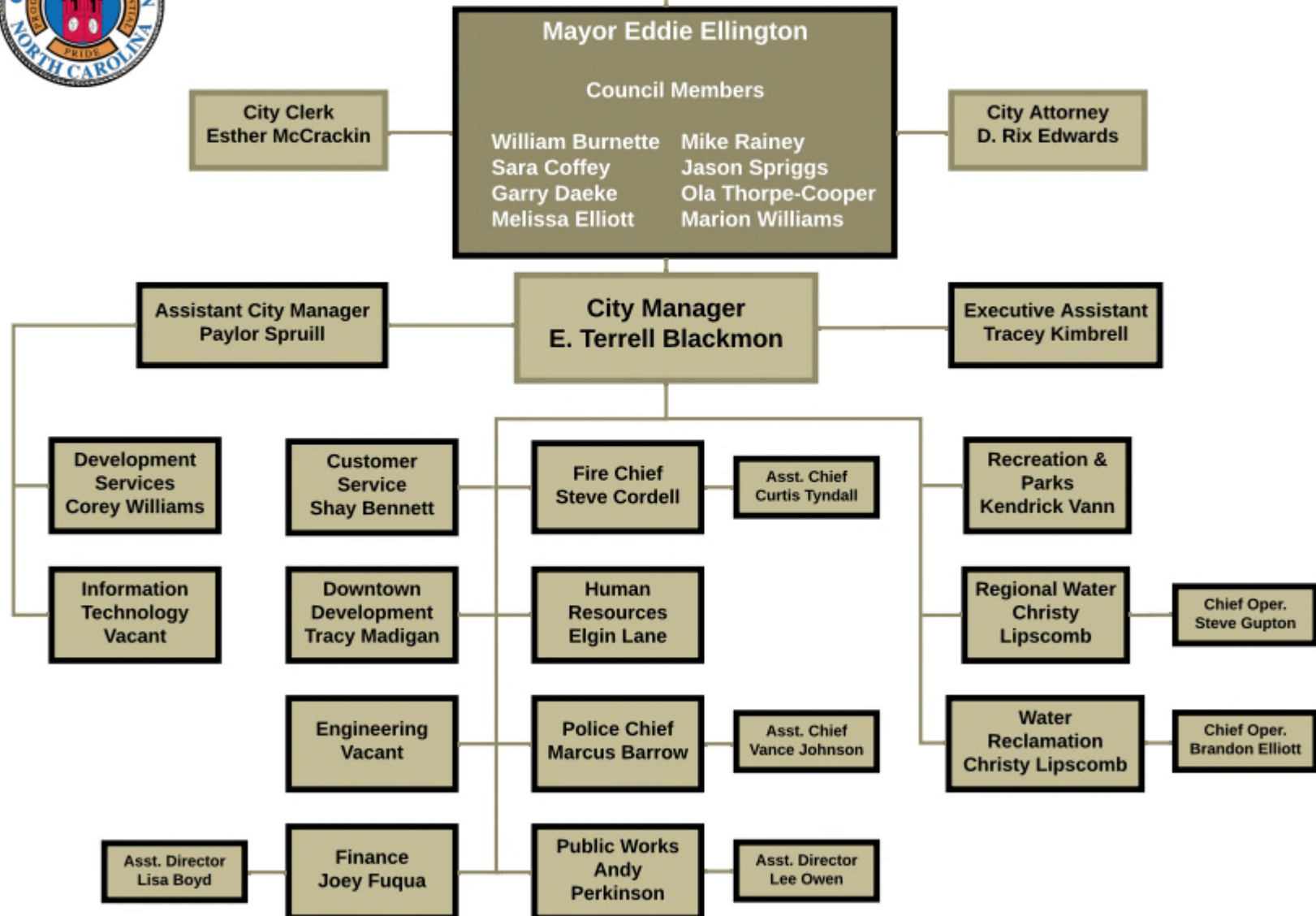
Esther J. McCrackin, City Clerk



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Citizens of Henderson



Classification Schedule revised 3/23/22

Grade	Classification	Salary Range	Grade	Classification	Salary Range
6	Parking Enforcement Agent /Custodian	\$23,375- \$35,063	17	Park Maintenance Supervisor Planner Plant Maintenance Supervisor Public Works Supervisor Recreation and Parks Facility Supervisor Recreation Program Supervisor Senior Instrumentation Technician Street Maintenance Supervisor Youth Services Program Coordinator Zoning Administrator	\$38,913 - \$58,370
7	No position assigned	\$24,468 - \$36,702	18	Chief Treatment Plant Operator Construction Inspector Engineering Technician Laboratory Supervisor	\$40,784 - \$61,176
8	Hydrant Maintenance Technician Meter Reader Maintenance Worker Park Maintenance Worker Street Maintenance Worker	\$25,616- \$38,424	19	City Clerk Community Dev Specialist Downtown Development Manager GIS Analyst	\$42,747 - \$64,121
9	Park Maintenance Crew Leader Plant Maintenance Worker Receptionist/Office Assistant Solid Waste Equipment Operator Street Sign Technician Utility Maintenance Mechanic	\$26,822 - \$40,233	20	Distribution & Collection System Supv. Information Technology Administrator Laboratory Supervisor	\$44,809 - \$67,214
10	Customer Services Representative Fleet Service Technician Public Works Crew Leader Senior Street Maintenance Worker Utility Maint. Mechanic/Shop Attendant	\$28,089 - \$42,134	21	Youth Services Outreach Administrator Youth Services Program Manager	\$46,974 - \$70,461
11	Administrative Support Specialist Police Records Clerk Police Records Clerk/Court Liaison	\$29,417 - \$44,126	22	Assistant Public Works Director Assistant Parks & Recreation Director	\$49,249 - \$73,874
12	Accounting Technician Human Resources Technician Plant Maintenance Mechanic Treatment Plant Operator Utility Billing Specialist	\$30,814 - \$46,221	23	Assistant to City Manager Public Services Operations Manager	\$51,636 - \$77,454
			24	No position assigned	\$54,143 - \$81,215
			25	Assistant Finance Director	\$56,775 - \$85,163
13	Admin Services Support Specialist Accounts Payable Specialist Athletic Program Specialist Grounds Maintenance Crew Leader Instrumentation Control Tech. Assistant Laboratory Technician Payroll Specialist Program Specialist Street Maintenance Crew Leader Youth Services Outreach Specialist	\$32,280 - \$48,420	26	Wastewater Treatment Plant Director	\$59,540 - \$89,310
14	Executive Assistant Fleet Maintenance Mechanic Senior Plant Maintenance Mechanic Utility Locator Utility Maintenance Crew Leader	\$33,818- \$50,727	27	Customer Service Manager Human Resources Director	\$62,441 - \$93,662
15	Code Compliance Inspector Instrument Technician Laboratory Analyst	\$35,434 - \$53,151	28	City Engineer Development Services Director Finance Director Parks and Recreation Director	\$65,488 - \$98,232
16	Accountant Police Records Supervisor	\$37,131 - \$55,697		Fire & Police Chief Public Works Director Regional Water Director	
17	Administrative Services Officer Aquatics Program Supervisor Athletics Program Supervisor Community Center Supervisor Fleet Maintenance Supervisor	\$38,913 - \$58,370	31	Assistant City Manager	\$75,574 - \$113,361
	GIS Technician		32	No position assigned	\$79,279 - \$118,919

Public Safety Schedule revised 3/23/22

<u>Grade</u>	<u>Classification</u>	<u>Salary Range</u>		<u>Grade</u>	<u>Classification</u>	<u>Salary Range</u>
PS13	Firefighter/Hydrant Maint. Tech.	\$34,380 - \$51,570		PS21	Police Sergeant	\$50,078 - \$75,117
PS14	Firefighter Police Cadet Crime Scene Assistant	\$36,024 - \$54,036		PS22	Police Lieutenant	\$52,582 - \$78,873
PS15	Senior Firefighter	\$37,750 - \$56,625		PS23	Assistant Fire Chief Fire Battalion Chief	\$55,211 - \$82,817
PS16	Master Firefighter	\$39,563 - \$59,345		PS24	Police Captain	\$57,972 - \$86,958
PS17	Police Officer I	\$41,466 - \$62,199		PS25	N/A	\$60,871 - \$91,306
PS18	Fire Engineer Fire & Safety Educator Police Detective Police Officer II	\$43,749 - \$65,624		PS26	Assistant Police Chief Deputy Fire Chief	\$63,915 - \$95,871
PS19	Senior Police Officer	\$45,562 - \$68,343		27	N/A	\$62,441 - \$93,662
PS20	Fire Captain	\$47,765 - \$71,648		28	Fire Chief	\$65,488 - \$98,232
					Police Chief	

City of Henderson Authorized Positions

<u>Approved</u>													
<u>POSITIONS BY FUND</u>	FY 17-18		FY 18-19		FY 19-20		FY 20-21		FY 21-22		FY 22-23		
	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Authorized but Unfunded	Part-time
General Fund													
Governing Body	1	0	1	0	1	0	1	0	1	0	1	0	0
Admin - City Attorney	0	0	0	0	0	0	0	0	0	1	0	0	1
Administration	3	0	3	0	3	0	4	0	3	0	3	2	0
Human Resources	3	1	3	1	3	0	3	0	2	0	2	0	0
Finance	5	0	5	0	5	0	5	0	5	0	5	0	0
Information Services	0	0	0	0	0	0	1	0	1	0	1	0	0
Downtown Development	0	0	0	0	0	0	1	0	1	0	1	0	0
Development Services	4	0	4	0	5	0	5	0	5	0	5	1	0
Police	59	16	56	6	57	8	57	8	56	7	57	0	7
Fire	36	20	36	20	36	20	36	15	42	20	42	0	20
Public Services/Administration	2	0	2	0	2	0	2	0	2	0	2	0	0
Garage	3	0	3	0	3	0	3	0	3	0	3	1	0
Street	13	1	13	1	13	1	13	1	12	1	13	0	1
Sanitation	5	6	5	6	5	7	5	6	5	7	5	0	6
Recreation	9	16	10	16	10	29	10	29	10	29	10	2	26
Youth Services	3	0	3	0	3	0	3	0	3	0	3	0	0
Aycock Aquatics Center	2	30	2	30	2	16	2	16	2	16	2	0	22
Total General Fund Employees	148	90	146	80	148	81	151	75	153	81	155	6	83
Water Fund													
Administration	1	0	1	0	1	0	1	0	1	0	1	0	0
Engineering	4	1	4	1	4	1	4	1	4	1	4	0	1
Customer Service	10	1	10	1	10	1	10	1	11	1	11	0	1
Water Distribution	9	0	9	0	10	0	10	0	10	0	12	0	0
Total Water Fund Employees	24	2	24	2	25	2	25	2	26	2	28	0	2
Sewer Fund													
Water Reclamation Facility	16	0	16	0	16	0	16	0	16	0	16	0	0
Sewer Collection	5	0	5	0	5	0	5	0	5	0	5	0	0
Sewer Collection I&I	3	0	3	0	3	0	3	0	3	0	3	0	0
Total Sewer Fund Employees	24	0	24	0	24	0	24	0	24	0	24	0	0
Regional Water													
Regional Water	13	0	13	0	13	0	14	0	13	0	13	0	0
Total Regional Water Employees	13	0	13	0	13	0	14	0	13	0	13	0	0
TOTAL EMPLOYEES	209	93	207	83	210	83	214	77	216	83	220	6	85

BUDGET GUIDE

The FY 2022-23 Budget has been prepared in a reader friendly, program-oriented budget format. The following summary provides information on how the reader might best understand the budget by first explaining the format of the budget.

The budget describes recommended City services and revenue sources proposed for the fiscal year beginning 1 July 2022 and ending 30 June 2023. Adopting an annual budget is one of the most important tasks the Mayor and City Council undertake each year. Indeed, it is the single most important policy document that the Mayor and Council will approve. It is through the adoption and implementation of the budget that the interests and values of our community are translated into plans for and the service delivery of programs, projects, services, and resources intended to benefit the citizens of Henderson.

1. This book is divided into sections.
2. Read the Budget Calendar found on *page BG-8*. All budget work sessions are open to the public and the public is cordially invited to attend.
3. Read the Budget Process and Accounting Policies beginning on *page BG-2*.
4. This document provides information on the overall budget and identifies major policy recommendations and shifts in policy direction found within the budget document.
5. Read the Program Narratives for each budget division. These narratives will provide the reader with information about the division's purpose and budget highlights.
6. Read the Glossary found in *Appendix A*. The Glossary provides definitions for various words and phrases used within the budget that may not be generally understood by the lay reader.
7. If you have any questions about the budget, please feel free to contact the City Manager at (252) 430-5701.

BUDGET ADOPTION

The City of Henderson's annual operating budget is adopted by ordinance in accordance with the North Carolina Local Government Budget and Fiscal Control Act (LGBFCA) which states that estimated revenues and appropriated fund balances equal appropriations. The budget is developed on a cash basis, including only expenditures and revenues expected to be realized during the fiscal year. State statute also sets the fiscal year as beginning July 1 and ending June 30: therefore, the City Council must adopt a budget prior to July 1st of each year.

ACCOUNTING POLICIES

Summary

The accounting policies of the City of Henderson conform to generally accepted accounting principles (GAAP) as applicable to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the more significant accounting policies:

Reporting Entity

The City of Henderson is a Municipal Corporation governed by an elected mayor and an eight-member council.

Fund Accounting

The accounts of the City are organized and operate on the basis of funds and account groups. A fund is an independent fiscal and accounting entity with a self-balancing set of accounts comprised of assets, liabilities, fund equity, revenues, and expenditures or expenses, as appropriate. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. The account groups are not funds but are a reporting device used to account for certain assets and liabilities of the governmental funds that are not recorded directly in those funds. The City uses the following fund categories:

Governmental Funds

Governmental Funds are used to account for the City's governmental functions. Governmental funds include the following fund types:

General Fund - The General Fund is the general operating fund of the City. It is used to account for all financial resources except those required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and State-shared revenues. The primary expenditures are for public safety, streets, sanitation, parks and recreation, and general government services.

Powell Bill Fund - The Powell Bill Fund serves as a transfer account for expenditures incurred with Powell Bill Street allocations for accounting purposes.

Grant Revenue Funds – The Grant Revenue Funds are used to account for the proceeds of specific revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specified purposes.

Capital Projects Funds - Capital Projects Funds account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects funds within its governmental fund types, the General Capital Projects Fund, and the Powell Bill Capital Projects Fund.

Proprietary Funds

Enterprise Fund - The Enterprise Fund is used to account for operations (a) that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (expenses, including depreciation) of providing goods and services to the general public on a continuing basis be financed or recovered primarily through user charges; or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability, or other purposes. The Enterprise Fund includes the Water Fund, Regional Water System Fund, Sewer Fund, Capital Reserve Utilities Fund, Capital Reserve Regional Fund, and Water, Sewer, and Regional Water Capital Project Funds.

Fiduciary Fund

Pension Trust Fund - The Pension Trust Fund accounts for the Law Enforcement Officers' Special Separation Allowance enacted by the State Legislature and effective January 1, 1987.

BASIS OF BUDGETING

In accordance with the North Carolina General Statutes, the City is required to budget and account for its funds on the modified accrual basis of accounting. Under this method, revenues are recognized in the accounting period in which they become available. Expenditures are recognized in the accounting period in which the goods and services are received (except for unmatured interest on general long-term debt, which is recognized when due). The City's accounting records for general governmental operations are reported on the modified accrual basis. Enterprise and pension trust operations are reported on the accrual basis.

The General Statutes also provide for balanced project ordinances for the life of the projects, including both capital and grant activities, which are expected to extend beyond the end of the fiscal year. The budgeted appropriations for capital and grant projects do not lapse until the completion of the project, while appropriations for funds that adopt annual budgets lapse at the end of the fiscal year.

In keeping with state law, the budget is prepared and accounted for on a modified accrual basis for the general fund, enterprise funds, and the Powell Bill fund. All other funds, including capital project and grant funds adopt multi-year budgets.

In keeping with Generally Accepted Accounting Principles (GAAP), financial statements for proprietary funds are prepared on a full accrual basis. A reconciliation of the full accrual basis to modified accrual basis (budgetary basis) is included in the annual financial statements for enterprise funds.

Budget Structure

Fund Accounting, required for governmental units, is the style of accounting used to segregate and account for restricted resources. The City of Henderson develops its source and use of funds estimates contained in the annual budget in a manner that follows general accepted accounting principles (GAAP). The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Governmental resources are accounted for in individual funds based upon the purposes for which they are to be spent.

The primary focuses of most budget documents are the revenue and expenditure appropriations. The City's operating expenditures are organized into the following hierarchy: Funds, Departments, Categories and Line Items. To better understand the budget documents, the terms in the City's financial structure should be understood.

FUNDS

The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Government resources are allocated to, and accounted for, in individual funds based upon the purposes for which they are to be spent.

- A. OPERATING BUDGET - The City of Henderson's annual budget is adopted as required by the North Carolina General Statutes. The annual budget is divided into twelve separate funds as indicated below:

Governmental Funds

10: General Fund - handles the general operations of the City such as administration, police protection, fire services, planning/zoning, recreational programs, street maintenance, sanitation services and Elmwood Cemetery operations. Resources are provided primarily through ad valorem taxes and intergovernmental revenues and are expended for services which are not compatible with a user fee financing method.

11: Powell Bill Fund - serves as a transfer account to properly account for expenditures incurred with Powell Bill Street Allocations. This annual State allocation is restricted to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways. Transfers are made monthly to the General Fund or Capital Improvement Project Fund for the expenses incurred for these specific uses.

Enterprise Funds

30: Water Enterprise Fund - accounts for the provision of water services to utility customers and the revenue associated with the distribution of this water service. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

31: Sewer Enterprise Fund - provides for the activities necessary to furnish sewer treatment, sanitary sewer collection and inflow and infiltration of sewer. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

64: Regional Water System Fund - accounts for all revenue and expenditure sources to the City's Kerr Lake Regional Water System which is under the control of Henderson (60%), Oxford (20%) and Warren County (20%). The City of Henderson as the majority and controlling partner operates the system which serves over 40,000 customers for the joint use and benefit of all three entities and their respective service areas.

Capital Reserve Funds

70: Capital Reserve Utilities Fund - provides for the accumulation of revenues for future expansion and/or construction of water and sewer system and related improvements.

72: Capital Reserve General Fund - provides for the accumulation of revenues for future large capital equipment purchases and/or construction of facilities normally funded through General Fund resources including infrastructure components such as streets, sidewalks, storm drainage systems, public buildings, etc.

73: Capital Reserve Economic Development Fund - provides for a small reserve for economic development grant matches and incentives. It has no fund balance since the fund is just now being established.

78: Capital Reserve Regional Water Fund - consolidates three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General.

79: *Capital Reserve Rate Stabilization Fund* - was established in March 2012 for the purpose of reserving money for rate stability while performing potential upgrades in the water and sewer systems.

- B. CAPITAL IMPROVEMENT PROJECTS FUND BUDGETS - The Capital Improvement Projects fund budgets account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects Funds within its governmental fund type (General and Powell Bill), and three Capital Projects Funds within its proprietary fund type (Water, Sewer & Regional Water). Capital Improvement Projects Fund projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project.

Governmental Funds

41: *General Capital Improvement Projects Fund* - accounts for the costs of general projects currently in the planning and/or construction stage.

42: *Powell Bill Capital Improvement Projects Fund* - accounts for the costs of Powell Bill projects currently in the planning and/or constructions stage.

Proprietary Funds

43: *Water Capital Improvements Projects Fund* - accounts for the costs of water projects currently in the planning and/or construction stage.

44: *Sewer Capital Improvements Projects Fund* - accounts for the costs of sewer projects currently in the planning and/or construction stage.

46: *Regional Water Improvements Projects Fund* - accounts for the costs of Regional Water projects currently in the planning and/or construction stage.

- C. GRANT PROJECT FUNDS - Grant Project Funds are projects that are set up by project ordinances that are funded in full or in part by Federal or State funds and have more than one year duration.

EXPENDITURE CLASSIFICATION

Departments are divisions of a fund that are responsible for performing specific government functions within their area of accountability. The departments represent the highest level of summarization used in the City's budget structure. Each department is divided by department budget as noted below:

Fund Department

- A. **General Fund:** Governing Body, City Attorney, Administration, Human Resources, Finance, Development Services, Henderson-Vance Downtown Development, Public Buildings, Bennett Perry House, IT Services, Police, Fire, Admin/Public Works, Garage, Cemetery, Street, Sanitation, Recreation, Recreation/Youth Services, Aycock Aquatics Center, Non-Departmental, Vance County Shared Programs, Contribution to Local Agencies and Debt Service.
- B. **Water Fund:** Engineering, Water Distribution, Administrative, Customer Service, Non-Departmental and Debt Service.

- C. **Sewer Fund:** Wastewater Treatment, Sewer Collection, I & I, Non-Departmental and Debt Service.
- D. **Regional Water Fund:** Water Treatment, Non-Departmental and Debt Service.
- E. **Capital Reserve:** Utilities, General Fund, Economic Development, Regional Water and Rate Stabilization

DEPARTMENTAL EXPENDITURES CATEGORIES

Each department is broken down into four categories:

- A. **Personnel Services** includes salaries and wages (full-time and part-time), pensions, health insurance, merit and other fringe benefits.
- B. **Operating** pertains to the daily operations that provide basic governmental services such as supplies, utilities, materials and travel.
- C. **Debt Service** includes appropriated principal and interest payments for any outstanding debt within each funds department.
- D. **Capital Outlay** includes funds for the purchase of equipment, land or other fixed assets valued at more than \$1,000 with a lifespan of at least 5 years.

LINE ITEMS

Each budget consists of individual line items which identify specific expenditures and revenues. Line items are the most detailed way to list budget information.

BUDGET AMENDMENTS

Throughout the fiscal year, adjustments to the original budget ordinance may become necessary to meet changing circumstances, better carry out planned programs and provide for new Council initiatives. Two types of changes can occur – budget amendments and budget transfers. Such changes are required at the line-item level of the budget underlying the budget ordinance.

A budget amendment increases or decreases the revenue and expenditures of an appropriated fund (this may involve decreases or increases in revenue and expenditures or shifting of monies between funds). Budget amendments, in accordance with North Carolina Statute 159-15, require the approval of City Council. Amendment requests are submitted to the Finance Department and approved by the City Manager prior to submittal to City Council.

BUDGET TRANSFERS

A budget transfer changes line-item appropriations within a particular fund without changing the fund total. Interdepartmental budget transfers are prepared by the Department Directors. All transfer actions are reviewed and approved by both the Finance Director and the City Manager.

BUDGET CALENDAR

The City of Henderson begins its annual budget process early in the fiscal year, with the distribution of the Capital Improvements Program (a ten year planning document), and the annual operating budget instructions and forms to Department Directors and Local Agencies.

The Department Directors have approximately three (3) months to concentrate on developing goals and objectives, requesting expenses and justifying any capital outlay for their department for the upcoming fiscal year.

After reviewing initial development requests, the City Manager and select staff meet with Department Directors. These informal meetings allow Department Heads to fully explain their requests and respond to questions from the City Manager. After these review meetings, expenditure and revenue decisions are made and line item recommendations are put into draft form, and presented to the Mayor, City Council and Department Directors.

Several Council/Staff work sessions are held that focus on the Operating and CIP Budgets for the upcoming year. Council directives are stated during these meetings and then incorporated into each budget document.

A public hearing on the proposed budget is held in June prior to budget adoption. Citizen concerns are voiced to the Mayor and Council at this public hearing. The budget is adopted at the City Council's last regular meeting in June or at a special called meeting set for the purpose of adopting the budget subsequent to the Budget hearing.

October	Budget instructions and forms are distributed to Department Directors and Local Agencies
January	City Council develops goals and objectives during their Strategic Planning Retreat
February	City Manager reviews Department Budget requests with the Department Directors
March	Funding requests from Local Agencies are due
April	Year-end revenue estimates are projected for current budget year Revenue projections for the upcoming budget year are developed Adjustments to all budgets, revenue projections, etc. necessary to balance budget Follow-up with individual Department Heads as needed and subject to City Manager's discretion
May	Budget Summary Draft prepared and presented to City Council at either a Regular Council Meeting or a Special Called Meeting. Budget Work Sessions held with Department Directors and Council for budget review Budget Hearing
June	Budget Adoption Notification to Local Agencies/Organizations who requested appropriation of City funds of funding status
July 1	New Fiscal Year begins
September	Final Budget/CIP Summary printed and distributed to City Council, Staff and appropriate agencies

City Council Action Form

Office of City Manager
P. O. Box 1434
Henderson, NC 27536
252.430.5700



Council Meeting: 13 June 22 Reg. Meeting

May 10, 2022

TO: The Honorable Eddie Ellington and Members of the City Council

FR: E. Terrell Blackmon, City Manager

RE: **CAF: 22-55**

Consideration of Approval of Ordinance 22-10, Adoption of the FY 22-23 Budget and FY 22-23 Annual Fee Schedule

Council Goals and Objectives Addressed

- Consistency with overall goals and objectives of the City of Henderson's Strategic Plan

Ladies and Gentlemen:

Executive Summary:

Consensus Achieved

The FY 22-23 Recommended Budget was presented to Council on May 9, 2022 and discussed further during several work sessions along with the Public Hearing held on May 23, 2022. A summary of the comments and discussion from the Council may be found in the Council Minutes. There were no comments received during the Public Hearing, so Council continued to deliberate on the budget.

After review of an assortment of budget items and overall recap of the total budget, there was a consensus of the Council to recommend approval of the FY 23 budget during the Regularly Scheduled meeting on Monday, June 13, 2022.

A complete summary of the changes made to the Recommended Budget are below:

Fund	Recommended Budget	Adopted Budget
General Fund	\$22,688,450	\$22,688,450
Powell Bill Fund	\$525,500	\$525,500
Regional Water Fund	\$5,312,490	\$5,312,490
Water Fund	\$7,580,571	\$7,580,571
Sewer Fund	\$5,567,577	\$5,567,577
Capital Reserve Funds	\$2,122,435	\$2,122,435
Total Budget	\$43,797,023	\$43,797,023
Inter-fund Transfers	(\$4,246,500)	(\$4,246,500)
Total Adjusted Budget	\$39,550,523	\$39,550,523

- Regional Water Fund
 - No rate increase was recommended.
- Water Fund
 - No rate increase was recommended.
- Sewer Fund
 - No rate increase recommended.
- General Fund
 - The property tax rate is recommended to remain at .712; the sanitation fee remains the same and Council's consensus on the Budget did not change this recommendation. The changes made to the Fund are as follows:
 - Health insurance will be with Blue Cross Blue Shield and the deductible is \$5,000 per employee with a Health Care Reimbursement Account component that supplements staff who exceed the \$3,000 level dollar-for-dollar up to \$1,500. The cost to the City per employee is \$632.87 per month.
 - A 1% 401K contribution and longevity plan for remains in effect for full-time staff.

All Other Funds

- There were no changes made to the following funds' recommended budgets:
 - 70: Capital Reserve Utilities Fund.
 - 72: Capital Reserve General Fund; and 73: Capital Reserve Economic Development Fund.

Annual Fee Schedule

There were no noteworthy changes to the fee schedule.

References:

1. Recommended Budget Message
2. CAF 22-55 Adopted Budget Update
3. Council Minutes 24 February 2022 (*Strategic Planning Sessions*)
4. Council Minutes 9 May 2022 (*Presentation of FY 22-23 Recommended Budget*)
5. Council Minutes 23 May 2022 (*Public Budget Hearing/Budget Work Session #1*)
6. Ordinance 22-10 (*FY 22-23 Approved Budget and Fee Schedule*)

Attachments:

1. Ordinance 22-10

ORDINANCE 22-10

APPROVAL OF THE FY 22-23 ANNUAL OPERATING BUDGET, ESTABLISHING THE 2022 AD VALOREM PROPERTY TAX RATE AND APPROVING THE ANNUAL FEE SCHEDULE

WHEREAS, pursuant to North Carolina General Statutes 159-13, the State of North Carolina requires its local governments to operate on a 1 July – 30 June fiscal year basis; *and*

WHEREAS, said State law further requires local governments adopt a balanced budget not later than 1 July; *and*

WHEREAS, the City Manager presented the FY 22-23 Recommended Budget to the City Council on Monday, 9 May 2022 and subsequent to the Budget Presentation, City Council met for one budget work session to discuss the budget and to make changes as it deemed appropriate and necessary for the public health, safety and welfare; *and*

WHEREAS, the City Council asked for comments from the public during its duly advertised Budget Hearing on Monday, 23 May 2022; however, no one spoke for or against the proposed budget; *and*

WHEREAS, the City Council, after no public comments were offered throughout the budget review process and Budget Hearing, and deliberating the various budgetary issues, achieved consensus on the FY 22-23 Budget.

NOW, THEREFORE BE IT ORDAINED by the Henderson City Council that it does hereby approve:

- The FY 22-23 Budget; *and*
- Establishes the 2022 Ad Valorem property tax rate; *and*
- No Increases to the Water, Sewer, Regional Water, or Sanitation rates to its regular and governmental customers; *and*
- Approves the Annual Fee Schedule;

as set forth in the following sections:

PART 1: ADOPTION OF FY 22-23 BUDGET

Section 1: General Fund-Revenues

AD VALOREM TAXES	
Current Year	\$ 6,195,435
Prior Years	\$ 384,350
Penalties and Interest	\$ 39,000
TOTAL	\$ 6,618,785
OTHER TAXES AND LICENSES	
Motor Vehicle Tax	\$ 600,000
Vehicle Rental Tax	\$ 35,000
TOTAL	\$ 635,000
UNRESTRICTED INTERGOVERNMENTAL	
Vance County ABC - 5%	\$ 2,000
Franchise Tax	\$ 950,000
Local Option Sales Tax	\$ 4,055,000
ABC Net Revenues	\$ 35,000
Beer and Wine Tax	\$ 60,000
TOTAL	\$ 5,102,000
RESTRICTED INTERGOVERNMENTAL	
State Street Aid Grant	\$ 425,000
DOT Mowing/Snow Contract	\$ 2,500
Solid Waste Disposal Tax	\$ 10,000
Bulletproof Vest Grant	\$ -
TOTAL	\$ 437,500
PERMITS AND FEES	
Motor Vehicle Licenses	\$ 200,000
Fire Inspection Fees	\$ 35,750
TOTAL	\$ 235,750
SALES AND SERVICES	
Recreation	\$ 30,000
Refuse Collections & Fees	\$ 1,925,500
Leaf Bags	\$ 500
Debt Setoff - Refuse Collections	\$ 500
Sale of Assets	\$ 20,000
Garage Sales	\$ 813,600
Bad Debt Recovery	\$ 2,500
Cemetery Revenues	\$ 16,000
Aquatics Center	\$ 35,000
Rental - Fox Pond Park	\$ 2,000
Food Truck Permit	\$ 300
Demolition and Lot Cleaning	\$ 10,000
County Contracts	\$ 989,985
Zoning and Reclassification	\$ 30,000
TOTAL	\$ 3,875,885

**General Fund
Revenues (cont'd)**

INVESTMENT EARNINGS	
Investment Income	\$ 10,000
TOTAL	\$ 10,000
MISCELLANEOUS	
Parking Violations	\$ 1,000
Court Fees and Charges	\$ 1,500
Miscellaneous	\$ 2,000
Loan Proceeds	\$ 1,220,800
Rubbish Charges	\$ 5,000
Fed Asset Forf. -Auction Sales	\$ 2,000
Vance Co. Housing Auth.	\$ 2,500
Sale of Material	\$ 300
State Forfeiture	\$ 25,000
P-card Rebate	\$ 15,000
Coke Fund - Operations	\$ 30
Verizon Cell Tower Lease	\$ 30,000
TOTAL	\$ 1,305,130
COST ALLOCATIONS	
Sewer	\$ 290,000
Elmwood Cemetery	\$ -
Regional Water	\$ 260,000
Transfer from Water	\$ 400,000
TOTAL	\$ 950,000
APPROPRIATIONS	
ARPA Funding	\$ 1,850,000
Fund Balance	\$ 1,668,400
TOTAL	\$ 3,518,400
TOTAL GENERAL FUND REVENUES	\$ 22,688,450

General Fund Expenditures

GENERAL FUND EXPENDITURES	COUNCIL APPROVED
GENERAL GOVERNMENT	
Governing Body	\$ 251,450
City Attorney	\$ 61,000
Administration	\$ 366,600
Human Resources	\$ 223,200
Finance	\$ 560,504
Information Services	\$ 291,450
TOTAL	\$ 1,754,204
PLANNING AND COMMUNITY DEVELOPMENT	
Development Services	\$ 619,200
Henderson-Vance Downtown Dev. Com.	\$ 111,350
TOTAL	\$ 730,550

**General Fund
Expenditures (cont'd)**

PUBLIC SAFETY	
Police	\$ 6,035,600
Police - Asset Forfeiture	\$ -
Fire	\$ 5,014,569
TOTAL	<u>\$ 11,050,169</u>
PUBLIC SERVICES	
Public Buildings and Grounds	\$ 116,800
Bennett Perry House	\$ -
Administration	\$ 220,600
Garage	\$ 1,030,500
Cemetery	\$ 120,500
Street	\$ 1,450,400
Sanitation	\$ 1,173,350
TOTAL	<u>\$ 4,112,150</u>
PARKS AND RECREATION	
Recreation	\$ 1,293,000
Youth Services	\$ 227,750
Aycock Aquatics Center	\$ 465,855
TOTAL	<u>\$ 1,986,605</u>
OTHER	
Vance County Shared Programs	\$ 1,325,100
Non-Departmental	\$ 892,000
Contribution - Local Agencies	\$ 33,050
Debt Service	\$ 804,622
TOTAL	<u><u>\$ 3,054,772</u></u>
EXPENDITURES TOTAL	\$ 22,688,450

**Powell Bill Fund
Revenues**

POWELL BILL FUND REVENUES	<u>COUNCIL APPROVED</u>
ALLOCATION	
State Aid	\$ 425,000
Investment Income	\$ 500
Fund Balance Appropriated	\$ 100,000
TOTAL	<u><u>\$ 525,500</u></u>
REVENUES TOTAL	\$ 525,500

**Powell Bill Fund
Expenditures**

POWELL BILL FUND EXPENDITURES	COUNCIL APPROVED
TRANSFERS TO OTHER FUNDS	
General Fund	\$ 525,500
TOTAL	<u>\$ 525,500</u>
EXPENDITURES TOTAL	\$ 525,500

Section 2: Enterprise Funds

Water Fund Revenues

WATER FUND REVENUES	COUNCIL APPROVED
OPERATING REVENUES	
Returned Check Fee	\$ 2,000
Water Sales	\$ 6,515,300
Water Sales: Kittrell, 1A-2A-2B	\$ 245,000
Account Set-Up Fees	\$ 10,000
Water Taps	\$ 75,000
Late Fees	\$ 70,000
Sprinklers and Hydrants	\$ 145,000
Reconnect Fees	\$ 25,000
Sale of Assets	\$ 3,000
Miscellaneous Revenue	\$ 1,500
Bad Debt Recovery	\$ 8,000
Debt Setoff	\$ 2,000
TOTAL	<u>\$ 7,101,800</u>
NON-OPERATING REVENUES	
Sale of Materials	\$ 5,000
Investment Income	\$ 6,400
Sprint PCS Agreement	\$ 28,000
T-Mobile Agreement	\$ 45,000
TOTAL	<u>\$ 84,400</u>
TRANSFERS FROM OTHER FUNDS	
Fund Balance Appropriated	\$ 50,000
Regional Fund	\$ 105,000
Sewer Fund	\$ 215,670
Sewer - Locator	\$ 18,651
TOTAL	<u>\$ 389,321</u>
COST ALLOCATIONS	
Over-Payment Utilities	\$ 5,000
Over/Short	\$ 50
TOTAL	<u>\$ 5,050</u>
REVENUES TOTAL	\$ 7,580,571

**Water Fund
Expenditures**

WATER FUND EXPENDITURES	<u>COUNCIL APPROVED</u>
DEPARTMENTAL	
Public Services Administration	\$ 122,000
Engineering	\$ 436,620
Customer Service	\$ 818,300
Water Distribution	\$ 5,393,521
TOTAL	\$ 6,770,441
OTHER	
Non-Departmental	\$ 463,250
Debt Service	\$ 346,880
TOTAL	\$ 810,130
EXPENDITURES TOTAL	\$ 7,580,571

**Sewer Fund
Revenues**

SEWER FUND REVENUES	<u>COUNCIL APPROVED</u>
OPERATING REVENUES	
Surcharges	\$ 1,500
Loan Proceeds	\$ 120,300
Sewer Sales	\$ 4,550,000
Fog Compliance Inspection Fees	\$ 8,000
Account Set-Up Fees	\$ 22,000
Sewer Taps	\$ 10,000
Late Fees	\$ 160,000
Code Violations	\$ 1,000
Service Fees	\$ 40,000
Miscellaneous	\$ 1,000
Septic Hauling	\$ 20,000
Bad Debt Recovery	\$ 10,000
Debt Setoff	\$ 1,500
Sale of Assets	\$ 5,000
TOTAL	\$ 4,950,300
NON-OPERATING REVENUES	
Fund Balance Appropriated	\$ 613,777
Investment Income	\$ 3,500
TOTAL	\$ 617,277
REVENUES TOTAL	\$ 5,567,577

**Sewer Fund
Expenditures**

SEWER FUND EXPENDITURES	<u>COUNCIL APPROVED</u>
DEPARTMENTAL	
Water Reclamation Facility	\$ 2,326,750
Sewer Collection	\$ 620,051
Sewer I & I	\$ 303,200
TOTAL	<u>\$ 3,250,001</u>
OTHER	
Non-Departmental	\$ 1,221,920
Debt Service	\$ 1,095,656
TOTAL	<u>\$ 2,317,576</u>
EXPENDITURES TOTAL	\$ 5,567,577

**Regional Water Fund
Revenues**

REGIONAL WATER FUND REVENUES	<u>COUNCIL APPROVED</u>
OPERATING REVENUES	
Water Sales	\$ 5,304,490
Miscellaneous	\$ 5,000
TOTAL	<u>\$ 5,309,490</u>
NON-OPERATING REVENUES	
Investment Income	\$ 3,000
TOTAL	<u>\$ 3,000</u>
REVENUES TOTAL	\$ 5,312,490

**Regional Water Fund
Expenditures**

REGIONAL WATER FUND EXPENDITURES	<u>COUNCIL APPROVED</u>
DEPARTMENTAL	
Regional Water	\$ 2,979,740
TOTAL	<u>\$ 2,979,740</u>
OTHER	
Non-Departmental	\$ 2,283,700
Debt Service	\$ 49,050
TOTAL	<u>\$ 2,332,750</u>
EXPENDITURES TOTAL	\$ 5,312,490

Section 3: Capital Reserve Funds

Utilities Reserve Revenues

UTILITIES RESERVE REVENUES	<u>COUNCIL APPROVED</u>
TRANSFERS FROM OTHER FUNDS	
Water Fund	\$ -
Investment Income/Capacity Usage Fee	\$ 400
Regional Water	\$ -
TOTAL	<u>\$ 400</u>
APPROPRIATIONS	
Fund Balance	\$ -
TOTAL	<u>\$ -</u>
REVENUES TOTAL	\$ 400
UTILITIES RESERVE EXPENDITURES	<u>COUNCIL APPROVED</u>
RESERVE	
Water/Fees	\$ 200
Sewer	\$ 200
TOTAL	<u>\$ 400</u>
EXPENDITURES TOTAL	\$ 400

Economic Development Revenues and Expenditures

ECONOMIC DEVELOPMENT RESERVE REVENUES	<u>COUNCIL APPROVED</u>
APPROPRIATION	
Fund Balance	\$ -
TOTAL	<u>\$ -</u>
REVENUES TOTAL	\$ -
ECONOMIC DEVELOPMENT RESERVE EXPENDITUR	<u>COUNCIL APPROVED</u>
RESERVE	
Economic Development	\$ -
TOTAL	<u>\$ -</u>
EXPENDITURES TOTAL	\$ -

**Regional Water Reserve
Revenues**

REGIONAL WATER RESERVE REVENUES	<u>COUNCIL APPROVED</u>
TRANSFERS FROM OTHER FUNDS	
Regional Water Fund	\$ 1,850,000
TOTAL	\$ 1,850,000
INVESTMENT INCOME	\$ 1,735
FUND BALANCE	\$ 270,000
TOTAL	<u>\$ 271,735</u>
REVENUES TOTAL	\$ 2,121,735

**Regional Water Reserve
Expenditures**

REGIONAL WATER RESERVE EXPENDITURES	<u>COUNCIL APPROVED</u>
REGIONAL RESERVE	
Licenses, Permits and Fees	\$ 100
Reserve	\$ 205,000
TOTAL	\$ 205,100
CORPS OF ENGINEERS	
Licenses, Permits and Fees	\$ 35
Reserve	\$ 65,000
TOTAL	\$ 65,035
20 MGD	
Licenses, Permits and Fees	\$ 100
Reserve	\$ 1,851,500
TOTAL	<u>\$ 1,851,600</u>
EXPENDITURES TOTAL	\$ 2,121,735

**Rate Stabilization
Revenues**

RATE STABILIZATION RESERVE REVENUES	<u>COUNCIL APPROVED</u>
APPROPRIATIONS	
Fund Balance	\$ -
Investment Income	\$ 300
TOTAL	<u>\$ 300</u>
REVENUES TOTAL	\$ 300

Rate Stabilization

Expenditures

RATE STABILIZATION RESERVE EXPENDITURES	COUNCIL APPROVED
HWRF	
Rate Stabilization	\$ 150
TOTAL	\$ 150
 WATER RATE STABILIZATION	
Rate Stabilization	\$ 150
TOTAL	\$ 150
 EXPENDITURES TOTAL	 \$ 300

TOTAL FY 22-23 BUDGET	\$ 43,797,023
Inter-fund Transfers & Cost Allocations	<u>(4,246,500)</u>
TOTAL FY 21-22 ADJUSTED BUDGET	\$ 39,550,523

PART 2: ESTABLISHING THE 2022 PROPERTY TAX RATE

Section 4: Ad Valorem Property Tax Rate Established

There is hereby levied an Ad Valorem property tax rate of \$0.712 on each one hundred dollars (\$100) valuation of taxable property, both real and personal, as listed for taxes as of 1 January 2022 for the purpose of raising the revenue set forth in the 10: General Fund budget estimates in order to finance its authorized appropriations necessary for the proper running of the government and delivery of its services to citizens and customers. The 2022 Ad Valorem property tax revenue is based on an estimated overall valuation of \$906,576,121 at a collection rate of 97.59%.

PART 3: AUTHORIZING INCREASES IN FEES AND RATES

Section 5: Regional Water Rate

The Regional Water Rate remain unchanged for all customers for all bills rendered on or after 1 July 2021 as reflected in the following Table, and said rates shall be included in the Annual Fee Schedule.

Regional Potable Water Rate	
Rate Tier	Per 1 Million Gallons
Used Rate	\$ 2,213.00
Fixed Rate	\$ 1,415.00

Section 6: Water Rate Increase

There is no scheduled rate increase for FY 22-23. City water rates are reflected in the following table and are included in the Annual Fee Schedule.

Water Rates FY 22-23				
Customers averaging less than 100,000 cubic feet (cu. ft.) per month				
Location	Minimum Charge 0-499 cu. ft.	Plus	500-4,000 cu. ft. per 100 cu. ft.	More than 4,000 cu. ft. per 100 cu. ft.
Inside City	\$12.02	Plus	\$2.72	\$2.37
Outside City	\$30.04	Plus	\$6.81	\$5.14
Customers averaging more than 100,000 cubic feet (cu. ft.) per month				
Location	Minimum Charge	Plus	0-100,000 cu. ft. per 100 cu. ft.	More than 100,000 cu. ft. per 100 cu. ft.
Inside City	N/A	Plus	\$2.37	\$1.91
Outside City	N/A	Plus	\$5.66	\$4.72
Bulk Water Rate				
Location	Minimum Charge 0-500 gallons	Plus		More than 500 gallons per 1 gallon
Inside City	\$9.50	Plus		.007
Outside City	\$16.45	Plus		.011

Section 7: No Rate Increases for Governmental Water and Sewer Sales Contracts

- 7-1: Vance Co. (Kittrell Water Association)
- 7-2: Franklin County
- 7-3: Vance County Phases 1A, 2A and 2B

Section 8: Sewer Rate

There is no scheduled rate increase for FY 22-23.

Sewer Rates FY 20-21				
Location	Minimum Charge	Plus	0-10,000 cubic feet (cu. ft.) per 100 cu. ft.	Over 10,000 cu. ft. per 100 cu. ft.
Inside City	\$14.98	Plus	\$ 5.33	\$3.82
Outside City	\$37.43	Plus	\$13.34	\$9.59

PART 4: SPECIAL AUTHORIZATIONS

Section 9: Special Authorizations

The City Manager shall be authorized to re-allocate departmental appropriations among the various objects of expenditures within any budget department as he deems appropriate and necessary. Additionally, he shall be authorized to re-allocate departmental appropriations among other departments within the same fund via an intra-fund transfer as he deems appropriate and necessary. Notation of such appropriations shall be made to the City Council on the next financial report. All intra-fund transfers must also be approved in advance by the Finance Director.

Section 10: Restrictions

- The inter-fund transfer of funds shall be made only with the prior consent of City Council via a formal Budget Ordinance Amendment.
- Contingency funds shall only be appropriated with the prior consent of City Council via a formal Budget Ordinance Amendment.
- Funds may only be appropriated from the Capital Reserve funds 70: Utilities Capital Reserve Fund; 72: General Capital Reserve Fund; 73: Economic Development Capital Reserve Fund; 78: Regional Water Capital Reserve Fund; and 79: Rate Stabilization Capital Reserve Fund; with the prior consent of the City Council via a formal Budget Ordinance Amendment.

Section 11: Capital Project and Grant Project Funds

- The City Manager may recommend to the City Council the establishment of any new capital project and or grant project or recommend amendments to existing capital project and/or grant project via a formal Budget Ordinance Amendment.
- Capital projects and grant projects are considered to be open for the life of the project, or grant, and shall be reported to City Council in the same manner in which regular financial reports are provided.
- Once a capital/grant project is authorized by City Council, the City Manager may treat said project as though it were any other operating fund provided if such actions are consistent with project/grant restrictions and guidelines.

Section 12: Utilization of Budget and Budget Ordinance

This Ordinance, 22-23, adopts the FY22-23 Budget and said Budget shall be the basis of the financial plan for the City of Henderson for the period beginning 1 July 2022 and ending 30 June 2023. The City Manager shall administer guidance and direction to the Department Directors and/or other duly authorized staff to implement their appropriate

portion of the Budget. Copies of the Budget Ordinance and its appropriate detail shall be provided to all Department Directors. The Finance Director shall establish records consistent with the Budget and its authorizing Ordinance and in compliance with the North Carolina General Statutes and rules and regulations as may exist or be promulgated in the future by the North Carolina Local Government Commission.

PART 5: FEE SCHEDULE AFFIRMED, AMENDED AND ADOPTED

Section 13: Fee Schedule Affirmed, Amended and Adopted

The Annual Fee Schedule incorporates the rates and fees associated with the various charges for services and penalties for violations of City Codes. The Annual Fee Schedule is more fully articulated in *Attachment A* to this Ordinance and is hereby reaffirmed and adopted as part of this Ordinance.

PART 6: APPROVAL OF CAPITAL IMPROVEMENTS PLANS

Section 14: Utilities Multi-Year Capital Improvements Plan

The Utilities Multi-Year Capital Improvements Plan (CIP) is included for the period 2018 – 2028. This multi-year capital improvements plan is for the Regional Water, Water and Sewer systems and said CIP is on permanent file in the Office of the City Clerk and is incorporated herein as part of this Ordinance by reference.

Section 15: General Fund and Powell Bill Multi-Year Capital Improvements Plan

The CIP for the above-mentioned funds are included, but is modified with new projects and adjustments to the timelines as necessary.

PART 7: ADOPTION OF BUDGET AND RELATED AUTHORIZING INSTRUMENTS

Section 16: Effective Dates

All sections of this Ordinance shall become effective on 1 July 2022.

Section 17: Adoption

The foregoing Ordinance 22-10, upon motion of Council Member ____ and second by Council Member ____, and having been submitted to a roll call vote and received the following votes and was APPROVED on this the 13th day of June 2022: YES:. NO: ABSTAIN: ABSENT:

Eddie Ellington, Mayor

ATTEST:

Esther McCrackin, City Clerk

Reference: Minute Book 45, p. XXX

Reviewed by: _____ Date: _____
Joseph Fuqua, Finance Director

Reviewed by: _____ Date: _____
Terrell Blackmon, City Manager

**Annual Fee Schedule
FY 22-23**

Code Compliance

Chapter 21 (Minimum Housing Code)

Sec. 21-20. - Certificate of minimum housing compliance.

Minimum Housing Inspection	1st Inspection Fee	Subsequent Re-inspection Fee
	FREE	\$50.00
*Minimum Housing Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 per day until max of \$4,500

Chapter 21A (Abandoned Structure)

Sec. 21A-8. - Cost of removal or demolition to be lien on premises

Administrative Costs	Cost	Comments
Preliminary work in ascertaining owner of property	\$150.00 (or greater amount actually paid by the city)	Completed by a contracted attorney
Inspection of the property to ascertain condition	\$50.00	Completed by Code Compliance staff
Notice of complaint and/or of hearing issued by the city (cost per each notice)	\$40.00	Prepared by Code Compliance staff
Conduct hearing (cost per each hearing)	\$20.00	Held by Code Compliance staff
Findings of fact and/or order issued by the city (cost per each order)	\$40.00	Prepared by Code Compliance staff
Order issued by city council	\$100.00	Prepare notice and order for city council and appearance of Code Compliance staff at city council meeting

Implementation Costs	Cost
Removal of nuisance (ordered demolition)	Actual charge paid to third parties for the respective action authorized (plus a five (5) percent administrative fee in addition to actual charge)
Reimbursement Costs	Cost
Certified letters (per each individual letter)	\$5.00 (or greater amount city actually paid)
Newspaper notices (per notice)	\$175.00 (or greater amount city actually paid)
Recording fees (per document)	\$45.00 (or greater amount city actually paid)
Allowances for Delinquent Accounts	Cost
Percentage increase in total , amount due	10% percent

*Abandoned Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 per day until max of \$4,500

Chapter 21D (Non-Residential Code)

*Non-Residential Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 day until max of \$4,500

Chapter 23 (Weeded Lot)

Sec. 23-8. - Costs of abatement; when due; lien.

The cost incurred by the city in removing or otherwise remedying a public nuisance shall be charged to the owner(s) of the lot or parcel of land. The costs incurred by the city shall be as set out below and are designed to include an administrative cost reflecting the typical time spent on processing these complaints through various stages in the proceedings, and an implementation cost reflecting the time spent in clearing the lot or otherwise removing the nuisance; a reimbursement for costs of notice and publication, and an allocation for delinquent accounts under this chapter.

These costs are set out by the stage of the proceeding which is reached or the service is rendered and are as follows. The costs under each of the categories, to wit, administrative costs, implementation costs, etc., are to be added together.

	Cost	Comment
Administrative Costs		
Notice and order issued by department director, but not appealed, nuisance removed by owner	\$0	
Notice and order issued by department director, no appeal taken, nuisance removed by city	\$100	intended to cover costs of determining ownership, investigating site, preparation of notice and order, scheduling work
Order issued by city council, nuisance removed by owner	\$80	intended to cover staff preparation and meeting time before council
Order issued by city council, nuisance removed by city	\$120	intended to cover staff preparation and meeting time before council and cost of scheduling work, preparing notice of lien
Implementation Costs		
Per hour, or any part thereof, in removing or abating any nuisance	\$40	
Reimbursement Costs		
Registered letters (per letter)	\$3	
Newspaper notices (per notice)	\$175	reflects both newspaper costs and administrative costs in preparing and publishing the notice
Allowance for Delinquent Accounts		
Percentage increase total amount due	25%	
*(Weeded Lot) Civil Penalty	FEE	
	After 7 days of Non-Compliance, \$50.00 per day maximum of \$ 500.00	

**All Civil Penalty Fees go to School System*

Administration

Special Events Application Fee.....\$25.00

Cemetery¹

Grave Plot.....\$778.00

Customer Service - Water and Sewer

Account Set-up Fee.....\$20.00
Late Fee (One Time Waiver within a rolling 12-month period with Good Standing History).....\$12.00
Service Fee.....\$13.00
Non-Payment Fee.....\$50.00
Meter Tampering Fee.....NA
Failure to Provide Social Security Card.....\$50.00

Schedule for Water and Sewer Security Deposits				
Approved Ordinance 13-10 March 11, 2013				
Residential In-City		Current	R-Tier 1 Deposit	R-Tier 2 Deposit
	Water, Sewer & Sanitation		\$150.00	2.5 times average monthly bill
	Water & Sewer Only (for those living in apartment complexes providing commercial green boxes)		\$150.00	2.5 times average monthly bill
	Water or Sewer & Sanitation		\$150.00	2.5 times average monthly bill
Residential Out-of-City				
	Water & Sewer		\$200.00	2.5 times average monthly bill
	Water Only		\$150.00	2.5 times average monthly bill
	Sewer Only		\$200.00	2.5 times average monthly bill
	R-Tier 1 Deposit is the deposit required by any new residential customer establishing an account and not able to provide a satisfactory letter of good payment history from his/her most recent water/sewer utility provider. Additionally, any existing residential customer as of the effective date of this Ordinance (1 April 2013) whose service is subject to disconnection because of non-payment will be required to increase his/her security deposit to the R-Tier 1 Deposit rate in order to re-establish service. (The Social Security number is collected from any person who may become a debtor for purposes of Setoff Debt Collection, G.S § 105A-3(c). This information may be used for collection procedures. The disclosure of the social security number is not mandatory; however, if a Social Security Card is not presented, the customer may be required to pay an additional deposit fee as stated in the Schedule of fees.)			
	R-Tier 2 Deposit is the deposit required of any existing residential customer whose service has been subject to disconnection for non-payment twice within a rolling 18-month period. Such customers will have to increase their security deposit on-file to 2.5 times their average monthly bill in order to have service restored. Additionally, if any person seeking to establish service with the City is found to have an arrears balance from prior service with the City, he/she shall be required to establish a security deposit equal to 2.5 times an average residential monthly bill, even if he/she can provide a letter of good payment history from his/her most recent water/sewer utility provider.			

¹ City stopped opening/closing graves in 2011

Commercial/Non-Profit & Industrial In-City			
	<i>Based on Total Consumption</i>	Current	<u>CNI-Tier Deposit</u>
	Water, Sewer & Sanitation (for downtown businesses not able to use commercial green box services)		2.5 times average monthly bill, or \$150, whichever is larger
	Water & Sewer Only		2.5 times average monthly bill, or \$150, whichever is larger
Commercial/Non-Profit & Industrial Out-of-City			
	<i>Based on Total Consumption</i>		
	Water & Sewer		2.5 times average monthly bill, or \$150, whichever is larger
	Water Only		2.5 times average monthly bill, or \$150, whichever is larger
	CNI-Tier Deposit is the deposit required by any new commercial, non-profit or industrial customer applying for service with the City and cannot provide a satisfactory letter of good payment from his/her most recent water/sewer utility provider. Existing customers whose service is subject to disconnection due to non-payment will be required to increase his/her security deposits to 2.5 times their average monthly bill in order to re-establish service."		

Engineering

Soil Erosion & Sedimentation Control Permit

Plan Review Fee (.50 - .999 Acres).....	\$75.00
Plan Review Fee (1- 3 acres).....	\$100.00
Plan Review Fee (more than 3 Acres plus \$20.00 per Acre).....	\$125.00
Soil Erosion & Sedimentation Control Permit	
Permit Inspection Fee (.50 - .999 Acres).....	\$125.00
Permit Inspection Fee (1 – 3 Acres).....	\$225.00
Permit Inspection Fee (more than 3 Acres plus \$25.00 per Acre).....	\$325.00
Stormwater Permit Review Fee.....	\$400.00
Maps.....	\$1.00 to \$20.00
Petition to Close Street.....	\$900.00
No approved plan/grading without a permit (includes single family lots).....	\$5,000
Failure to renew permit -	\$500
Failure to follow approved plan, or obtain signed plan prior to work -	\$3,000
Failure to submit revised plan -	\$2,500

Failure to provide adequate ground cover

Slight -	\$500
50' x 50' area	
Less than 3:1 slope	
Little possibility for erosion	
Moderate -	\$1,000
100' x 100' area	
3:1-2:1 slope	
Slight rilling	
Severe -	\$3,500
200' x 200' area	
2:1 slope or more	
Large rills to gullies and washing	

Insufficient measures to retain sediment onsite

Failure to take all reasonable measures (see also insufficient measures)	\$500
Large storm (non-hurricane) -	\$500
At start of project prior to full installation	\$500
In between phased grading -	\$750
Graded slopes and fill too steep -	\$1,500
Unprotected slopes (see failure to provide ground cover in 7 days) -	\$1,000
Lack of maintenance -	\$2,000
Inadequate buffer zone (30 feet Roanoke, 50 feet for Tar-Pam) -	\$3,000

Check 401/404 permits

Grading in floodplain -	\$5,000
Call Army Corp of Engineers/DWQ	
Filling in Wetland, Creek or water course -	\$5,000
Call Army Corp of Engineers/DWQ	

Erosion Problems (failure to take all reasonable measures)

<u>Slight potential for erosion problem</u> -	\$500/day
<u>Moderate potential for erosion problem</u> -	\$1,000/day
Interior of basin not seeded	
baffles not installed or maintained	
skimmer not dewatering	
silt fence blown over (slightly)	
construction entrance failing	
<u>Severe potential for erosion problem</u> -	\$2,000/day
Silt fence blown out (top or bottom)	
Sediment basin over half full	
tree protection fence down	

Sediment offsite

<u>Slight</u> (each can be separate violations, examples only) -	\$500/day
Construction entrance violation, mud tracking	
Average 10' x 10' area	
Seeded area that did not take and eroded offsite	
Up to one 5-gallon bucket full	

Moderate (each can be separate violations, examples only) -

Silt fence overtopped, concentrated water, not into inlet	\$1,000/day
Less than two 5-gallon buckets	
Average area is 20' x 30'	
Skimmer dewatering too fast, over 50 NTU	

Severe (each can be separate violations, examples only) -

Sediment in water course buffered stream (intermittent & ephemeral), wetland, pond, floodplain	\$4,000/day
Sediment onto private property (including ponds)	
Sediment area larger than 20' x 30'	

More than three 5-gallon buckets full
Sediment overtopping silt fence into unprotected inlet

Penalty for Violation of Stop Work Order.....\$4,000

Finance

Returned Check Fees.....\$25.00

Fire

Fire Reports.....\$1.00

Fire Code Violation Citations

Approved Fire Evacuation Plan Required and Posted.....\$50.00

Street Address not Posted.....\$50.00

Street Address not Visible.....\$50.00

Key Boxes.....\$50.00

Breach in Fire Wall/Fire Stops.....\$50.00

Fire/Exit Door Inoperative.....\$200.00

Fire Alarm Needs Testing.....\$50.00

Sprinkler or Fire Alarm Inoperable.....\$200.00

Sprinkler/Standpipe not Complying with Code.....\$50.00

Sprinkler Heads Blocked/Covered (immediate).....\$500.00

Standpipe System not Complying with Code.....\$50.00

Portable Fire Extinguisher.....\$50.00

Fire Alarm and Detection Systems.....\$50.00

Overcrowding (immediate).....\$500.00

Maximum Occupancy Load Certificate not Posted.....\$50.00

Storage in or on Fire Escape (immediate).....\$500.00

Blocked Stairwells or Stairways.....\$500.00

Blocked Means or Egress.....\$500.00

No Required Exit Directional Signs.....\$50.00

Exit Illuminated and Markings.....\$50.00

Locked Exit Door (immediate).....\$500.00

Exit or Egress Door Needs Repair.....\$50.00

Fire Exit or Aisle Blocked.....\$500.00

Spray Booth Not Complying to Code.....\$50.00

All Other Code Violations.....\$50.00

State Mandated Fire Inspections

Initial Inspection

0-3,000 sf.....\$55.00

3,001 - 5,000 sf.....\$100.00

5,001 – 10,000sf.....\$150.00

10,001 – 50,000 sf.....\$200.00

50,001 to 100,000 sf.....\$250.00

Greater than 100,000 sf.....\$300.00

Following issuance of three (3) consecutive re-inspection fees without compliance, the owner/operator, or other responsible person shall be cited to court for violation of NC General Statute 14-68.

Re-Inspection Fee for 0 -3000 sf

1 st Re-inspection	\$00.00
2 nd Re- Inspection	\$55.00
3 rd Re – Inspection	\$110.00
4 th Re – Inspection	\$220.00

Re-Inspection Fee for 3001 – 50000 sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$100.00
3 rd Re – Inspection	\$200.00
4 th Re – Inspection	\$400.00

Re-Inspection Fee for 5001 – 10,000 sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$150.00
3 rd Re – Inspection	\$300.00
4 th Re – Inspection	\$600.00

Re-Inspection Fee for 10,001 – 50,000sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$200.00
3 rd Re – Inspection	\$400.00
4 th Re – Inspection	\$800.00

Re-Inspection Fee for 50,001 – 100,000sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$250.00
3 rd Re – Inspection	\$500.00
4 th Re – Inspection	\$1,000.00

Re-Inspection Fee for 100,000sf and up

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$300.00
3 rd Re – Inspection	\$600.00
4 th Re – Inspection	\$1,200.00

New Construction

0 – 2,500 sf	\$50.00
2,501 – 25,000 sf	\$175.00
25,001 – 50,000 sf	\$350.00
50,001 –100,000 sf	\$500.00
100,001 sf and up	\$500.00 plus \$5.00 per each additional 1,000 sf

Up-fits and change of use – same as new

Plan Review Fee	\$50.00 (plus New Construction Fee)
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Fire Incident Report - Copy of Fire Incident Report.....	\$3 per copy
(Copy provide at no charge to Owner/Occupant)	

Governing Body

Public Records Request - Copies.....	varies
Municipal Election Filing Fee.....	\$10.00

Planning

Rezoning Application	
Zoning Map Amendment to Residential District	\$350.00 plus \$50 per acre or part thereof
Zoning Map Amendment – Other.....	\$350.00 plus \$100.00 per acre or part thereof
Sign Permit	
0-50 sq. ft.....	\$25.00
51 – 100 sq. ft.....	\$50.00
101 – 200 sq. ft.....	\$75.00
201 sq. ft. and larger.....	\$100.00
Subdivision Plat Approval	
Major.....	\$250.00 plus \$10.00 per lot
Minor.....	\$150.00
Minor Residential.....	\$100.00
Exempt.....	\$50.00
Special Use Permit.....	\$450.00
Text Amendment	
Change affecting only one subsection of Ordinance.....	\$100.00
Other.....	\$150.00
Variances.....	\$450.00
Zoning Permit	
Residential.....	\$100.00
Commercial.....	\$100.00
Name Change/Change of Ownership.....	\$100.00
Home Occupation Permit.....	\$100.00
Certificate of Zoning Compliance.....	\$50.00
Zoning Ordinance.....	\$25.00
Subdivision Regulations.....	\$25.00
Exempt Plat.....	\$100.00
Solar Farm Inspection.....	\$1,000.00

Police

Handicapped/Fire Lane Parking.....	\$75.00
Fire Hydrant, Loading Zone, Blocking Driveway, No	
Parking Zone, Parking on Wrong Side of Street, Parking on	
Sidewalk, Blocking Sidewalk/Crosswalk, Double Parking.....	\$20.00
Overtime Parking, Parking too Close to Corner, Other.....	\$8.00
Solicitor, Peddler, and Park Concessions Permit Fee (30-days or less).....	\$50.00
Solicitor, Peddler, and Park Concessions Permit Fee (90-days or less).....	\$100.00
Park Concessions Only - Permit Fee (180-days or less).....	\$150.00
Transient and Mobile Food Vendor Permit Fee (valid one year).....	\$100.00
Golf Cart Fee (valid three years).....	\$10.00

Lexis Nexis (3 rd party fee).....	\$18.00
Display Badge.....	\$2.00

Regional Water

Bacteria Analysis (Contractors).....	\$50.00
Bacteria Analysis (Partners).....	\$35.00
Potable Water (Used Rate).....	\$2,213.00
Potable Water (Fixed Rate).....	\$1,415.00

Sanitation

Sanitation Charge – Monthly	
1 Pickup per week per dwelling (includes one 96-gallon roll-out).....	\$29.00
Additional 96-gallon roll-out container.....	\$5.17
2 Pickups per week per business.....	\$56.73
3 Pickups per week per business.....	\$85.10
4 Pickups per week per business.....	\$113.46
5 Pickups per week per business.....	\$141.83
Roll-out Container Replacement Fee.....	\$75.00
Large Trash Collection Fee.....	\$75.00 per hr (min. \$75.00)
Appliance Collection Fee.....	\$15.00 per item
Commercial Recycle Monthly (ABC License only)	
Weekly pickup.....	\$30.00
Construction Materials.....	\$350.00 per hr (min. \$350.00)
Landfill Fee (Business Customers only).....	\$5.50
*Loose Leaf Pick Up after deadline date- Minimum	\$75.00

Sewer Collection

Sewer Rates²

¹ CF = Cubic Feet of water consumed or sewer metered through a sewer measuring device.

10,000 cubic ft or less (inside city).....	\$14.98 minimum plus \$5.33 per 100 cu. ft., <i>plus</i>
<i>For the next utilization tier</i>	
Over 10,000 cubic ft (inside city).....	\$3.82 per 100 cu. ft.
10,000 cubic ft or less (outside city).....	\$37.43 minimum plus \$13.34 per 100 cu. ft., <i>plus</i>
<i>For the next utilization tier</i>	
Over 10,000 cubic ft (outside city).....	<u>\$9.59</u> per cu. ft.

Sewer Taps

4" Sewer Tap.....	\$2,000
6" Sewer Tap (within manhole).....	\$2,400
Above 6" Sewer Tap	Actual cost of labor, equipment & material plus 10%

Capacity Usage Fee.....	\$0.87/gallon
	(gallons determined by type of establishment)

Rentals

Jet Vac Machine.....	\$300.00 per hour
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Sewer Collection I&I

Rentals

TV Camera Truck.....\$200.00 per hour

Street

Street Cuts

Asphalt Street (20'0" wide).....\$150.00

Concrete Base Street (more than 4").....\$350.00

Concrete Base Street (less than 4").....\$320.00

Unpaved Street.....\$100.00

Sidewalk Cuts

Concrete Sidewalk (except Garnett St. from Spring St. to Church St.).....\$100.00

Garnett Street (from Church St. to Spring St.).....\$150.00

Curb and Gutter Cut (3 ft. minimum charge)\$15.00/ft

Encroachment Fee.....\$20.00

Vehicle Tag Fee.....\$20.00

Water Distribution

Water Rates

First 500 cubic ft. (minimum fee – inside city).....\$12.02, *plus*

Next 3,500 cubic ft. (inside city).....\$2.72 per 100 cubic ft., *plus*

Over 4,000 cubic ft. (inside city).....\$2.06 per 100 cubic ft.

First 500 cubic ft. (minimum fee – outside city).....\$30.04, *plus*

Next 3,500 cubic ft. (outside city).....\$6.81 per 100 cubic ft., *plus*

Over 4,000 cubic ft. (outside city).....\$5.14 per 100 cubic ft.

Irrigation (Residential and Non-Residential)

First 500 cubic ft. (minimum fee – inside city).....\$12.02, *plus*

Over 500 cubic ft. (inside city).....\$2.72 per 100 cubic ft., *plus*

First 500 cubic ft. (minimum fee – outside city).....\$30.04, *plus*

Over 500 cubic ft. (outside city).....\$6.81 per 100 cubic ft.

Large Quantity Water Rates

First 100,000 cubic ft. (inside city).....\$1.54 per 100 cubic ft., *plus*

Over 100,000 cubic ft. (inside city).....\$1.23 per 100 cubic ft.

First 100,000 cubic ft. (outside city).....\$3.80 per 100 cubic ft., *plus*

Over 100,000 cubic ft. (outside city).....\$3.06 per 100 cubic ft.

Water Taps

¾" Water Tap.....\$2,470.00

1" Water Tap.....\$2,680.00

1" Water Tap w/ two ¾" Branch Meters.....\$3,180.00

2" Water Tap.....\$8,500.00

Above 1" Taps.....Actual cost of labor, equipment & materials plus 10%

Bulk Water

Inside Rate.....	\$9.50 service connection (includes first 500 gallons) .007/gallons for any amount over 500
Outside Rate.....	\$16.45 service connection (includes first 500 gallons) .011/gallon for any amount over 500
Capacity Usage Fee.....	\$0.59/gallon (gallons are determined by type of establishment)

Set Meter Fee

¾" Taps already in place.....	\$300.00
1" Taps already in place.....	\$400.00
2" Taps already in place.....	\$3,000.00
Fire Protection Sprinkler Fee.....	based on sq. footage
Fire Hydrant Application Fee.....	\$50.00
Fire Hydrant Application Fee.....	\$50.00 per calendar year
Fire Hydrant Meter Deposit.....	(see below)
3".....	\$1,500.00
5/8".....	\$300.00
Minimum Rental Charge	
Per Day.....	\$20.00
Per Week.....	\$100.00
Per Month.....	\$300.00
Per 6 Months.....	\$1,300
Per Year.....	\$2,000

Fire Hydrant – Category A

Inside Rate - charge for floor space protected with private fire line and two or more fire hydrants – no inside sprinkler system

Fire Protection Sprinkler fee.....	based on square footage
Per 10,000 sq. feet - Minimum (A1).....	\$3.38
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$1.86
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$0.81
Outside Rate - charge for floor space w/only a private fire line & fire hydrants(s) - no inside sprinkler	
Per 10,000 sq. feet - Minimum (B1).....	\$6.90
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$3.73
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$2.61

Fire Hydrant – Category B

Inside Rate - charge for floor space protected with inside sprinkler system and public fire system

Per 10,000 sq. feet - Minimum (A1).....	\$6.18
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$2.57
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$1.34
Outside Rate - charge for floor space protected with inside sprinkler and public fire systems	
Per 10,000 sq. feet - Minimum (B1).....	\$12.63
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$5.14
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$2.57

Fire Hydrant – Category C

Inside Rate - charge for floor space protected with inside sprinkler systems, private fire line and two or more hydrants	
Per 10,000 sq. feet - Minimum (A1).....	\$9.55
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$4.43
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$2.09
Outside Rate - charge for floor space protected with inside sprinkler system, private fire line, and two or more hydrants	
Per 10,000 sq. feet - Minimum (B1).....	\$19.53
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$8.89
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$5.18
Fire Hydrant – Subdivision outside of City limits (to be charged per lot when service is made).....	\$1.97

Water Distribution/Sewer Collection

Rental Fees (Add Personnel/Supervision/Materials fees below to rental fee)

Pickup Trucks (3/4 and 1 Ton).....	\$25.00 per hour
Backhoe.....	\$60.00 per hour
Dump Truck.....	\$40.00 per hour
Tamp. Concrete Saw.....	\$20.00 per hour
Air Compressor.....	\$20.00 per hour
Personnel.....	Employee wage plus 10%
Supervision Charge.....	\$100.00 per hour
Materials.....	Material Cost plus 10%

Water Reclamation

Sewer Surcharges

Biochemical Oxygen Demand.....	\$0.1941 lb.
Chemical Oxygen Demand.....	\$0.0968 lb.
Total Suspended Solids.....	\$0.0989 lb.
Total Kjeldahl Nitrogen.....	\$1.4845 lb.
Total Phosphorus.....	\$2.8697 lb.
Sampling Fee.....	\$9.06 to \$62.63
Priority Pollutant Scan – Sampling Fees.....	\$1,661.04
Mercury Clean Sampling Fee.....	\$377.52
Compliance Inspection – Pretreatment.....	\$754.98
Toxicity: Mini Chronic/Full Range.....	\$490.73 - \$1,094.79
Permit Fee for Discharge (based on gallons per day).....	\$305.95 - \$758.49
Permit Fee for Discharge of Groundwater Remediation Project.....	\$605.52
FOG Compliance Inspection and Monitoring.....	\$7.64 per mo.
FOG Permit Fee.....	\$153.00

Septic Waste Tank Hauler Fee

Tier 1	
0-1,500 gallons	\$65.00
Tier 2	
1,501 – 2,000 gallons	\$80.00
Tier 3	
2,001-3,000 gallons	\$105.00
Tier 4 >3,000 gallons	\$0.04 cents per gallon *
* This applies to larger tanker trucks only and would be billed at a minimum of \$105 and .04 cents per gallon over 3,000 gallons.	

Recreation

Registration Fees – Youth

Youth Athletics Registration Fees (County Resident):

Football, Volleyball, Soccer & Basketball	\$30.00
Youth Athletics Registration Fee (Non-Resident)	
Football, Volleyball, Soccer & Basketball	\$60.00
Babe Ruth Baseball & Softball	\$30.00
All Star	\$20.00

Youth Sponsorship Fees:

T-Ball League Baseball	\$550.00
Rookie League Baseball	\$750.00
Cal Ripken League Minor Baseball	\$350.00
Cal Ripken League Major Baseball	\$375.00
Babe Ruth League Baseball	\$400.00
Babe Ruth League 8-Under Softball	\$750.00
Babe Ruth League 10-Under Softball	\$350.00
Babe Ruth League 12-Under Softball	\$350.00
Babe Ruth League 16-Under Softball	\$350.00
Youth Basketball, Soccer & Volleyball	\$250.00

Recreation Insurance	\$10.00
----------------------	---------

Registration Fees - Adult

Team Registration Fee (Non-County Resident – add \$10.00 per person to fees below)

Industrial League Basketball, Softball	\$420.00
Open League Basketball	\$420.00
Women's Open Softball	\$300.00
Men's Open Softball	\$420.00

Rentals (See *Rentals – For-Profit* or *Rentals – Non-Profit* also)

Batting Cage per hour (County)	\$10.00
Batting Cage per hour (Non-County)	\$15.00
Aycock Ballfield per field per hour (County)	\$10.00
Aycock Ballfield per field – lighted per hour (County)	\$20.00
All other Ballfields per field per hour (County)	\$10.00
All other Ballfields per field – lighted per hour (County)	\$15.00

Aycock Ballfield per field per hour (Non-County).....	\$20.00
Aycock Ballfield per field – lighted per hour (Non-County).....	\$40.00
All other Ballfields per field per hour (Non-County).....	\$20.00
All other Ballfields per field – lighted per hour (Non-County).....	\$30.00
Ballfield Weekend (Friday, Saturday & Sunday) (County).....	\$200.00
Ballfield Weekend (Friday, Saturday & Sunday) (Non-County).....	\$350.00
Rentals – Non-Profit	
Aycock Ballfield per field per hour (County).....	\$10.00
Aycock Ballfield per field – lighted per hour (County).....	\$20.00
Aycock Ballfield one day / all four fields (County).....	\$200.00
All other Ballfields per field per hour (County).....	\$10.00
All other Ballfields per field – lighted per hour (County).....	\$15.00
Ballfield Weekend (Friday, Saturday & Sunday) (County).....	\$500.00
Lights per field per hour (County).....	\$20.00
Old Aycock Gym per hour (County).....	\$30.00
Aycock Ballfield per field per hour (Non-County).....	\$20.00
Aycock Ballfield per field – lighted per hour (Non-County).....	\$40.00
Aycock Ballfield one day / all four fields (Non-County).....	\$350.00
All other Ballfields per field per hour (Non-County).....	\$20.00
All other Ballfields per field – lighted per hour (Non-County).....	\$30.00
Ballfield Weekend (Friday, Saturday & Sunday) (Non-County).....	\$750.00
Lights per field per hour (Non-County).....	\$30.00
Old Aycock Gym per hour (Non-County).....	\$45.00
Rentals – For Profit	
Aycock Ballfield – per field per hour (County).....	\$20.00
All other Ballfields per hour (County).....	\$15.00
Aycock Ballfield – per field – lighted per hour (County).....	\$30.00
All other Ballfields – lighted per hour (County).....	\$20.00
Aycock one day / all four fields (County).....	\$300.00
Old Aycock Gym per hour - 2 hour minimum (County).....	\$50.00
Aycock one day / all four fields (Non-County).....	\$500.00
Aycock Weekend / all four fields (Friday, Saturday & Sunday) (County).....	\$650.00
Aycock Ballfield per field per hour (Non-County).....	\$30.00
All other Ballfields per hour (Non-County).....	\$25.00
Aycock Ballfield – per field – lighted per hour (Non-County).....	\$40.00
All other Ballfields – lighted per hour (Non-County).....	\$30.00
Aycock Weekend / all four fields (Friday, Saturday & Sunday) (Non- County).....	\$800.00
Old Aycock Gym per hour – 2 hour minimum (Non-County).....	\$75.00
Lights per field per hour	\$25.00
Shelter per four-hour period	\$30.00
Shelter per day	\$45.00
Additional Services	
Drag/Mark fields between each game per field (County).....	\$20.00
Drag/Mark fields after 2 games per field (County).....	\$15.00
Drag/Mark fields halfway through each day per field (County).....	\$10.00
Supply ice water in coolers w/cups per dugout per game (County).....	\$10.00
Drag/Mark fields between each game per field (Non-County).....	\$30.00

Drag/Mark fields after 2 games per field (Non-County)	\$25.00
Drag/Mark fields halfway through each day per field (Non-County)	\$20.00
Henderson Rec Players Tickets (other than McGregor Hall Events)	\$10.00
McGregor Hall Event Tickets	\$15.00

Special Events (Athletic)

District Tournament Daily Pass for Students	\$3.00
District Tournament Daily Pass for Adults	\$5.00
District Tournament Pass for entire Tournament	\$10.00
State Tournament Daily Pass for Students	\$5.00
State Tournament Daily Pass for Adults	\$7.00
State Tournament Pass for Entire Tournament	\$20.00
Athletic Event Daily Pass	\$3.00
Athletic Event Tournament Pass	\$6.00
Special Events (Non-Athletic)	not to exceed \$8.00

Aycock Center Rental

Aquatics –

Pool Non-Profit - County (per hour)	\$70.00
Pool Non-Profit – Non-County (per hour)	\$75.00
Pool For-Profit – County (per hour)	\$125.00
Pool For-Profit – Non-County (per hour)	\$175.00
Swim Teams & Clubs – Private County (per lane, per day)	\$12.00
Swim Teams & Clubs – Private Non-County (per lane, per day)	\$12.00
Swim Teams & Clubs – County (per lane, per hour)	\$8.00
Swim Teams & Clubs – Non-County (per lane, per hour)	\$12.00

Swim Lessons

Preschool Ages 3-5 - 6 30-minute sessions	\$30.00
Ages 6-12 - 6 60 minutes sessions	\$48.00
Parent Tot Ages 6 months – 3-years	\$30.00
Adults/Beginners 16+ - 6 30-minute sessions	\$30.00
Water Aerobics (per class - 5 per week)	
Non-Member	\$2.00
Member	\$1.00

Gymnasium

Aycock Recreation Complex Non-Profit per hour – County	\$70.00
Aycock Recreation Complex Non-Profit per hour – Non-County	\$85.00
Aycock Recreation Complex - Non-Profit Private Team - County (per practice/game)	\$30.00
Aycock Recreation Complex - Non-Profit Private Team – Non-County (per practice/game)	N/A
Aycock Recreation Complex For- Profit per hour – County	\$100.00
Aycock Recreation Complex For-Profit per hour – Non-County	\$150.00
Multi-purpose Room Non-Profit per hour – County	\$70.00
Multi-purpose Room Non-Profit per hour – Non-County	\$75.00
Multi-purpose Room For-Profit per hour – County	\$125.00
Multi-purpose Room For-Profit per hour – Non-County	\$175.00
Aycock Lobby – County	\$25.00

Aycock Lobby – Non-County.....	\$30.00
Fees	
Aycock Recreation Center	
Resident – Daily	
Adult Single Admission.....	\$5.00
Teen 18 and under.....	\$2.00
Senior 55 and over.....	\$2.00
Resident – Monthly	
Adult Single Admission.....	\$30.00
18 and under.....	\$25.00
Senior 55 and over.....	\$25.00
Non-Resident – Daily	
Adult Single Admission.....	\$10.00
18 and under.....	\$5.00
Senior 55 and over.....	\$5.00
Non-Resident – Monthly	
Adult Single Admission.....	\$50.00
18 and Under.....	\$45.00
Senior 55 and Over.....	\$45.00
Resident Family Pass – Monthly	
Family Pass.....	\$35.00
Seniors 55 and Over.....	\$25.00
Non-Resident Family Pass – Monthly	
Family.....	\$65.00
Seniors 55 and Over.....	\$50.00
City/County/State Employee – Monthly	
Family Pass.....	\$17.00
Adult.....	\$15.00
Senior 55 and Over.....	\$12.00
Classes/Programs	
Preschool per class.....	\$3.00
Walking Program per month (Adult/Senior).....	\$15.00
Swim Group.....	\$2.00
Camps	
Summer Day Camp – per week (8-11 year olds).....	\$50.00
Swim Camp.....	\$10.00
Aquatics Club	
Winter/Spring.....	\$160.00
Summer.....	\$225.00

GENERAL FUND

GENERAL FUND DEPARTMENTS

1. Governing Body
2. City Attorney
3. Administration
4. Human Resources
5. Finance
6. Information Technology (IT)
7. Downtown Development
8. Development Services
9. Public Buildings & Grounds
10. Police
11. Fire
12. Administration- Public Services
13. Garage
14. Cemetery
15. Street
16. Sanitation
17. Recreation
18. Youth Services
19. Aycock Aquatics Center
20. Vance County Shared Programs
21. Non-Departmental
22. Contributions to Local Agencies
23. Debt Service

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10: GENERAL FUND SUMMARY

GENERAL FUND DEPARTMENTS				
Department	2022 Council Amended Budget	2023 Department Requested Budget	2023 Council Approved Budget	% Increase or Decrease
Governing Body	\$ 233,900	\$ 257,450	\$ 251,450	7.50%
Administration - City Attorney	\$ 61,000	\$ 61,000	\$ 61,000	0.00%
Administrative	\$ 332,410	\$ 366,600	\$ 366,600	10.29%
Human Resources	\$ 194,370	\$ 223,200	\$ 223,200	14.83%
Finance	\$ 506,145	\$ 560,504	\$ 560,504	10.74%
Information Services	\$ 261,060	\$ 291,450	\$ 291,450	11.64%
Downtown Development	\$ 104,465	\$ 111,350	\$ 111,350	6.59%
Development Services	\$ 549,120	\$ 659,200	\$ 619,200	12.76%
Public Buildings and Grounds	\$ 107,700	\$ 116,800	\$ 116,800	8.45%
Police	\$ 5,512,545	\$ 6,035,600	\$ 6,035,600	9.49%
Police - Asset Forfeiture	\$ 42,500	\$ -	\$ -	-100.00%
Fire	\$ 3,529,080	\$ 6,690,969	\$ 5,014,569	42.09%
Public Works Administration	\$ 181,610	\$ 227,100	\$ 220,600	21.47%
Garage	\$ 1,015,990	\$ 1,139,400	\$ 1,030,500	1.43%
Cemetery	\$ 223,300	\$ 128,300	\$ 120,500	-46.04%
Street	\$ 1,675,720	\$ 2,456,400	\$ 1,450,400	-13.45%
Sanitation	\$ 1,165,000	\$ 1,702,950	\$ 1,173,350	0.72%
Recreation	\$ 1,193,280	\$ 1,785,500	\$ 1,293,000	8.36%
Youth Services	\$ 218,630	\$ 227,750	\$ 227,750	4.17%
Aycock Aquatics Center	\$ 421,540	\$ 635,655	\$ 465,855	10.51%
Vance County Shared Programs	\$ 1,223,950	\$ 1,221,000	\$ 1,325,100	8.26%
Non-Departmental	\$ 820,530	\$ 892,000	\$ 892,000	8.71%
Contribution to Local Agencies	\$ 33,050	\$ 33,050	\$ 33,050	0.00%
Debt Service	\$ 674,550	\$ 804,622	\$ 804,622	19.28%
Total - General Fund	\$ 20,281,445	\$ 26,627,850	\$ 22,688,450	11.87%

\$1,675,000 of Fund Balance has been appropriated to balance this year's budget to help cover staff increases, insurance increases and other operational expenses, however projected savings and revenue results typically negate the use of fund balance.

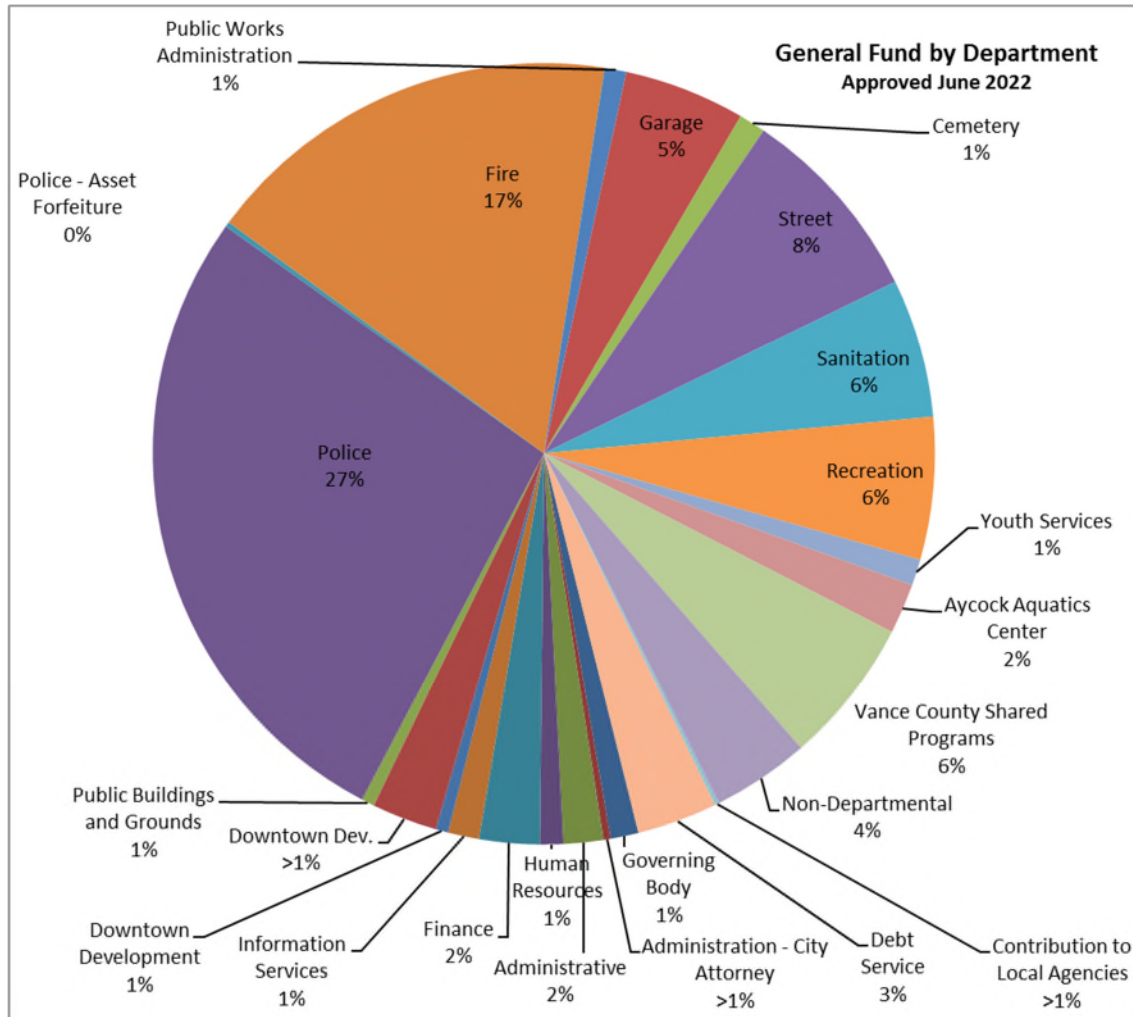
\$1,341,100 has been budgeted for loan purchase of capital outlay to include a new Fire engine and Police vehicles.

\$1,325,100 has been budgeted for County shared programs to cover the City's portion of Elections, Tax Office, 911, H. Leslie Perry Library, and NCDMV.

\$35,050 has been budgeted for Local Agencies such as Vance/Granville Airport, Corbitt Assn., Crime Stoppers, Boys & Girls Club, and the Vance Arts Council.

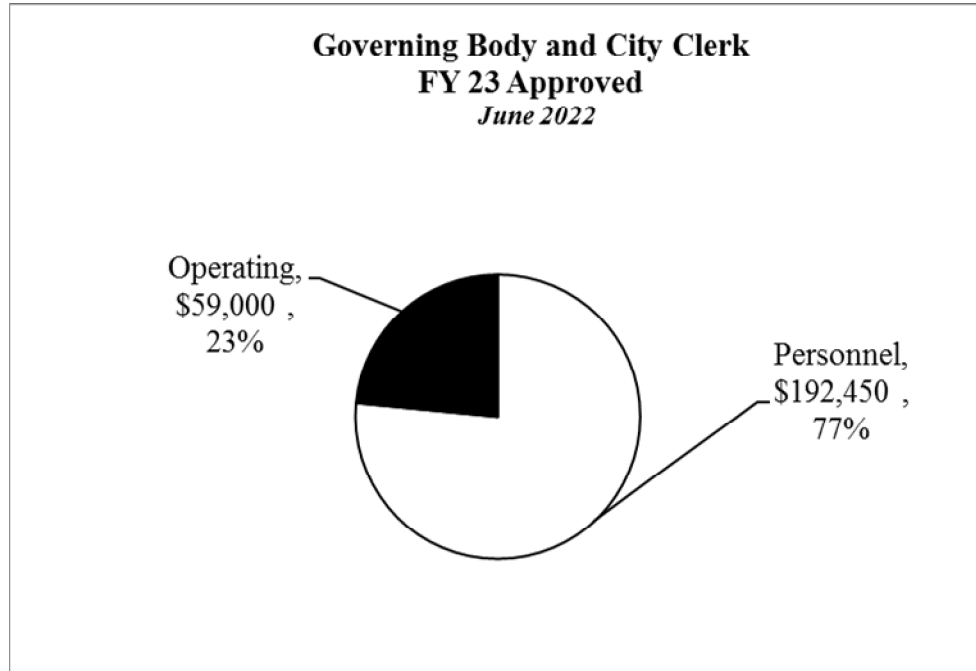
\$25,000 has been budgeted for the contributions to the Downtown Development Commission.

**FY 22-23 BUDGET
GOVERNING BODY
10: GENERAL FUND SUMMARY**



FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-410: GENERAL FUND GOVERNING BODY SUMMARY

10-410: GOVERNING BODY SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 157,400	\$ 163,125	\$ 164,850	\$ 164,850	\$ 192,450	\$ 192,450	\$ 192,450
Operating	63,650	66,200	69,050	69,050	65,000	59,000	59,000
Total Expenditures	\$ 221,050	\$ 229,325	\$ 233,900	\$ 233,900	\$ 257,450	\$ 251,450	\$ 251,450



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
		Elected Officials					
1	1	Mayor					
8	8	Council Members					
		Administrative Staff					
1	1	City Clerk			19	\$42,747	\$64,121
1 FT/ 9 EO	1 FT/ 9 EO						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized d Positions	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-410: GENERAL FUND GOVERNING BODY SUMMARY

PURPOSE

The City of Henderson is structured as a Council-Manager form of government pursuant to the North Carolina General Statutes. The Mayor is elected at-large and eight Council Members are elected to represent four (4) wards. Each ward has one council member elected by ward vote only and one council member is elected at-large. Council members and the mayor are elected for four-year staggered terms.

The City Council is the legislative board of City government and sets the policies for the City. It appoints the City Manager, City Attorney and City Clerk.

FY22 ACCOMPLISHMENTS

- **Strategic Plan:** Council held a Strategic Planning Retreat in February 2022.
- **Infrastructure:**
 - Continued progress on the Kerr Lake Regional Water Plant upgrade design and future construction
 - CIP projects underway including Water/Sewer Financial Analysis
 - 1,680 tons street overlay work completed
- **Major Accomplishments:**
 - Received a CDBG Grant for Redevelopment
 - Received a PARTF Grant for Recreation
 - Received a URA Grant for Urban Redevelopment
 - As a result of the 2020 Census, redistricting was accomplished for Council Wards
 - Downtown pavilion
 - Support for the acquisition and development of the NCDOT S-Line and SA-Line
 - Named the Operations and Service Center in Honor of Dr. Andrea S. Harris
 - Named the Orange Street Parking Lot for Dr. Steven Pearson
 - Named Fox Pond Tennis Courts for Ms. Mary Lloyd Barbara Hodges
 - Names Fox Pond Shelter #1 for Mr. Eddie Hicks
 - Premium Pay increases for employees
 - Economic Incentive with MR Williams
 - Approved FY Ending June 30, 2021 Audit

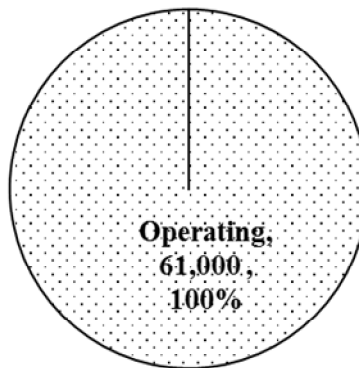
KEY BUDGET ISSUES

- Continue to increase tax base and stability of existing housing stock
- Retaining staffing and competitive salaries
- Fire Station #3
- IT needs
- Redevelopment
- KLRW Improvements

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

10-414: CITY ATTORNEY SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Operating	64,050	66,000	61,000	61,000	61,000	61,000	61,000
Total Expenditures	\$ 64,050	\$ 66,000	\$ 61,000	\$ 61,000	\$ 61,000	\$ 61,000	\$ 61,000

City Attorney
FY 23 Approved
June 2022



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1 PT	1 PT	City Attorney (Contracted part time)					
		No Salary provided					
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

PURPOSE

To provide legal counsel to the Mayor, City Council, City Manager and City staff; review Ordinances and Resolutions as well as contracts and agreements; and to represent the City as needed.

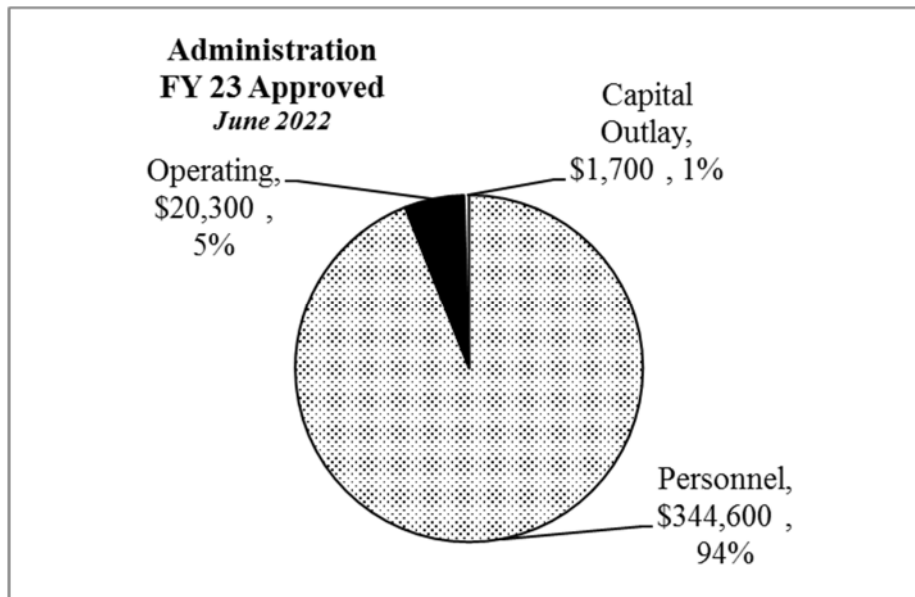
The City Attorney, D. Rix Edwards, provides part-time services to the City via a contract with the firm of Stainback, Satterwhite, & Zollicoffer.

KEY BUDGET ISSUES

- Additional funding for legal counsel outside the realm of the City Attorney's expertise
- Additional funding for extensive title searches performed by outside contractors.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

10-420: ADMINISTRATIVE DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30 June 22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 308,900	\$ 311,075	\$ 313,085	\$ 313,085	\$ 344,600	\$ 344,600	\$ 344,600
Operating	12,800	17,600	16,825	16,825	20,300	20,300	20,300
Capital Outlay	1,500	2,500	2,500	2,500	1,700	1,700	1,700
Total Expenditures	\$ 323,200	\$ 331,175	\$ 332,410	\$ 332,410	\$ 366,600	\$ 366,600	\$ 366,600



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	City Manager	-	-	-		
1	1	Assistant City Manager	31	\$75,574	\$113,361		
1	1	Executive Assistant	14	\$33,818	\$50,727		
		Authorized, Frozen Unfunded Positions					
0	0	Administrative Support Specialist	11	frozen			
0	0	Special Projects Manager	n/a	frozen			
3	3						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	5	5	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

PURPOSE

To guide, lead and direct all City departments in administrative matters related to and necessary for implementing City Council's policy.

The Administration Department consists of the City Manager, Assistant to the City Manager, Executive Assistant to the City Manager, Administrative Support Specialist and Special Projects Manager. The Special Projects Manager and the Administrative Support Specialist positions have been frozen and unfunded for years.

GOALS & OBJECTIVES

1. Priority 1. Improve the perception of the city.
2. Priority 2. Attract and retain employees with a focus on succession planning.
3. Priority 3. Encourage housing stock that is diverse, safe, and affordable.
4. Priority 4. Promote economic development/develop and revitalize downtown.

FY22 ACCOMPLISHMENTS

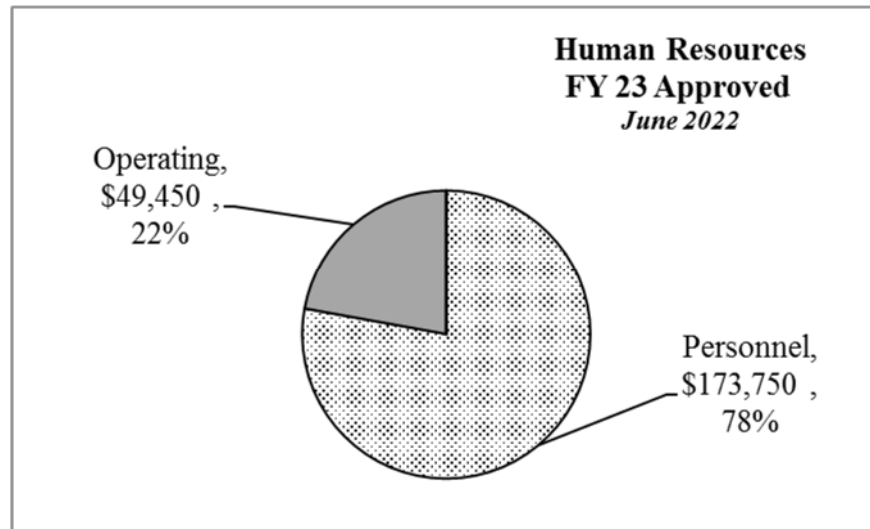
- Successfully met all U.S Treasury reporting requirements for receipt of American Rescue Plan Act (ARPA) funds.
- Adopted the West End Urban Redevelopment Plan.
- Received a \$750,000 Community Development Block Grant (CDBG) from the NC Department of Commerce to rehabilitate several homes in disrepair as part of the City's revitalization efforts.
- Began construction of the Williams/Montgomery Street Park utilizing grant funding from the National Fitness Campaign and the NC Park and Recreation Trust (PARTF) grant program.
- Received \$3.5 million in federal funding secured by Congressman G.K. Butterfield. for the Kerr Lake Regional Water System.

KEY BUDGET ISSUES

- Addressing the disparities in hiring salaries for various City departments.
- Identifying a location and funding source for the construction of a 3rd Fire Station.
- Finding additional funds for upcoming capital needs related to building and infrastructure.
- Identifying funding sources for the implementation of the City's redevelopment efforts.
- Securing additional funding to fill the shortfall for the Kerr Lake Regional Water System upgrade and expansion project.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

10-425: HUMAN RESOURCES SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 195,210	\$ 209,075	\$ 155,360	\$ 155,360	\$ 173,750	\$ 173,750	\$ 173,750
Operating	37,800	39,000	37,710	37,710	49,450	49,450	49,450
Capital Outlay	\$ -	\$ -	\$ 1,300	1,300	\$ -	\$ -	\$ -
Total Expenditures	\$ 233,010	\$ 248,075	\$ 194,370	\$ 194,370	\$ 223,200	\$ 223,200	\$ 223,200



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		<i>Authorized Funded Positions</i>					
1	1	Human Resources Director	27	\$62,441	\$93,662		
1	1	Human Resources Technician	12	\$30,814	\$46,221		
2	2						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	3	3	3	2	2	2	2
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	2	2	2	2

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

PURPOSE

To plan and manage programs related to the recruitment, benefits, classification and compensation, training, employee safety, and employee and labor relations functions of the City. Each function should be performed in accordance with the City of Henderson's policies and procedures as well as local, state and federal regulations.

GOALS & OBJECTIVES

- Goal 1: Expand the employee wellness program for City employees.
Objective 1: To expand the wellness program so that it will promote healthy lifestyles and enhance the physical, mental and emotional health of employees.
- Goal 2: Identify a personnel/payroll system.
Objective 1: To identify a personnel/payroll system that will allow Human Resources staff to maintain employee statistical data and run reports.
- Goal 3: Expand recruitment efforts to attract and retain qualified applicants for vacant positions.
Objective 1: To be creative and consider hiring applicants with education and limited experience or vice versa as trainees until they meet the minimum requirements.

FY22 ACCOMPLISHMENTS

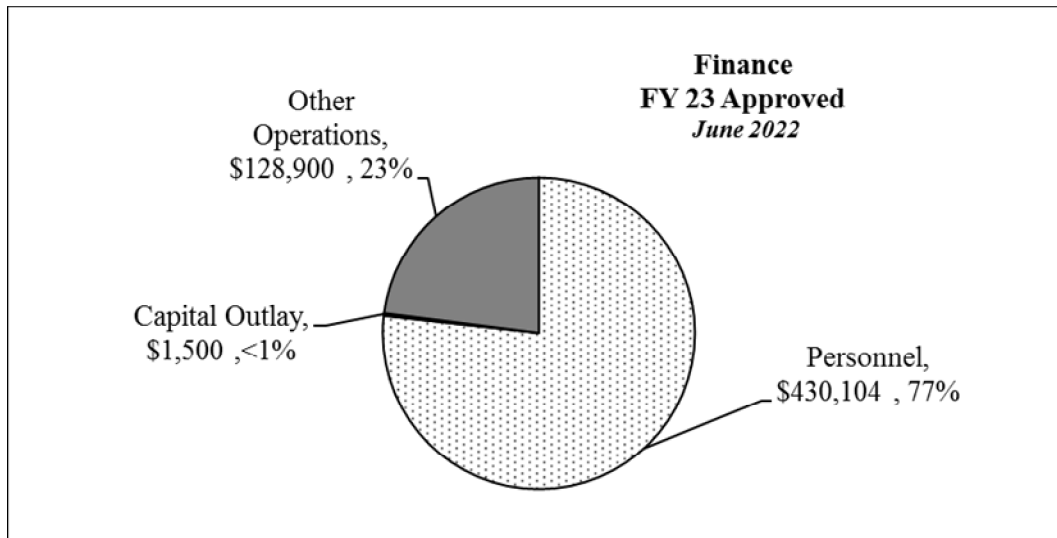
- Effective July 1, 2021, Mark III Employee Benefits began serving as the City of Henderson's Benefits Broker. Participated in the entire transition process which included Request for Proposals (RFPs); coordinated and presented at benefits meetings to employees and pre-65 retirees; received training on new benefits database and billing systems; began working with new Medicare Sales Consultant, etc.
- A Consultant was hired to provide awareness and training to City employees on Diversity, Equity and Inclusion (DEI). Collaborated with another Department Head and worked with the Consultant to schedule meetings and focus groups for employees.
- Worked with City Attorney and prepared written documentation and coordinated telephone hearings for unemployment compensation claims filed by former employees. For each claim, the adjudicator's determination was reversed, and claimants were disqualified for unemployment benefits.

KEY BUDGET ISSUES

- Recruitment: There is difficulty in attracting and retaining employees in some positions due to salaries that are not competitive to those of other agencies.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY

10-440: FINANCE DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 343,500	\$ 364,375	\$ 385,370	\$ 385,370	\$ 430,104	\$ 430,104	\$ 430,104
Operating	111,400	131,800	119,275	119,275	128,900	128,900	128,900
Capital Outlay	1,500	1,500	1,500	1,500	1,500	1,500	1,500
Total Expenditures	\$ 454,900	\$ 497,175	\$ 506,145	\$ 506,145	\$ 560,504	\$ 560,504	\$ 560,504



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Finance Director	28	\$65,488	\$98,232		
1	1	Assistant Finance Director	25	\$56,775	\$85,163		
1	1	Accountant	16	\$37,131	\$55,697		
1	1	Payroll Specialist	13	\$32,280	\$48,420		
1	1	Accounts Payable Specialist	12	\$30,814	\$46,221		
5	5						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	6	6	5	5	5	5	5
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5	5	5	5	5	5	5

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY**

PURPOSE

To administer the fiscal affairs of the City in compliance with local, state and federal regulations and in accordance with generally accepted accounting principles of governmental accounting and the rules and regulations of the North Carolina Local Government Commission. The Finance Department's responsibilities include the collection and disbursement of funds, control of expenditures, cash and asset management, payroll and purchasing. The Department is responsible for insuring that all of the City's disbursements are in strict compliance with laws and regulations and the City's budget ordinance.

GOALS & OBJECTIVES

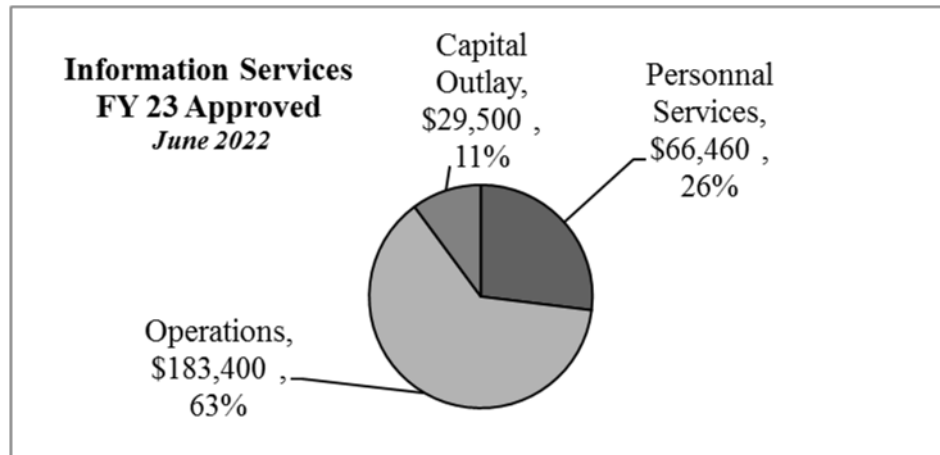
- Goal 1:** Earn the GFOA Certificate of Achievement Award for Excellence in Financial Reporting.
- Objective 1:** Work closely with auditors to ensure that the FY22 Comprehensive Annual Financial Report meets or exceeds the requirements for the GFOA award and assist with preparation of the FY23 budget in compliance with GFOA guidelines.
- Goal 2:** To record and post financial data in a timely and efficient manner.
- Objective 1:** To utilize and/or expand the comprehensive checklist of critical dates for various items and/or tasks including revenue receipts (sales tax, utility franchise tax, etc.), debt service payments, reporting deadlines, etc.
- Objective 2:** To continue to review and monitor this checklist on an on-going basis to ensure that deadlines are met and that financial data is recorded accurately and in a timely manner in order to provide meaningful and reliable up-to-date financial information to management and department heads and submit all "outside" reports (Powell Bill, various LGC reports, NC Dept. of Revenue reports, etc.) by their required due dates.
- Goal 3:** Improve current departmental processes and procedures and cross-train all Finance staff.
- Objective 1:** Review current processes and procedures for potential improvements. Determine if distribution of departmental tasks and responsibilities are assigned in the most efficient manner and re-align/re-assign duties and responsibilities where efficiencies could be improved.

FY22 ACCOMPLISHMENTS

- **Audit:** Received a "clean," unmodified opinion on the FY21 financial audit report. Due to new GASB 87 rule regarding the required reporting of lease agreement activity in the financial statements, the City will comply via engagement with Debtbook, Inc. to satisfy this mandate.
- Automated procedures surrounding electronic procurement and related accounting processes generated over \$63,000 in rebate revenue for the City since its inception. In FY22, we are expecting to approach \$75,000 in accrued revenue. Not only do these innovations build revenue, but significantly reduce costs and time in processing the City's expense budgets.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

10-450: INFORMATION SERVICES DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnal Services	\$ 60,180	\$ 75,125	\$ 66,460	\$ 66,460	\$78,550	\$ 78,550	\$ 78,550
Operating	45,000	61,600	70,600	\$ 70,600	\$ 183,400	183,400	183,400
Capital Outlay	15,000	38,200	124,000	124,000	29,500	29,500	29,500
Total Expenditures	\$ 60,000	\$ 99,800	\$ 261,060	\$ 194,600	\$ 291,450	\$ 291,450	\$ 291,450



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Information Technology Administrator			20	\$44,809	\$67,214
HISTORY OF POSITION							
	FY 18-19	FY 19-20	FY 19-20	FY 20-21	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	0	0	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	0	0	0	1	1	1	1

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

PURPOSE

To provide support, assistance, and development to all departments regarding Information Technology systems.

GOALS & OBJECTIVES

- Goal:** To update and maintain the City's Information Technology (IT) infrastructure.
- Objective 1:** Meet and exceed the needs of the City's workforce to operate, serve, and protect the public, in a timely manner.
- Objective 2:** To keep the City's critical systems and sensitive information from digital attacks.
- Objective 3:** Improve upon the existing IT disaster recovery plan.

FY22 ACCOMPLISHMENTS

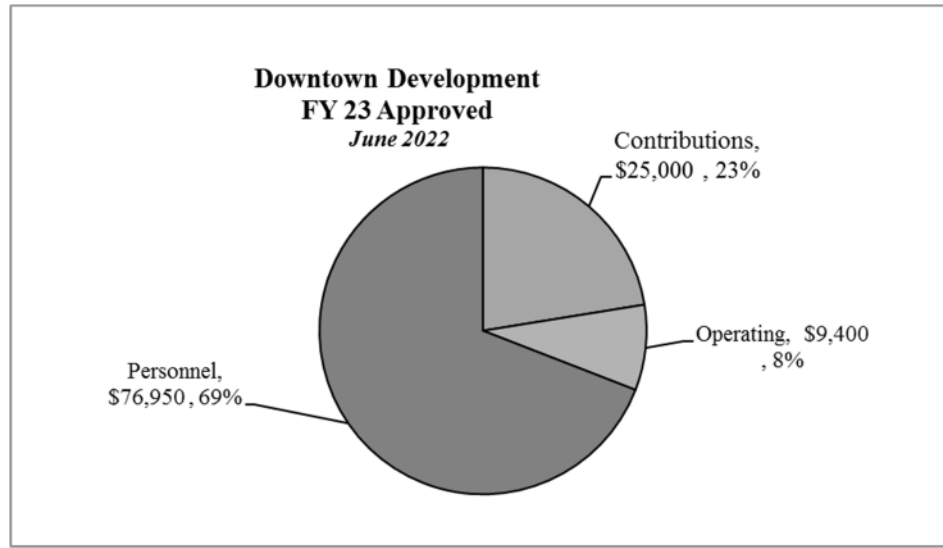
- NCOL has been retained on a two-year contract to provide on-site IT Administration
- New firewalls were purchased and installed for all locations to heighten security and standardize the network.
- IT ticketing system
- Key fob access network
- Migration to NCDIT operating domain
- Homeland Security review of the City's IT network has been scheduled.

KEY BUDGET ISSUES

- Maintain a hardware replacement rate of 20% to facilitate continuous modernization of the IT system.
- Telephone System Upgrade: Currently, the City uses a telephone system where the hardware and software are no longer supported by the manufacturer. Replacement parts are being vended from discarded systems. Our telephone technology, if upgraded, would be a voice-over-internet protocol (VOIP) system.
- Continue to improve the City's website, firewalls, viral threat education, virus, and ransomware protection.

FY 22-23 Budget
GOVERNMENTAL FUNDS
10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

10-496: HVDD DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ -	\$ 70,525	\$ 72,715	\$ 72,715	\$ 76,950	\$ 76,950	\$ 76,950
Operating	\$ -	\$ 14,320	\$ 6,750	\$ 6,750	\$ 9,400	\$ 9,400	\$ 9,400
Contributions	50,000	25,000	25,000	25,000	25,000	25,000	25,000
Total Expenditures	\$ 50,000	\$ 109,845	\$ 104,465	\$ 104,465	\$ 111,350	\$ 111,350	\$ 111,350



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
		Authorized Funded Position					
1	1	Downtown Development Manager			19	\$42,747	\$64,121
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	1	1	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1	1	1	1	1	1	1

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

PURPOSE

To promote, enhance, facilitate and encourage a vibrant, healthy and historically significant downtown historic central business district. To ensure the Downtown business district is being managed using the four-point approach of the Main Street program: organization, promotion, design and economic vitality. To lead the Henderson-Vance Downtown Development Commission, a volunteer member group organized as a 501c3, in Main Street Community best practices resulting in community transformation and improvement.

GOALS & OBJECTIVES

- Goal 1:** Downtown Henderson is the destination for diverse cultural experiences in Vance County.
- Objective 1:** Increase job opportunities and growth of tax base through expansion of small businesses that are complimentary or compatible with existing cultural amenities by 10% over the next three years.
- Goal 2:** Create an environment that promotes community involvement downtown to build a progressive environment supporting business and tourism.
- Objective 1:** Add three new businesses in the next 12 months and increase participation in community events/festivals by 5% during the next three years. Increase the walking score by 10%.
- Goal 3:** Enhance the appearance and attractiveness of the central downtown district through structural improvements to downtown buildings, beautification projects and litter control.
- Objective1:** Promote façade improvement projects to downtown buildings by awarding three new Façade Grants and one Revolving Loan.
- Objective 2:** Implement the Downtown Planter Project by installing and maintaining ten new flower planters and provide upkeep for the new and existing planters and gardens. Install additional benches throughout downtown. Replace the downtown light pole banners with Progress/Duke Energy compliant banners. Partner with the Aquest Group on the Downtown Heritage Art Walk Project. Attractive window art/pictures for vacant downtown buildings. Way-finding signs project.

FY22 ACCOMPLISHMENTS

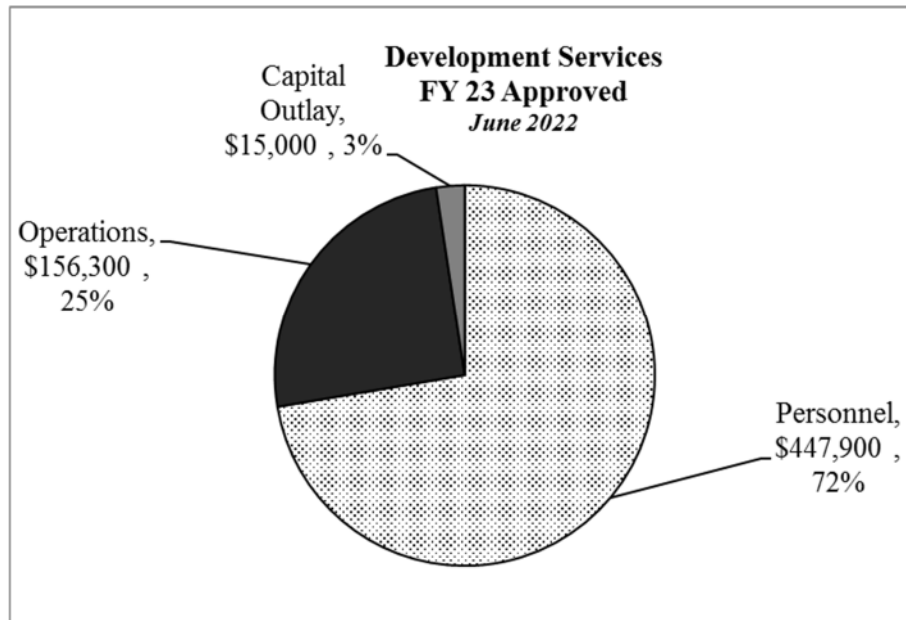
- The Henderson Main Street program earned re-accreditation for its work in 2020-21 and maintained National Main Street Community and NC Main Street Community status. Downtown Development Director completed all required training and certifications.
- Facilitated seven downtown events including Juneteenth, Trick-or-Treat, Live On Young and the Christmas parade.
- Awarded three Façade Grants; Seven new businesses opened downtown; Net 20 new jobs added downtown.
- Completed beautification project at Orange Street parklet and renamed it The Dr. Stephen Pearson Park.
- Added four new benches downtown.

KEY BUDGET ISSUES

- Façade improvements and elimination of warehousing on Garnett Street: There are numerous buildings in downtown in need of façade improvements to attract businesses and improve the overall appearance of downtown Henderson. Promotion of the USDA Revolving Loan Fund.
- Funding for beautification projects and downtown banners to enhance the downtown appearance and celebrate the four season sales and marketing efforts of the downtown merchants.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES

10-498: DEVELOPMENT SERVICES SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 289,300	\$ 365,925	\$ 376,170	\$ 376,170	\$ 447,900	\$ 447,900	\$ 447,900
Operating	77,564	106,700	135,450	135,450	166,300	156,300	156,300
Capital Outlay	-	62,500	37,500	37,500	45,000	15,000	15,000
Total Expenditures	\$ 366,864	\$ 472,625	\$ 549,120	\$ 511,620	\$ 659,200	\$ 619,200	\$ 619,200



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Board Members					
15	15	Board of Adjustment Members					
10	10	Planning Board Members					
		Authorized Funded Positions					
1	1	Development Services Director	28	\$65,488	\$98,232		
1	1	Zoning Administrator	17	\$38,913	\$58,370		
1	1	Planner	17	\$38,913	\$58,370		
2	2	Code Compliance Inspector	15	\$35,434	\$53,151		
		Authorized Frozen Positions					
0	0	Administrative Secretary		frozen			
5	5						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	5	5	5	5	5	5	5
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5	5	5	5	5	5	5

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES**

PURPOSE

Planning, Community Development & Zoning, along with Code Compliance operates under the Development Services Department. Planning, Zoning, and Community Development administers land use regulations for the City of Henderson. Code Compliance ensures that all neighborhoods and business areas are safe and decent by enforcing the Minimum Housing, Abandoned, Weeded Lot (Nuisances) ordinances and other applicable codes. Our overall objective is to promote smart growth, development and economic opportunity for the City and Extraterritorial Jurisdiction.

GOALS & OBJECTIVES

- Goal 1:** Create and Identify Community Development projects that will produce an Enforcement housing plan and potential infill housing development.
- Objective 1:** Identify neighborhoods where city and county vacant properties exist, evaluate the surrounding housing stock, determine if dwellings are deteriorated or dilapidated and create a neighborhood plan that can address needs (including infrastructure and housing) and potentially locate new housing developments.
- Goal 2:** Evaluate city neighborhoods to ensure habitable and safe housing stock.
- Objective 1:** With strategic planning and creating a housing education program, the Code Compliance Department will continue to enforce the Minimum Housing Code and Abandoned Structure Code by evaluation of each dwelling within the neighborhoods and responding to complaints of substandard dwellings.
- Goal 3:** Review and amend Minimum Housing and property maintenance codes.
- Objective 1:** The Minimum Housing Code must be amended to improve the safety and living conditions of all residents and reduce the blight within the city's jurisdiction.
- Goal 4:** Assist Redevelopment Commission and the Downtown Development Commission in redevelopment of the downtown and adjacent areas (West End/ Elmwood and Flint Hill neighborhoods).
- Objective 1:** In order to deal with blight and the lack of development, the City and others must officially define / establish a redevelopment zone and encourage / promote the rebuilding of these blighted areas.

FY22 ACCOMPLISHMENTS

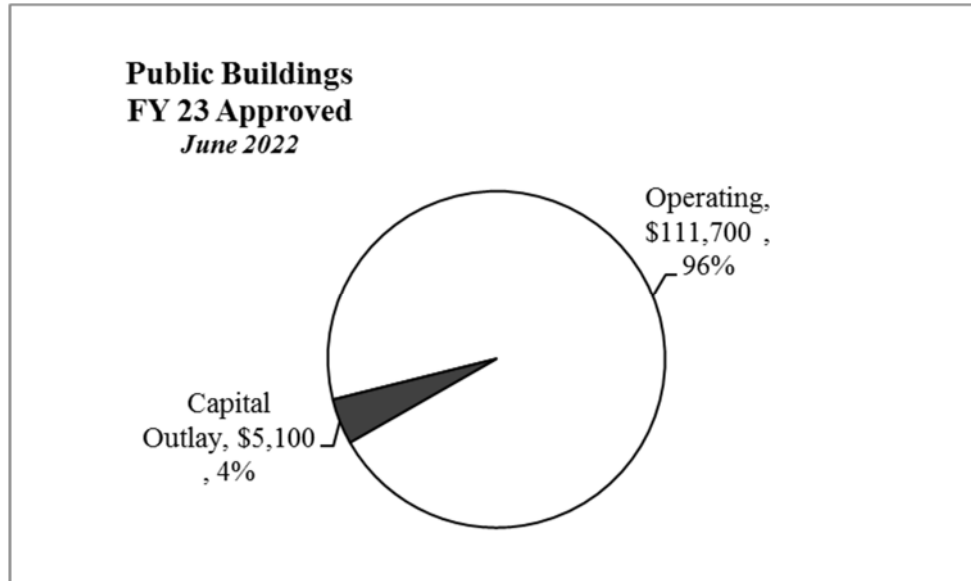
- North Carolina General Statue 160D Zoning / Land Use amendment complete
- Comprehensive Land Use Plan completed June 2022.
- Community Development Block Grant awarded \$750,000
- Ordinance 20-31 Increasing the density in the R-6 and R-8 zoning district. Result Berry Street and Corbitt Road infill development of 6 homes average selling \$250,000. The result of this ordinance has created infill development at Berry St. and Corbitt Rd 6 residential dwellings.
- 10 Abandoned Structures Demolished

KEY BUDGET ISSUES

- Funding for Unified Development Ordinance (UDO) and demolition / property abatement.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

10-500: PUBLIC BLDGS DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Operating	\$ 80,900	\$ 119,000	\$ 102,800	\$ 102,800	\$ 111,700	\$ 111,700	\$ 111,700
Capital Outlay		4,100	4,900	4,900	5,100	5,100	5,100
Transfer to Municipal Bldg CIP	-	-	-	-	-	-	-
Total Expenditures	\$ 80,900	\$ 123,100	\$ 107,700	\$ 107,700	\$ 116,800	\$ 116,800	\$ 116,800



NO AUTHORIZED PERSONNEL ASSIGNED TO THIS DEPARTMENT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

PURPOSE

To provide funds on a centralized basis for general building maintenance at City Hall, First National Bank building and former Municipal Building 110 Young St. and associated insurance and utility costs for these public buildings. City Hall administration is responsible for administering this budget.

GOALS & OBJECTIVES

- Goal:** Continue to make improvements to public buildings.
- Objective 1:** Increase worker productivity and safety through a better working environment.
- Objective 2:** Continue to improve the look and capability of public buildings and thereby encourage private redevelopment efforts, including promotion of the downtown district.

FY22 ACCOMPLISHMENTS

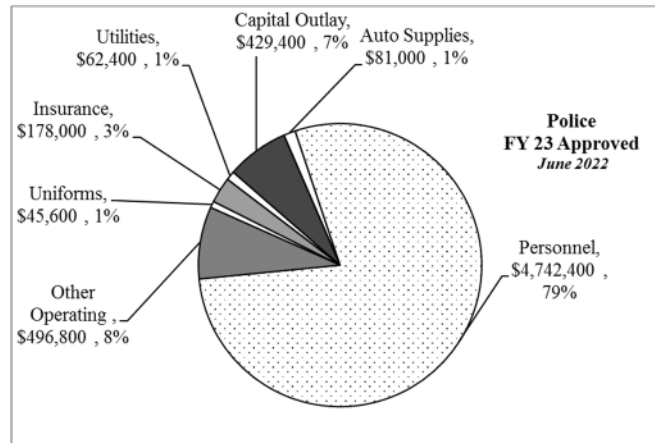
- Municipal Building (110 Young St.): provided space to the Vance County Arts Council, and storage space for the non-profit HUBZone Technology Initiative (HTI).
- First National Bank building (213 S Garnett St.): Purchase of the S-line by NCDOT (Rail Division) gives prospect to this building as a commuter station and contributes greatly to prospective downtown redevelopment.
- City Hall (134 Rose Ave.): CARES Act renovations were completed which addressed many previously unfunded building issues, including electric door lock system for employees; ADA compliance; and enhanced internal security through electronic surveillance and a strategically placed reception station.

KEY BUDGET ISSUES

- Additional security cameras are needed for various purposes at City Hall
- Security fence needed at City Hall along the north side of the west parking lot.
- Maintenance and upkeep: Insufficient funds for interior painting and carpet replacement at City Hall.
- Backup power should be considered, for at least the IT equipment room at City Hall.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

10-510: POLICE DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 3,937,800	\$ 4,383,575	\$ 4,335,865	\$ 4,583,900	\$ 4,742,400	\$ 4,742,400	\$ 4,742,400
Operating	626,200	771,625	800,980	668,100	863,800	863,800	863,800
Capital Outlay	191,000	455,200	375,700	379,600	429,400	429,400	429,400
Total Expenditures	\$ 4,755,000	\$ 5,610,400	\$ 5,512,545	\$ 5,631,600	\$ 6,035,600	\$ 6,035,600	\$ 6,035,600



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Sworn Law Enforcement Officers Full Time					
1	1	Chief of Police	PS 28	\$65,488	\$98,232		
1	1	Assistant Police Chief	PS 26	\$63,915	\$95,871		
2	2	Captain	PS 24	\$57,972	\$86,958		
7	7	Lieutenant	PS 22	\$52,582	\$78,873		
8	8	Sergeant	PS 21	\$50,078	\$75,117		
2	10	Senior Police Officer	PS 19	\$45,562	\$68,343		
11	7	Police Officer II	PS 18	\$43,749	\$65,624		
20	13	Police Officer I	PS 17	\$41,466	\$62,199		
0	3	Police Officer Cadet	PS 14	\$36,024	\$54,036		
52	52	Subtotal					
		Administrative Full Time					
1	1	Crime Scene Assistant	PS 14	\$36,024	\$54,036		
1	1	Administrative Support Specialist	11	\$29,417	\$44,126		
2	2	Police Records Clerk	11	\$29,417	\$44,126		
1	1	Parking Enforcement Agent/Custodian	6	\$23,375	\$35,063		
5	5	Subtotal					
		Part Time Employees					
1	1	Crime Analyst		\$15	\$15		
1	1	Assistant to Administrative Services		\$15	\$15		
1	1	Training Officer		\$15	\$15		
1	1	Accreditation Assistant		\$15	\$15		
1	1	Administrative Support Specialist		\$15	\$15		
1	1	DCI/TAC		\$15	\$15		
1	1	Police Records Clerk		\$14	\$14		
7	7	Subtotal					
57 FT/ 7 PT	57 FT/ 7 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	56 FT/ 6 PT	57 FT/ 8 PT	58 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	56 FT/ 6 PT	57 FT/ 8 PT	58 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

PURPOSE

The prevention of crime, the protection of life and property, and the general preservation of the public peace.

GOALS AND OBJECTIVES

- GOAL 1:** Reduce the overall violent crime rate for Henderson and continue to reduce the overall Part 1 Crime Volume along the current ten-year trend.
- Objective 1:** Continue to use the Federal Court System to prosecute violent and habitual felons that affect the City of Henderson.
- Objective 2:** Continue working closely with the 11th District Attorney's Office on prosecution and diversion strategies.
- Objective 3:** Continue to engage community groups and organizations in unified programs designed to increase trust and synergy between our citizens and the Police Department.
- Objective 4:** Utilize the newly installed NIBIN System to submit shell casings for comparison in an attempt to connect violent crime cases.
-
- GOAL 2:** To reach and maintain full sworn officer staffing
- Objective 1:** To hire personnel to fill all existing allocated sworn positions.
- Objective 2:** Increase in-service training and training in the areas of supervision and command staff.
- Objective 3:** Innovatively advertise and recruit a diverse workforce that compliments and projects our values.
-
- GOAL 3:** Continue to seek resources to address needed CIP purchases
- Objective 1:** Continue the upgrades of agency technology and improve IT support.
- Objective 2:** Maintain the current level of operation, efficiency and expenditures of our individually assigned Police Department vehicle fleet program.
- Objective 3:** Fulfill the 25% replacement process set for communication equipment and computers.
- Objective 4:** Place a repeater within the city limits to ensure public safety and continuous radio contact.

FY22 ACCOMPLISHMENTS

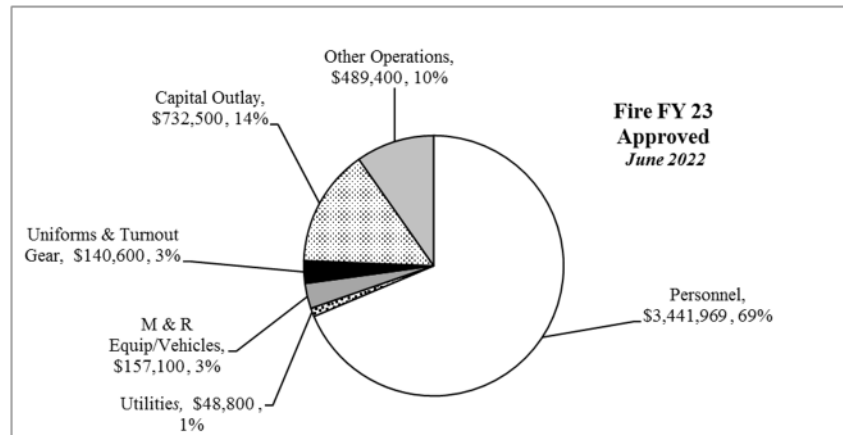
- Maintained a comparable Part 1 Crime Rate to the prior years.
- Obtained close to \$500,000 in grant funding to enhance our technological needs as a city and as an agency.
- Successfully proposed and attained competitive salary plan to enhance of recruitment and retention of employees.

KEY BUDGET ISSUES

- **Larger capital items:** Includes replacement vehicles and equipment using General Fund monies.
- **Maintenance and Capital Improvements:** The Police Department is nearly 20 years old and is in need of upgrades and repairs. This will help prevent larger cost in the future if these issues are addressed now.
- **Technology:** Law Enforcement has taken huge steps in technology and it is imperative that we keep up with this trend. The Police Department will need a specialist in IT to be able to maintain equipment and communicate with various agencies. A more costly portion of this will be annual fees and data storage.
- **Recruitment and Retention:** We must cultivate a staff of employees that can see obtainable growth in the profession, education, and finances. We are a leading agency in North Carolina, and we must be competitive in our compensation. The profession of law enforcement is struggling to recruit qualified employees.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

10-530: FIRE DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 2,219,480	\$ 2,753,090	\$ 2,784,530	\$ 2,691,606	\$ 3,441,969	\$ 3,441,969	\$ 3,441,969
Operating	465,100	536,400	680,250	629,988	1,012,600	840,100	840,100
Capital Outlay	166,500	278,500	64,300	64,300	2,236,400	732,500	732,500
Total Expenditures	\$ 2,851,080	\$ 3,567,990	\$ 3,529,080	\$ 3,385,894	\$ 6,690,969	\$ 5,014,569	\$ 5,014,569



		AUTHORIZED POSITIONS					
FY 20-21	FY 21-22	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
1	1	Fire Chief		PS 28	\$65,488	\$98,232	
0	1	Fire Deputy Chief		PS26	\$63,915	\$95,871	
1	1	Assistant Fire Chief		PS 23	\$55,211	\$82,817	
3	3	Battalion Chief		PS 23	\$55,211	\$82,817	
1	1	Fire Captain/Fire & Safety Educator		PS 20	\$47,765	\$71,648	
9	9	Fire Captain		PS 20	\$47,765	\$71,648	
9	5	Fire Engineer		PS 18	\$43,749	\$65,624	
0	2	Master Firefighter		PS16	\$39,563	\$59,345	
6	7	Senior Firefighter		PS 15	\$37,750	\$56,625	
9	9	Firefighter		PS 14	\$36,024	\$54,036	
1	1	Firefighter/Hydrant Maintenance Technician		PS 14	\$36,024	\$54,036	
40	40	Subtotal					
		Administration					
1	1	Adminstrative Support Specialist		11	\$29,417	\$44,126	
1	1	Total Full Time					
		Part Time					
20	15	Firefighter			\$13	\$13	
0	0	Equipment Technician			\$15	\$15	
42 FT/ 20 PT	42 FT/ 15 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	Approved FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	40 FT/ 20 PT	36 FT/ 20 PT	42 FT/ 20 PT	42 FT/ 20 PT	42 FT/ 15 PT	42 FT/ 15 PT	42 FT/ 15 PT
New Requests	1 FT/ 8 PT	1 FT/ 8 PT	0	0	6	0	0
Total Funded Positions	40 FT/ 20 PT	36 FT/ 20 PT	42 FT/ 20 PT	42 FT/ 20 PT	42 FT/ 15 PT	42 FT/ 15 PT	42 FT/ 15 PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

PURPOSE

To prevent fires and fire hazards throughout the City, suppression and containment of fires, education and related initiatives in fire prevention, the provision of rescue and emergency medical services, and interpretation and enforcement of Chapter V of the State Fire Prevention Code.

GOALS & OBJECTIVES

- Goal 1:** To comply with NFPA 1710 to provide four-minute response times to commercial and residential areas west of Dabney Dr. and I-85 which fall outside the 1 ½ mile response area.
- Objective 1:** Secure funding for design and construction of a third fire station as recommended by the 2019 Fire Study
- Goal 2:** To hire remaining 6 firefighters to staff four (4) fire fighters per responding apparatus for fire suppression/prevention activities as recommended by the 2019 Fire Study.
- Objective 1:** Secure approval and funding for this recommendation.
- Goal 3:** To replace apparatus in our fleet that are aging, unreliable and showing signs irreparable wear.
- Objective 1:** Replace Ladder 1
- Objective 2:** Replace Engine 3
- Objective 3:** Replace 1 small vehicle
- Goal 4:** To continue to improve the retention of qualified and seasoned personnel at all levels.
- Objective 1:** Employee compensation must be evaluated and adjusted annually to keep pace with our competitors.

FY22 ACCOMPLISHMENTS

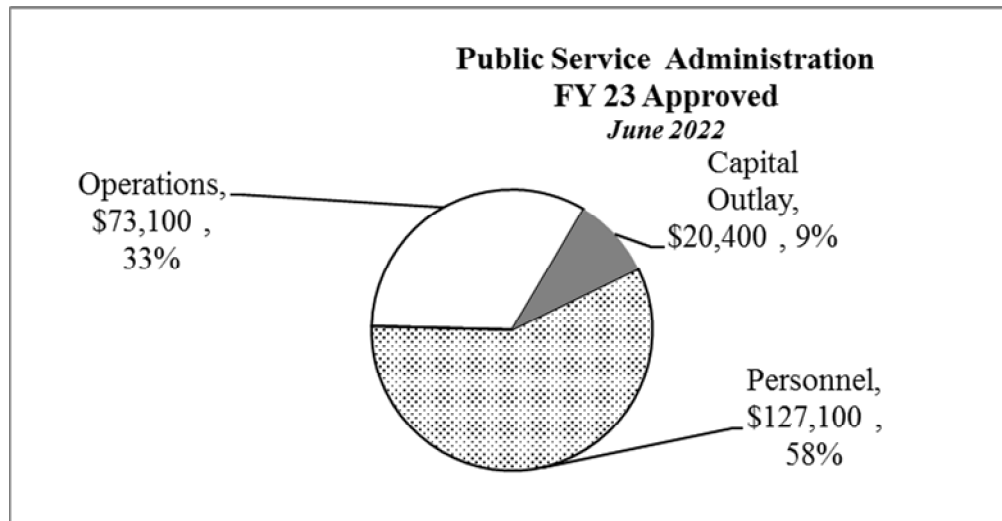
- The department reached out to 100,295 participants regarding public fire education. This was accomplished through home inspections, seminars, social media, and activities in the schools. (Increase from last year due to more social media posts)
- 100 % of the required fire inspections were completed.
- Our personnel completed 16,070 man-hours of fire/rescue, EMS, and special training. (This was the highest year in the last 7 years despite restrictions due to Covid 19).
- Completed comprehensive training in ladder company operations using an established third-party instructor group.
- Worked closely with local public health officials in managing our personnel that had or were exposed to covid-19 to best preserve adequate staffing. This has been very challenging.

KEY BUDGET ISSUES

- Funding is needed for design and construction of a third station to comply with the 2019 Fire Study.
- Funding is needed to hire the 6 remaining fire fighters as recommended by 2019 Fire Study.
- Funding is needed for apparatus and other vehicles that have already been taken out of service and for those that have reached their lifespan of frontline service.
- Funding is needed to continue the reduction of acute and chronic exposures of fire fighters to carcinogens and other harmful compounds associated with firefighting activities.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

10-545: PUBLIC SERVICES/ADMIN DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 106,450	\$ 113,950	\$ 113,510	\$ 118,052	\$ 127,100	\$ 127,100	\$ 127,100
Operating	72,000	64,300	66,100	63,088	79,600	73,100	73,100
Capital Outlay	-	1,000	2,000	2,000	20,400	20,400	20,400
Total Expenditures	\$ 178,450	\$ 179,250	\$ 181,610	\$ 183,140	\$ 227,100	\$ 220,600	\$ 220,600



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
1	1	Administrative Services Officer		17	\$38,913	\$58,370	
1	1	Administrative Support Specialist		11	\$29,417	\$44,126	
2	2						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	2	2	2	2	2	2	2
New Requests	0	0	0	0	0	0	0
Total Funded Positions	2	2	2	2	2	2	2

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

PURPOSE

To provide for the overall fiscal and compliance management and support functions for the Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions.

This department manages the budget for the Operations and Service Center. Sixty (60%) percent of the total cost associated with the Operations Center is reimbursed by the Water and Sewer funds. Additionally, this office (as part of Sanitation Division Management) is charged with contract compliance responsibilities, and complaint resolution, for any contract or franchise agreements with private waste haulers or collectors operating within the city, including commercial/industrial bulk container collection and monitoring customer service.

GOALS & OBJECTIVES

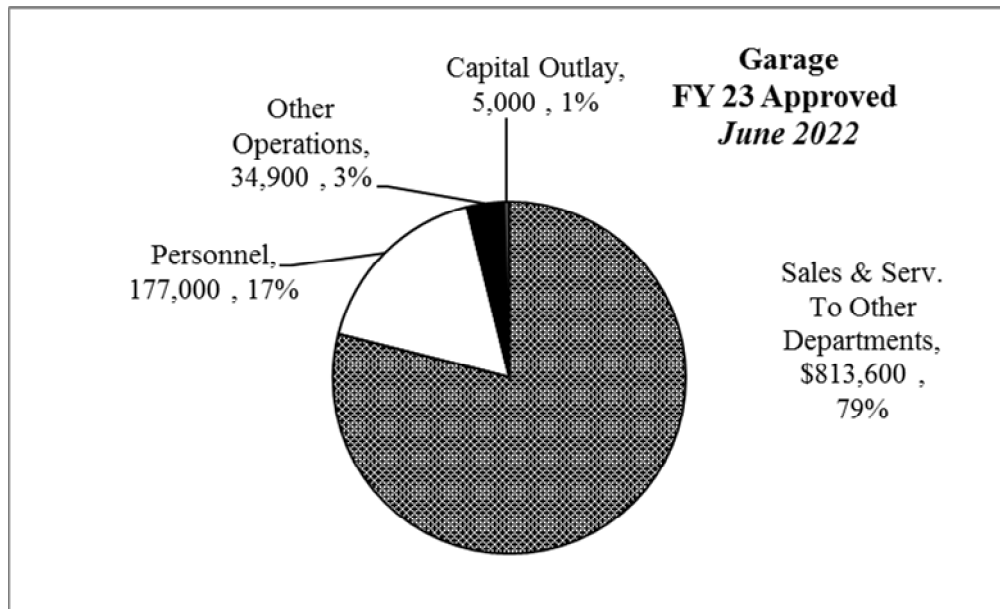
- Goal 1:** Provide overall management of contracts and other fiscal matters.
Objective 1: Track spending, checking for compliance with contracts and customer service, and collecting and analyzing data to improve efficiency and track customer service issues.
- Goal 2:** Further development of graphs and other data relative to revenues.
Objective 1: Consistent monitoring of revenues to ensure budget projections are met.
- Goal 3:** Improve record keeping.
Objective 1: Continue with training in use of the work order system.

FY22 ACCOMPLISHMENTS

- **Monitored** preventative maintenance measures on equipment.
- **Worked in conjunction** with Customer Service in completing review of billing by Waste Industries resulting in savings and additional revenue for carts not being billed.
- **Continued to utilize more data** in tracking expenditures and monitoring contracts for compliance. As well as tracking expenses within all budgets of the Public Works Department.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY

10-555: GARAGE DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 149,050	\$ 159,725	\$ 160,490	\$ 158,365	\$ 177,000	\$ 177,000	\$ 177,000
Operating	96,600	123,700	32,000	29,831	38,800	34,900	34,900
Sales & Services to other Depts.	482,900	628,900	743,500	-	813,600	813,600	813,600
Capital Outlay	3,200	33,800	80,000	80,000	110,000	5,000	5,000
Total Expenditures	\$ 731,750	\$ 946,125	\$ 1,015,990	\$ 268,196	\$ 1,139,400	\$ 1,030,500	\$ 1,030,500



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Fleet Service Technician	10	\$28,089	\$42,134		
1	1	Fleet Maintenance Mechanic	14	\$33,818	\$50,727		
1	1	Fleet Maintenance Supervisor	17	\$38,913	\$58,370		
0	0	Auto Mechanic		frozen			
3	3						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY**

PURPOSE

To provide maintenance and repair services and dispense fuel, oil and other parts and supplies to the City's vehicle fleet.

Departmental expenses are "charged back" to the appropriate operations, included (for the most part) in the individual expenditure accounts of Maintenance and Repair – Equipment (5016-05), Maintenance and Repair – Auto Repair and Maintenance (5031-05) and Motor Fuels (5031-06). This has the effect of artificially increasing the size of the General Fund Reserves including the Garage.

GOALS & OBJECTIVES

- Goal 1:** Provide quality preventative maintenance to vehicles and equipment in a timely manner.
Objective 1: Documentation of time and materials associated with repairs and maintenance performed to reduce major repairs and extend the longevity of the equipment.
- Goal 2:** Further development of reporting, record keeping and inventory control.
Objective 1: Consistent monitoring work to ensure accurate monthly and yearly reports.

FY22 ACCOMPLISHMENTS

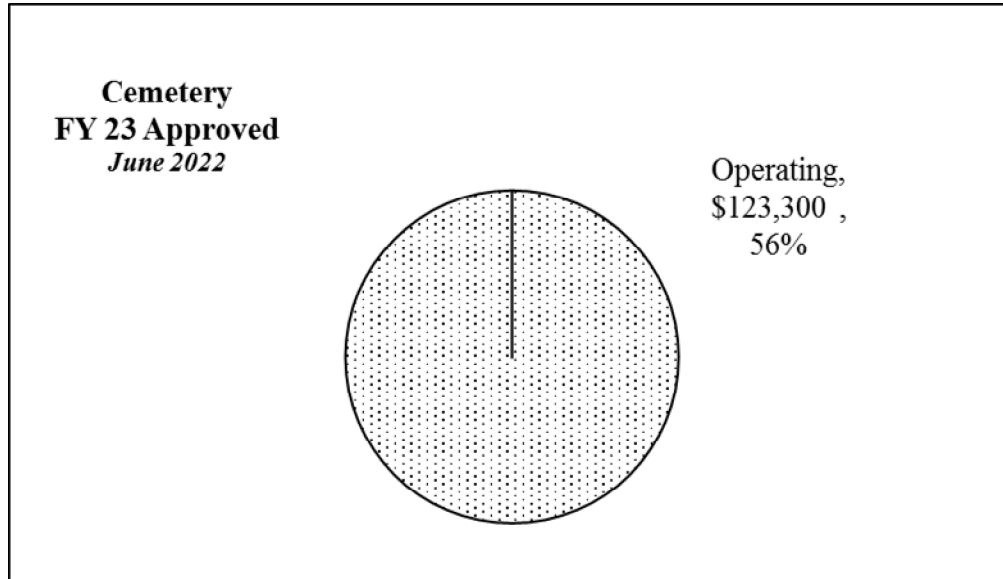
- **Preventative Maintenance:** Continued to improve preventative maintenance on equipment, which has helped reduce downtime and cost of repairing the equipment.
- **Snow Equipment:** Very instrumental in keeping our snow removal equipment going during the January 2022 snow events.
- **Leaf Equipment:** Continued maintenance and repair on our leaf machines lead to a safe and productive leaf season.
- **Vehicle Lift:** New 20,000-pound capacity vehicle lift installed in the garage will allow work on our heavier service trucks.
- **Fuel Master System:** Upgrade to our fuel system will be more reliable and easier to use at the pump and for administrators.

KEY BUDGET ISSUES

- **Motor Fuels Costs:** Unleaded and Diesel fuel costs remain volatile and unpredictable. The City tracks fuel cost with two different vendors to ensure we receive the best price.
- **Aging Fleet:** Maintenance and repair costs are increasing as the fleet ages, particularly in the General Fund.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY

10-560: CEMETERY DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Operating	99,800	105,300	123,300	123,300	128,300	120,500	120,500
Debt Service	-	-	-	-	-	-	-
Capital Outlay	5,600	-	100,000	-	-	-	-
Total Expenditures	\$ 105,400	\$ 105,300	\$ 223,300	\$ 123,300	\$ 128,300	\$ 120,500	\$ 120,500



NO PERSONNEL ASSIGNED TO THIS DEPARTMENT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY**

PURPOSE

To provide for the perpetual care and maintenance of Elmwood and Blacknall Cemeteries, as well as the coordination of funeral services and burials in Elmwood Cemetery.

GOALS & OBJECTIVES

Goal 1: Further enhance the beauty of the cemetery as well as providing better accessibility for citizens within the cemetery.

Objective 1: Work in conjunction with contractor to ensure cemetery is well maintained and kept clean of trash and other debris.

Goal 2: Provide professional and courteous service to funeral home directors and families.

Objective 1: Assist with locating graves and with the purchase of new plots.

Goal 3: Work in conjunction with Engineering to improve mapping.

Objective 1: Make the process of finding graves quicker and easier.

FY22 ACCOMPLISHMENTS

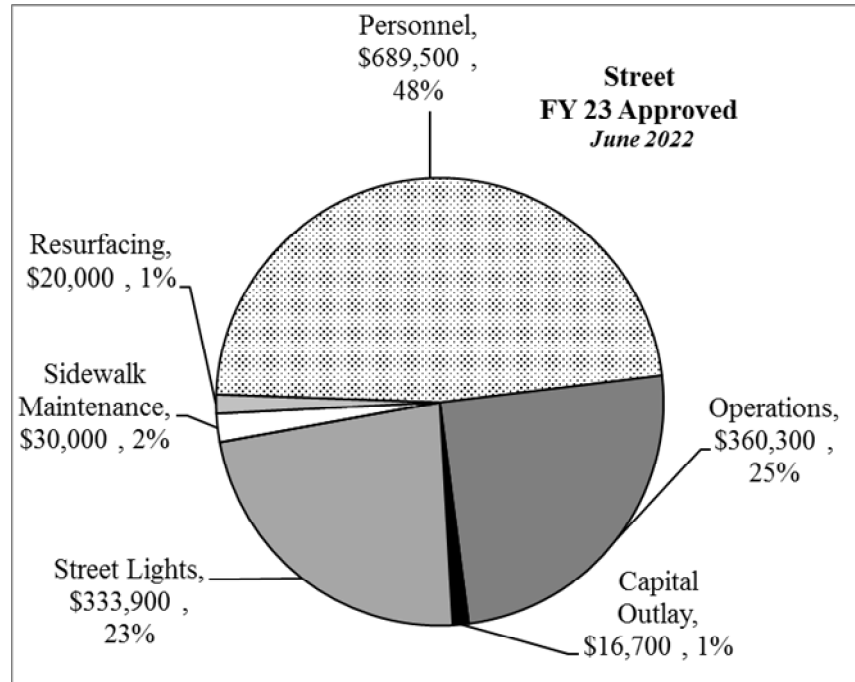
- We have high resolution imagery of the cemetery from flying of City Drone.
- Surveying of Section E for new family plots of 4 or 6 graves.

KEY BUDGET ISSUES

- Limited funds for road and storm drain improvements.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY

10-570: STREET DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 588,400	\$ 627,115	\$ 636,320	\$ 618,115	\$ 689,500	\$ 689,500	\$ 689,500
Operating	632,850	664,400	718,900	709,186	771,200	744,200	744,200
Capital Outlay	9,500	213,500	320,500	320,500	995,700	16,700	16,700
Total Expenditures	\$ 1,230,750	\$ 1,505,015	\$ 1,675,720	\$ 1,647,801	\$ 2,456,400	\$ 1,450,400	\$ 1,450,400



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		<i>Full Time</i>					
1	1	Street Maintenance Supervisor	17	\$ 38,913	\$ 58,370		
1	1	Street Maintenance Crew Leader	13	\$ 32,280	\$ 48,420		
5	7	Senior Street Maintenance Worker	10	\$ 28,089	\$ 42,134		
1	1	Street Sign Technician	9	\$ 26,822	\$ 40,233		
4	3	Street Maintenance Worker	8	\$ 25,616	\$ 38,424		
		<i>Subtotal</i>					
		<i>Part Time</i>					
1	1	Street Maintenance Worker	N/A				
12 FT- 1 PT	13 FT-1 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	13 FT/1 PT	13 FT/1 PT	13 FT/1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	13 FT/1 PT	13 FT/1 PT	13 FT/1 PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY**

PURPOSE

To provide for the general maintenance of streets, curbs, gutters, sidewalks, storm drains and ditches throughout the city including snow removal as needed. The City has approximately 80 miles of City-maintained streets and 17 miles of State-maintained/owned roadways.

GOALS & OBJECTIVES

Goal 1: Provide further extensive training to all Street Division employees.

Objective 1: To ensure that employees perform their jobs in a safe and high-quality manner to professional standards.

Goal 2: Identify a comprehensive list of needed storm drain repairs.

Objective 1: Ensure problems are prioritized so that the integrity of the streets is not compromised and remain safe for travel.

Goal 3: Identify and prioritize sidewalk repair/replacement projects.

Objective 1: To encourage pedestrian traffic by improving the appearance and safety of sidewalks.

Goal 4: Improve appearance of city streets.

Objective 1: To foster a sense of pride in the community as well as encourage citizens to maintain their homes and surroundings in a well-kept manner.

FY22 ACCOMPLISHMENTS

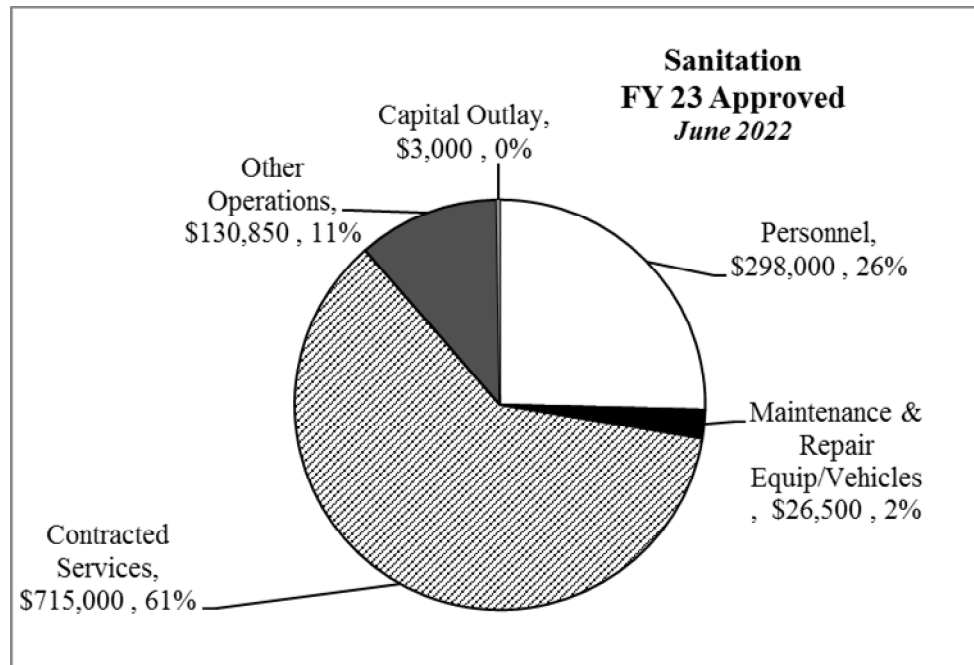
- **Sidewalk Repair:** The City is continuing to repair and replace broken sidewalk. The street department is prioritizing and preparing to replace more sidewalks in the coming months.
- **Storm Drainage Improvements:** City staff continues to clean and repair storm sewer and catch basins and has reworked numerous drainage ditches.
- **Asphalt Hot Box:** 4-ton capacity hot box will keep asphalt hot with the used of diesel fired burner. This allows for paving during cold weather and after hours.

KEY BUDGET ISSUES

- **Additional Personnel:** Would be responsible for maintaining and picking up litter within street right-of-way's to improve the appearance of the City. A small amount of part-time funds are included.
- **Aging Fleet and Equipment:** Existing fleet is getting older and needs to be replaced. We are proposing several new vehicles and other equipment for the upcoming year.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY

10-580: SANITATION DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 266,700	\$ 283,125	\$ 270,330	\$ 280,038	\$ 298,000	\$ 298,000	\$ 298,000
Operating	738,200	781,700	824,670	826,661	881,950	872,350	872,350
Capital Outlay	60,200	214,000	70,000	70,000	523,000	3,000	3,000
Total Expenditures	\$1,065,100	\$1,278,825	\$ 1,165,000	\$1,176,699	\$1,702,950	\$ 1,173,350	\$1,173,350



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Full Time Employees					
1	1	Sanitation Supervisor	17	\$38,913	\$58,370		
4	4	Solid Waste Equipment Operator	9	\$26,822	\$40,233		
5	5	Subtotal					
		Part Time Employees					
7	6	Seasonal, Leaf Crew	N/A				
7	6	Subtotal					
5 FT/ 7 PT	5 FT/6 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	5 FT/6PT	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5 FT/6PT	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY**

PURPOSE

To provide solid waste collection and management for approximately 5,400 residential customers. This includes loose leaf collection (at curbside) during the fall and early winter months, recycling waste and the bulk item collection program.

GOALS & OBJECTIVES

Goal 1: Improve consistency of fleet by ensuring that each truck follows the same path every time they run a particular route.

Objective 1: Improved customer service and consistency with pick up times for citizens.

Goal 2: Improve Communication with citizens relative to sanitation collection procedures.

Objective 1: Educate citizens to help with the efficiency in the collection of yard debris and recyclables, collection times and to continue to improve the overall appearance of the City.

FY22 ACCOMPLISHMENTS

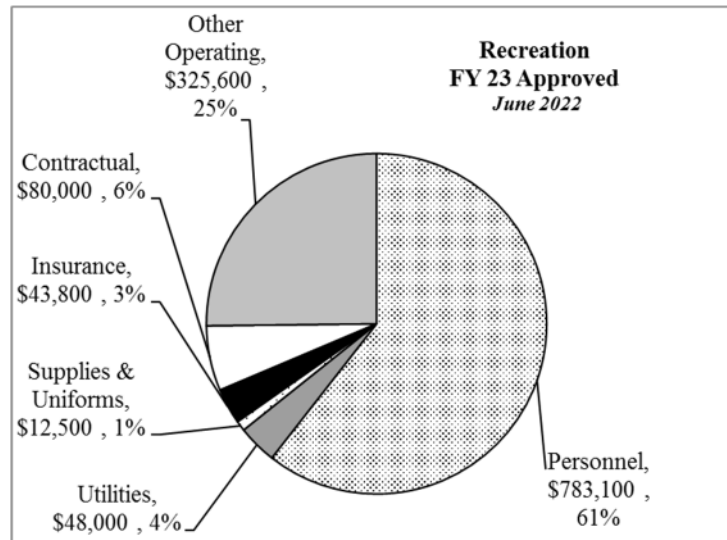
- **Leaf Collection:** Provided loose-leaf collection throughout the city in a timely manner. Collected 760 tons of leaves from October 15 – January 31.
- **Yard Debris and Recyclables:** Collected 713 tons of yard debris, 332 tons of garbage and 94 tons of recyclable material through the first seven months of the year.
- **Reduced Customer Complaints:** Improved communication and productivity among sanitation division personnel. We continued to improve overall yard debris, recycling, and bulky waste pickup, in turn reducing customer complaints.
- **Audit:** Audit of existing charges and services provided by Waste Industries to ensure revenues and expenditures are in compliance. This is an ongoing process.

KEY BUDGET ISSUES

- **Contract Cost Increase:** The contract for Waste Industries includes a 3.6% increase based on the Consumer Price Index (excluding fuel) for sanitation.
- **Aging Fleet and Equipment:** Existing sanitation fleet is getting older and needs to be replaced. We are proposing a single operator leaf truck, garbage and pickup truck for the upcoming year.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY

10-620: RECREATION DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 640,200	\$ 682,050	\$ 683,380	\$ 683,380	\$ 783,100	\$ 783,100	\$ 783,100
Operating	366,000	404,900	457,900	457,900	587,400	509,900	509,900
Capital Outlay	175,000	-	52,000	52,000	415,000	-	-
Total Expenditures	\$ 1,181,200	\$ 1,086,950	\$1,193,280	\$1,193,280	\$ 1,785,500	\$ 1,293,000	\$ 1,293,000



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Park & Recreations Director	28	\$65,488	\$98,232		
0	1	Assistant Park & Recreations Director	22	\$49,249	\$73,874		
1	1	Recreation Program Supervisor	17	\$38,913	\$58,370		
1	1	Park Maintenance Supervisor	17	\$38,913	\$58,370		
1	1	Program Specialist	13	\$32,280	\$48,420		
1	1	Administrative Support Specialist	11	\$29,417	\$44,126		
0	1	Recreation & Parks Crew Leader	9	\$26,822	\$40,233		
4	3	Park Maintenance Worker	8	\$25,616	\$38,424		
10	10	Subtotal					
		Authorized Frozen Positions					
0	0	Park Maintenance Worker		frozen			
0	0	Program Specialist		frozen			
10	10	Subtotal					
		Regular Part Time Employees					
11	7	Facility Supervisor - RPT					
1	0	Athletic Program Assistant - RPT					
1	0	Maintenance Assistant - RPT					
16	19	Various Part-Time - RPT					
29	26	Subtotal					
10 FT/ 29 PT	10FT/ 26 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	9 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 26 PT	10 FT/ 26 PT	10 FT/ 26 PT
New Requests	1	0	0	0	0	0	0
Total Funded Positions	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 26 PT	10 FT/ 26 PT	10 FT/ 26 PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY**

PURPOSE

To provide a variety of recreational opportunities for all segments of the community in addition to providing management oversight for the Youth Services/Community/Outreach/Community Service and Restitution Program. Staff support is also provided to (and policy direction is obtained from) the Recreation and Parks Commission. All costs are funded by the City of Henderson (55%) and Vance County (45%).

GOALS & OBJECTIVES

- Goal 1:** Continue to develop and implement action plans from the recommendations outlined in the Comprehensive System-Wide Master Plan approved by City Council in June 2014.
- Objective 1:** Establish program and facility needs for the future.
- Goal 2:** Expand existing youth athletic programs and implement new youth and adult athletic programs.
- Objective 1:** Request funding to advertise/operate/reinstate the adult athletic programs that were previously cut from the budget, and funding to implement new youth athletic programs.
- Goal 3:** Increase and expand facilities and parks to include diverse leisure activities and indemnities to increase participation.
- Objective 1:** Provide opportunities for citizens to enjoy facilities and parks by providing paddle boats, kayaks, inclusive playground sets, outside fitness and aquatic equipment.

FY22 ACCOMPLISHMENTS

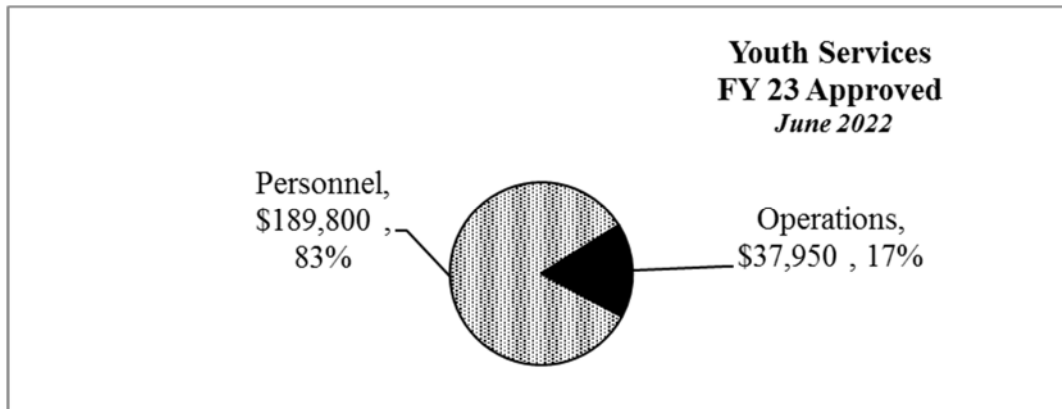
- Fox Pond Tennis Courts reconstruction CIP Project was completed in 2021. This project will allow community and school participants the opportunity to play on a new court for the upcoming years.
- Recreation and Park Department reclassified (2) Full Times positions; the Recreation and Parks Programs Facilities Supervisor to the Assistant Director and Park Maintenance Worker to Park Maintenance – Crew Leader.
- Trail of Terror was held on Thursday October 21, 2022, at Kings Daughter Park 1(600 West Montgomery Street) from 6:30pm-9:00pm. The cost was \$5.00 per car. There was an increase in participation this year. There were 293 participants in 79 cars with a revenue of \$399. In 2020, there were 166 participants in 40 cars with a revenue of \$197.
- Due to COVID-19 pandemic, we did not have football or basketball during FY 2020-21. We were able to resume our athletic programs during the spring of 2021. The 2021 East Wake Football league had a total 159 participants, which was an increase of 26 from FY 2019-20. Our 2021-22 youth basketball league had a total of 221 participants, which was an increase of 33 from FY 2019-20.
- During the Thursday, January 6, 2022, meeting, the NC Park and Recreation Authority announced a second round of funding (North Carolina Parks and Recreation Trust Fund Grant). The Henderson-Vance Recreation & Parks was one of several communities to receive funding which will assist with the formation of the William & Montgomery Street Park.

KEY BUDGET ISSUES

- Complying ADA requirements, providing funds to make all facilities, parks, and new projects ADA compliant i.e., trails, parking lots, bridges, sidewalks, tracks etc.

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-622: GENERAL FUND YOUTH SEICES SUMMARY**

10-622: YOUTH SERVICES DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 180,800	\$ 185,300	\$ 182,230	\$ 182,230	\$ 189,800	\$ 189,800	\$ 189,800
Operating	39,100	23,800	36,400	36,400	37,950	37,950	37,950
Total Expenditures	\$ 219,900	\$ 209,100	\$ 218,630	\$ 218,630	\$ 227,750	\$ 227,750	\$ 227,750



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Youth Services Outreach Administrator	21	\$46,974	\$70,461		
1	1	Youth Services Outreach Coordinator	17	\$38,913	\$58,370		
1	1	Youth Services Outreach Specialist	13	\$32,280	\$48,420		
3	3						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-622: GENERAL FUND YOUTH SERVICES SUMMARY

PURPOSE

To provide the following array of services for referred youth to prevent and reduce juvenile crime and deter commitments to Youth Development Centers.

- Community Service/Restitution provides a means where adjudicated delinquents can demonstrate responsibility by completing Juvenile Court mandated community service/restitution hours at assigned work sites to compensate the community and/or victims of their offenses.
- Project Youth Outreach promotes interpersonal skills addressing conflict resolution, character education, informal counseling, bullying, school drop-out prevention, healthy choices and recreational outings for youth referred to the program.
- Vance County Teen Court is a diversion program for first time juvenile offenders who admit responsibility for committing minor misdemeanor offenses. They now have been allowed through new laws to come through Teen Court for a second case.

GOALS & OBJECTIVES

- Goal 1:** Continue to offer Community Service/Restitution, Project Youth Outreach, Bounce Back and Teen Court for referred youth and their families in Vance County.
- Objective 1:** Submit program proposals to the NC Department of Public Safety – Division of Adult Correction and Juvenile Justice, Vance County and United Way of Vance County to secure funding to sustain services offered through Youth Services.
- Goal 2:** Serve Juvenile Court referred (top priority) and youth referred from School Resource Officers for youth at risk for delinquent and undisciplined behaviors through an array of services under Youth Services.
- Objective 1:** Give priority placement for juvenile court referrals through juvenile court counselors and program staff consensus and admit other at-risk youth through school and law enforcement referrals.
- Goal 3:** Enhance professional and personal development of staff.
- Objective 1:** Division staff will explore training options to obtain at least 40 hours of training for professional and personal development. Division staff will also obtain certifications for professional and personal development.
- Goal 4:** Utilizing Eaton Johnson Gymnasium area to provide alternative recreation for at-risk youth and /or teens.
- Objective:** Division Staff will provide trending outreach activities, programs, and events to deter at-risk participants criminal activity by enhance knowledge in areas of education, job readiness, self-esteem and self-awareness.

FY22 ACCOMPLISHMENTS

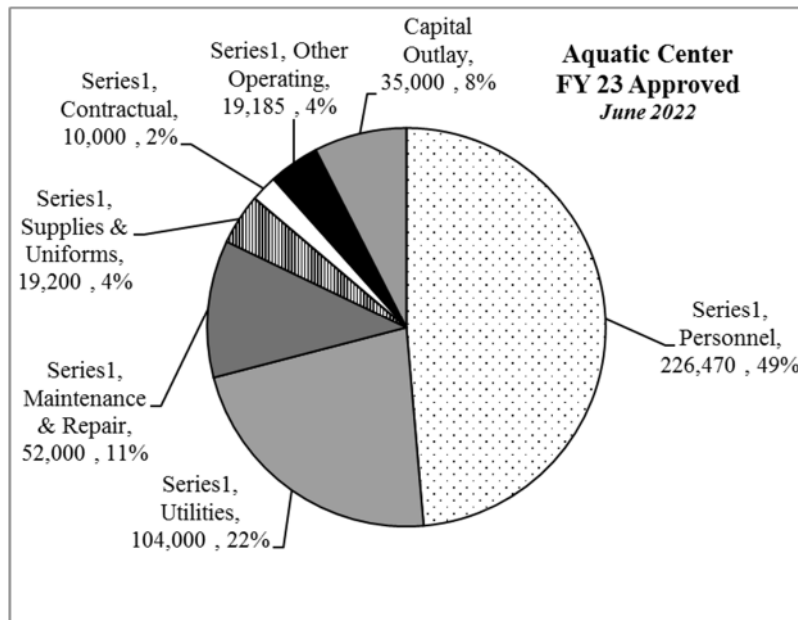
- Vance County Administrative Office provided Youth Services Outreach Unit space at Eaton Johnson Gymnasium area to offer juvenile and outreach services to their participants.
- Continued funding: Youth Services received funding by NC Department of Public Safety – Division of Adult Corrections and Juvenile Justice and Vance County for FY 2022-23 to offer Youth Services programs
- Bounce Back, an enhancement of Project Youth Outreach, is a program for middle and high school students on short-term suspension or credit recovery in the Vance County School System. There were 34 participants in the program.

KEY BUDGET ISSUES

- State funds controlled by General Assembly and NC General Statue: 100% reimbursable by Vance County via State allocations and County's matching funds.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

10-623: AYCOCK AQUATICS DEPARTMENT SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 196,400	\$ 220,150	\$ 210,290	\$ 210,290	\$ 272,570	\$ 226,470	\$ 226,470
Operating	205,800	204,450	211,250	211,250	239,685	204,385	204,385
Capital Outlay	177,000	398,590	-	-	123,400	35,000	35,000
Total Expenditures	\$ 579,200	\$ 823,190	\$ 421,540	\$ 421,540	\$ 635,655	\$ 465,855	\$ 465,855



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Recreation & Parks Facility Supervisor	17	\$38,913	\$58,370		
1	1	Aquatics Program Supervisor	17	\$38,913	\$58,370		
2	2	Subtotal					
		Regular Part Time					
8	7	Facility Supervisor					
6	7	Lifeguard					
14	14	Subtotal					
		Temporary Seasonal Part Time					
1	5	Facility Supervisors (TSPT)					
1	3	Lifeguard (TSPT)					
2	8	Subtotal					
2 FT/ 16 PT	2FT/ 22 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	2 FT/ 30 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	2 FT/ 30 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS**

10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

PURPOSE

To provide a variety of educational, recreational, and athletic programs including indoor swimming, indoor volleyball, indoor basketball, indoor walking track, multi-purpose rooms and restroom/dressing room facilities. This recreational facility is a joint City of Henderson-Vance County project that began in 1996 with the construction of the Aycock Multi-field Complex. The County pays 50% of the debt service and 45% of the operations cost.

GOALS & OBJECTIVES

- Goal 1:** Provide a safe environment for swimmers.
Objective 1: Conduct in-service training for Lifeguards and meet all health department guidelines for swimming pool operation. Cross train full-time staff and facility supervisors and get all staff first aid/CPR/AED certified.
- Goal 2:** Expand the program base offered and increase participation in existing programs and/or rentals.
Objective 1: Continue to offer existing popular programs while researching and implementing new programs based on customer requests, as well as review current programs to make data-based decisions as needed and increase program marketing efforts. While enhancing program and equipment opportunities for participant and/or renters.
- Goal 3:** Increase accessibility in rental space at the Center.
Objective 1: Provide accessible restrooms on the 2nd floor to increase rental opportunities for those with mobility difficulties.

FY22 ACCOMPLISHMENTS

- Replacing Dectron Unit for the Aquatic Center, allow the participations to enjoy a clean and safe environment through general maintenance.
- Several new and innovative programs were developed and maintained i.e.. Crafty Kids, Kids Gym, Aqua Egg Hunt, Pumpkin Splash and Pirate Night and a host of other one day Special Events.
- Summer camp was reinstated after the COVID-19 shutdown. Camp was held June 14, 2021 – August 13, 2021, with 42 registered participants. Summer camp attendance averaged 34 campers per week. Campers enjoyed arts and crafts, field trips, swimming, and outdoor play. Campers also had the opportunity to receive swim lessons during camp.
- Utilizing CARES Act Funding to enhance the facilities going completely touchless with toilets, sinks and urinals. Also updating the lobby area for a more efficient, safe, secure entrance for customer service to be provided with access control system.

KEY BUDGET ISSUES

- Adding (1) Full Time Program Specialists to assist with the increasing participation of all programs, activities and special events.
- Increase staffing to allow for adequate coverage at greenspace facilities and outside rental opportunities.
- Increase budget to provide more special events to the public.
- Increase pool activity and usage by providing an inflatable water obstacle course.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-650: VANCE COUNTY SHARED PROGRAMS

10-650: VANCE COUNTY SHARED PROGRAM SUMMARY						
	Actual	Actual	Budget	Requested	Recommended	Approved
	19-20	20-21	21-22	22-23	22-23	22-23
Board of Elections	75,770	73,640.00	73,640	120,000	61,510	61,510
Tax Office	175,040	183,260.00	184,115	185,000	199,830	199,830
911	711,490	818,840.00	761,840	762,000	904,385	904,385
NCDMV Tax & Fees	21,000	25,000.00	25,000	30,000	30,000	30,000
Perry Memorial Library	120,800	123,210.00	123,270	124,000	129,375	129,375
Total Expenditures	\$ 1,104,100	\$ 1,223,950	\$ 1,167,865	\$ 1,221,000	\$ 1,325,100	\$ 1,325,100

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to Vance County and the Perry Memorial Library to jointly fund programs that benefit both the citizens of Vance County and the City of Henderson.

KEY BUDGET ISSUES

- **Tax Office:** Provides for the contract with Vance County to bill and collect city taxes. This figure is based on 25% of the budget that is managed by Vance County.
- **911 Emergency Services:** The City provides 50% of the funding of this County managed joint operation.
- **Perry Memorial Library:** Provided on a 75% County and 25% City financial sharing.
- **Board of Elections:** Provides 17% of the annual operating budget and 100% of City elections to Vance County.

FY 22-23 BUDGET

**GOVERNMENTAL FUNDS 10-660: GENERAL FUND NON-DEPARTMENT &
10-670: LOCAL AGENCIES SUMMARY**

10-660: NON-DEPARTMENTAL SUMMARY					
	Actual 19-20	Actual 20-21	Budget 21-22	Recommended 22-23	Approved 22-23
Personnel Services	\$ 449,250	\$ 441,300	\$ 473,200	\$ 480,000	\$ 480,000
Operating	23,000	23,000	47,085	32,000	32,000
Transfers to other Accounts	284,770	167,560	89,915	100,000	100,000
Economic Dev. Incentive	100,000	100,000	100,000	100,000	100,000
Reserve	190,314	246,994	110,330	180,000	180,000
Total Expenditures	\$ 1,047,334	\$ 978,854	\$ 820,530	\$ 892,000	\$ 892,000

PURPOSE

The purpose of the Non-Departmental Budget is to provide a system to account for items of a general nature that apply to all General Fund Departments, but which can not be easily assignable into specific cost components for particular operations.

The City's retiree insurance is budgeted in Non-Departmental and includes total cost City-wide. The cost for Enterprise Fund retiree insurance is made by a transfer from those funds to the General Fund. Pay increases for General Fund employees is budgeted in Non-Departmental.

10-670: CONTRIBUTIONS - LOCAL AGENCIES - SUMMARY						
	Actual 19-20	Actual 20-21	Budget 21-22	Requested 22-23	Recommended 22-23	Approved 22-23
Airport	\$ 28,750	\$ 28,750	\$ 28,750	\$ 28,750	\$ 28,750	\$ 28,750
Crime Stoppers	1,000	1,000	1,000	1,000	1,000	1,000
Boys & Girls Club	1,500	1,500	1,500	1,500	1,500	1,500
Arts Council	1,000	1,000	1,000	1,000	1,000	1,000
Corbitt Association	800	800	800	800	800	800
Total Expenditures	\$ 33,050	\$ 33,050	\$ 33,050	\$ 33,050	\$ 33,050	\$ 33,050

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to various affiliated agencies. Each of these organizations/agencies supplement the services and programs provided by the City. Their funding meets the “public purpose” definition as outlined in the North Carolina General Statutes and their continuing eligibility is periodically reviewed by the City Attorney and/or an independent Auditor. Most are also supported, to some extent either by contractual arrangement with the City or through general practice, by Vance County.

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

10-680: DEBT SERVICE SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Debt Service Principal	\$ 177,672	\$ 83,000	\$ 637,450	\$ 637,450	\$ 743,207	\$ 743,207	\$ 743,207
Debt Service Interest	20,350	16,069	37,100	37,100	61,415	61,415	61,415
Lease Purchase Payment	290,727	365,648	-	-	-	-	-
Total Expenditures	\$ 488,749	\$ 464,717	\$ 674,550	\$ 674,550	\$ 804,622	\$ 804,622	\$ 804,622

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal payments; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- **The Ability to Support New Debt Service** in the General Fund is limited given the modest growth of the tax base.
- **Increase in debt service** is attributable to authorized equipment purchases and former municipal building.

**FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE**

10								
Paid To:	BB&T (1116)							
Type of Debt:	Loan							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
Old Municipal Building - Total project \$830,000	10-680-508100	P	7/1/2020	83,000	7/1/2021	83,000		
2.42% interest - payments began FY 19 and end FY 28.	10-680-508200	I	7/1/2020	14,061	7/1/2021	12,052		
10								
Paid To:	USDA							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
1 Fire Pumper Truck - FY 18-19 - 3.25% interest (20 yr) annual payments of \$32,602 ending FY 37-38.	10-680-508100	P	9/18/2020	18,332	9/20/2021	18,928		
	10-680-508200	I	9/18/2020	14,271	9/20/2021	13,675		
10								
Paid To:	First Citizens (1339)							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
1 Street Sweeper Truck - FY 18-19 - 1.94% interest (5yr) annual payments of \$47,734 ending FY 22-23.	10-680-508100	P	7/1/2020	45,659	7/1/2021	47,734		
	10-680-508200	I	7/1/2020	1784	7/1/2021	0		
10								
Paid To:	First Citizens (1339)							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
2 Police Dodge Chargers - FY 18-19 - 1.94% interest (5yr) annual payments of \$13,890 ending FY 22-23.	10-680-508100	P	7/1/2020	13,171	7/1/2021	13,890		
	10-680-508200	I	7/1/2020	518	7/1/2021	0		
10								
Paid To:	Benchmark (5352)							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
Refinancing payment at 1.99% interest (5yr)	10-680-508100	P		111,462	7/15/2021	120,902		
Total loan \$953,194	10-680-508200	I		9440	7/15/2021	0		
Includes Fund 30 and Fund 31								
10								
Paid To:	First Citizens (1339)							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
Police: 4 Dodges, Radios, Computers, Guns	10-680-508100	P		273,467	7/1/2021	272,461		
Fire: Portable Radios, SCBA Fill Station, SCBA Air, PPE, Recreation: Dectron Unit	10-680-508200	I		14,346	7/1/2021	15,355		
Garage: Air Lines/Hose Reel, AC Recovery	Total Loan: \$1,567,962							
Street: Dump Truck, Mower, Saw, F-150, F-350	Fund 10: \$1,385,961							
Sanitation: Garbage Truck								
1.38% interest, (5yr) total payments \$1,627,910								
10								
Paid To:	First Citizens (1339)							
Type of Debt:	Loan Purchase							
Description:	Code	P/I	Date	Amount	Date	Amount	Date	
Police: 7 vehicles, Radios, Computers, Asseccories	10-680-508100	P		0		197,109		
IT: Switch, Servicer, Access Points	10-680-508200	I		0		10,006		
Recreation: 2 Vehicles								
Garage: Vehicle Lift, Fuel System	Total Loan: \$1,533,200							
Street: Chipper Truck, Hot Box, Sweeper, Trench, CC	Fund 10: \$1,035,574							
Sanitation: Leaf Machine, Leaf Box								
1.44% interest, (5yr) total payments \$1,593,188								
	Long Term Principal			83,000		83,000		
	Long Term Interest			14,061		12,052		
	Total Debt Service			97,061		95,052		
	Total Loan Purchase			493,010		710,060		
	Grand Total Debt			590,071		805,112		

FY 22-23 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

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POWELL BILL

Key Fund Issues

There are several key issues facing the Powell Bill Fund that serve to impact not only FY23, but the next several fiscal years as well. A brief summary of these key issues is provided below:

- **Powell Bill Allocation Formula** is based on three major factors as follows: 1) amount of State gasoline tax collected, 2) number of lane miles within a locality and 3) the locality's population.

Basic Fund Information

The Powell Bill fund is used as a transfer mechanism to properly account for revenues received from the State and expenditures incurred by the Street Division of the Public Works Department related to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways authorized by "Powell Bill" legislation. In addition, funds are transferred from this fund on a monthly basis to the City's General Fund, 10-570: Street Powell Bill, related to maintenance of streets, sidewalks and right-of-ways.

Financial Summary

A financial summary of the Powell Bill fund is provided on the following page.

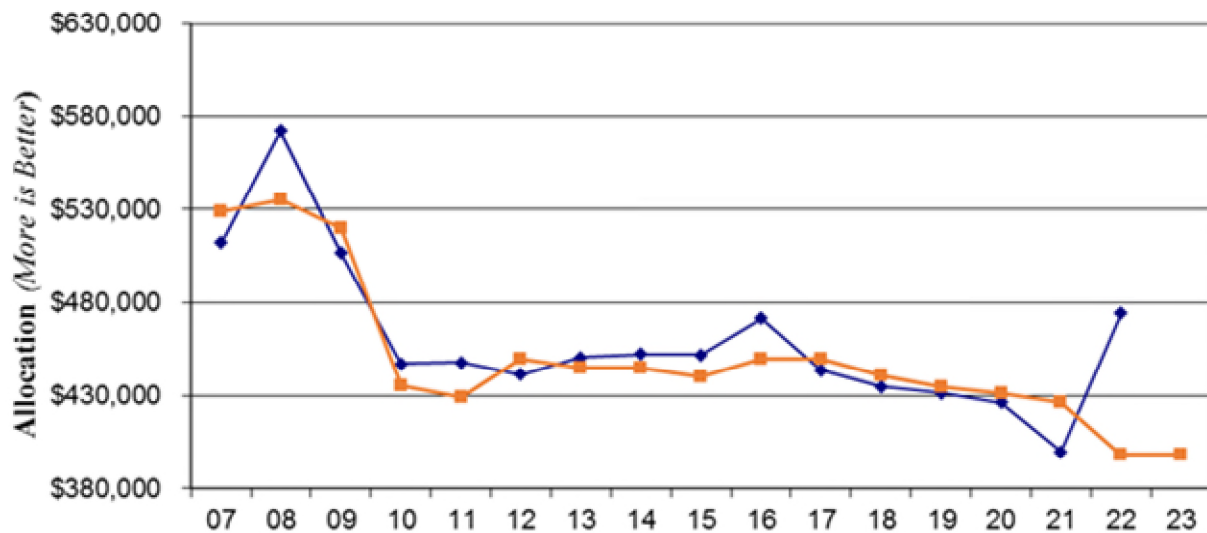
**FY 22-23 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY**

Key Powell Bill Fund Financial Metrics

POWELL BILL OPERATING FUND SUMMARY									
11 POWELL BILL OPERATING FUND									
			FY20	FY21	FY22			FY23	
			Prior Year	Prior Year	Current Year	Estimated	Dept.	Manager	Council
Revenues	Code	Line Item	Actual	Actual	as Amended	30 June 22	Requested	Recommend	Approved
Revenues	11-110-411-120	Powell Bill Allocation	\$ 426,274	\$ 426,270	\$ 398,000	\$ 398,000	\$ 425,000	\$ 425,000	\$ 425,000
Revenues	11-110-444-010	Investments	\$ -						
Revenues	11-110-491-100	Fund Balance Appropriated							
Revenues	11-990-490-999	Fund Balance Appropriated	\$ 400,000	\$ 100,000	\$ 100,750	\$ 100,750	\$ 100,500	\$ 100,500	\$ 100,500
Revenues	11-110-461-042	Trans from 42: CIP Powell Bill							
Total Revenues			\$ 826,274	\$ 526,270	\$ 498,750	\$ 498,750	\$ 525,500	\$ 525,500	\$ 525,500
Expenditures									
Non-Dept.	11-690-561-042	Transfer to 42: CIP Powell Bill	\$ 400,000	\$ 100,000	\$ 100,750	\$ 100,750	\$ 100,500	\$ 100,500	\$ 100,500
Non-Dept.	11-690-561-090	Transfer to 90: A. L. Harris Grant		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Non-Dept.	11-690-561-010	Transfer to 10: General Fund	\$ 426,274	\$ 426,270	\$ 398,000	\$ 398,000	\$ 425,000	\$ 425,000	\$ 425,000
Total Expenditures			\$ 826,274	\$ 526,270	\$ 498,750	\$ 498,750	\$ 525,500	\$ 525,500	\$ 525,500

Powell Bill Allocation

—◆— Actual —■— Budgeted



**FY 22-23 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY**

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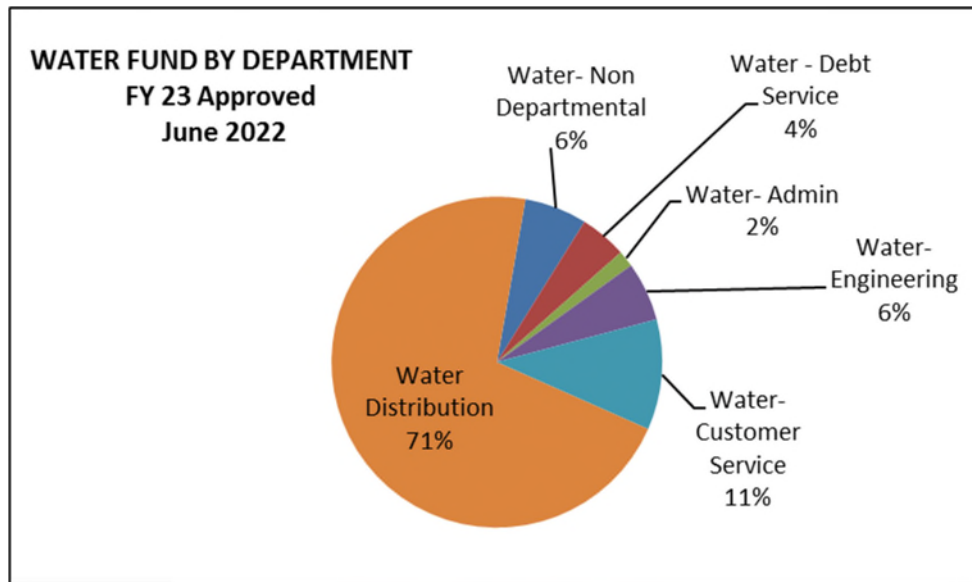
WATER FUND

WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Administration
4. Engineering
5. Customer Service
6. Distribution System

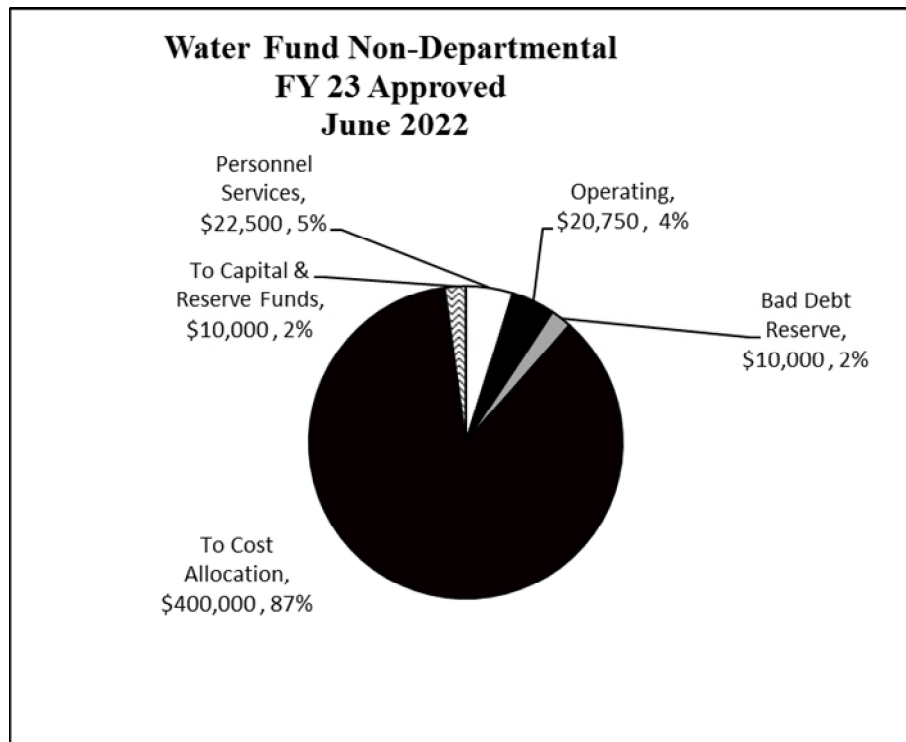
WATER FUND SUMMARY

DEPARTMENT	2022 Council Amended Budget	2023 Department Requested Budget	2023 Council Approved Budget	% Increase or Decrease
Water- Non Departmental	\$ 472,995	\$ 463,250	\$ 463,250	-2.06%
Water - Debt Service	\$ 308,700	\$ 346,880	\$ 346,880	12.37%
Water- Admin	\$ 112,300	\$ 122,000	\$ 122,000	8.64%
Water- Engineering	\$ 490,070	\$ 527,020	\$ 436,620	-10.91%
Water- Customer Service	\$ 686,015	\$ 768,300	\$ 818,300	19.28%
Water Distribution	\$ 5,515,840	\$ 5,741,021	\$ 5,393,521	-2.22%
Total Water Fund	\$ 7,585,920	\$ 7,968,471	\$ 7,580,571	-0.07%



**FY 22-23 BUDGET
ENTERPRISE FUNDS
30-660: WATER FUND NON-DEPARTMENTAL**

30-660: NON-DEPARTMENTAL SUMMARY						
	Actual 19-20	Actual 20-21	Budget 21-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 22,550	\$ 24,800	\$ 17,800	\$ 22,500	\$ 22,500	\$ 22,500
Operating	9,950	11,700	19,375	20,750	20,750	20,750
Bad Debt Reserve	20,000	20,000	10,000	10,000	10,000	10,000
To CIP Water Fund	282,100	51,500	418,380	-	-	-
To Cost Allocation	385,100	398,942	-	400,000	400,000	400,000
To Rate Stabilization						
To Capital & Reserve Funds	58,730	53,758	7,440	10,000	10,000	10,000
Total Expenditures	\$ 778,430	\$ 560,700	\$ 472,995	\$ 463,250	\$ 463,250	\$ 463,250



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures, such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time, are accounted for in this budget department. Additionally, the Fund's share of the recommended Pay & Classification Study is included in this budget.

FY 22-23 BUDGET
ENTERPRISE FUNDS
30-680: WATER FUND DEBT SERVICE

30-680: DEBT SERVICE SUMMARY						
	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Long-Term Debt Service- P&I	\$ 198,450	\$ 308,700	\$ -	\$ 346,880	\$ 346,880	\$ 346,880
Lease Purchase Debt Service- P&I	76,276	-	-	-	-	-
Total Expenditures	\$ 274,726	\$ 308,700	\$ -	\$ 346,880	\$ 346,880	\$ 346,880

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

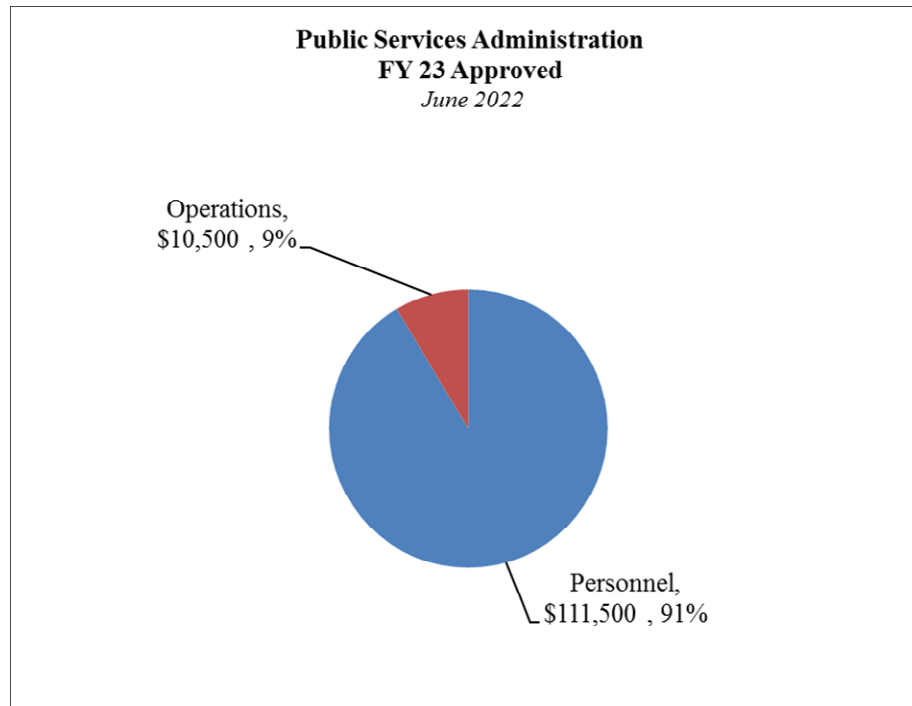
KEY BUDGET ISSUES

- The City has retired significant debt in recent years. This gives the City an opportunity to re-invest in the water system infrastructure for replacement of old lines and provide for new extensions within the City's un-served utility service area as well as pay for needed capital equipment.

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FY 22-23 BUDGET
ENTERPRISE FUNDS
30-715: WATER FUND ADMINISTRATION

30-715: WATER ADMINISTRATION FUND SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 96,700	\$ 100,125	\$ 103,750	\$ 107,789	\$ 111,500	\$ 111,500	\$ 111,500
Operating	9,050	10,400	8,550	6,940	10,500	10,500	10,500
Capital Outlay	3,200	3,200	-	-	-	-	-
Total Expenditures	\$ 108,950	\$ 113,725	\$ 112,300	\$ 114,729	\$ 122,000	\$ 122,000	\$ 122,000



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Public Works Director	28	\$65,488	\$98,232		
1	1						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized	1	1	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1	1	1	1	1	1	1

PURPOSE

To provide overall leadership and supervision of the Public Works Department including Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions. To provide reliable and dependable services to the citizens of Henderson.

GOALS & OBJECTIVES

- Goal 1:** Evaluating existing services and providing improvements and changes as needed.
Objective 1: To provide the best service in a safe and cost-effective manner.
- Goal 2:** To ensure a well-trained work force.
Objective 1: Continued implementation of Career Development Plan.
Objective 2: Attend schools and seminars for future education to stay abreast of rules and regulations in the Public Works field.

FY22 ACCOMPLISHMENTS

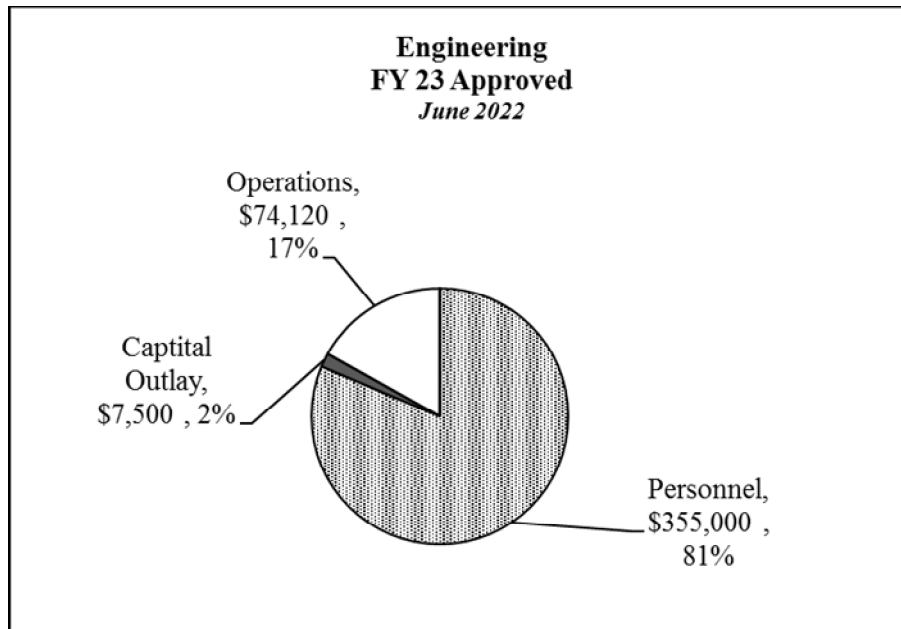
- **Training:** Provided training in safety measures as well as performance measures so that we are more streamlined and efficient in our tasks. Several utility employees have obtained one or more water/sewer operator certifications this year.

KEY BUDGET ISSUES

- **Personnel:** Competing with surrounding employers to hire and retain a qualified work force.

FY 22-23 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING

30-720: ENGINEERING DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	303,400	317,820	328,020	320,020	355,000	355,000	355,000
Operating	57,480	64,750.00	67,050	66,146	81,520	74,120	74,120
Capital Outlay	5,000	32,600	95,000	87,000	90,500	7,500	7,500
Total Expenditures	\$ 365,880	\$ 415,170	\$ 490,070	\$ 473,166	\$ 527,020	\$ 436,620	\$ 436,620



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	City Engineer	28	\$65,488	\$98,232		
1	1	GIS Analyst	19	\$42,747	\$64,121		
1	1	Engineering Technician	18	\$40,784	\$61,176		
1	1	Engineering Construction Inspector	18	\$40,784	\$61,176		
		Part Time					
1	1	Engineering Assistant					
4 FT/ 1 PT	4FT/ 1 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	4 FT/ 1 PT	4 FT/ 1 PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT
Frozen Positions	1	1	1	0	0	0	0
New Requests	1	1	0	0	0	0	0
Total Funded Positions	4 FT/ 1 PT	4 FT/ 1 PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT

**FY 22-23 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING**

PURPOSE

Provide overall engineering design, planning, project management and inspection services to utility; water distribution, sewer collections, streets, stormwater, wastewater and water treatment and general governmental operations. In addition, this division provides extensive technical support and assistance to the City Manager's office, and other City departments upon request. The planning and administrative responsibilities for the City's two delegated authorities (Erosion Control and Stormwater) are managed by this department as well.

GOALS & OBJECTIVES

- Goal 1:** Continued implementation of our Geographical Information System (GIS) mapping to include additional storm water lines and other water and sewer details.
- Objective 1:** To have the best available mapping to ensure that valuable information on existing utilities is recorded on GIS and easily available to staff. This will help to serve trucks and other field personnel to increase response times and repairs.
- Goal 2:** Assessment and Management of various projects in the proposed CIP.
- Objective 2:** Continue to monitor and facilitate the completion of the Cares Act Project, Sandy Creek Sewer Rehabilitation Project. Develop data driven decision matrices to identify water, sewer and pavement infrastructure needs and roll this into a Capital Improvement Plan. The City owns 200 miles of water, 200 miles of sewer, 80 miles of streets, and an unknown quantity of stormwater pipe and structures.
Section 504-ADA compliant facilities and sidewalks – develop and implement eight-year plan to improve these facilities so they are compliant.
- Goal 3:** Implement a Stormwater Utility.
- Objective 3:** Start developing policies and processes to bring the City into compliance with the State with respect to our Delegated Authority. Hire a Stormwater Engineer to run the program and develop a CIP for the stormwater infrastructure.

FY22 ACCOMPLISHMENTS

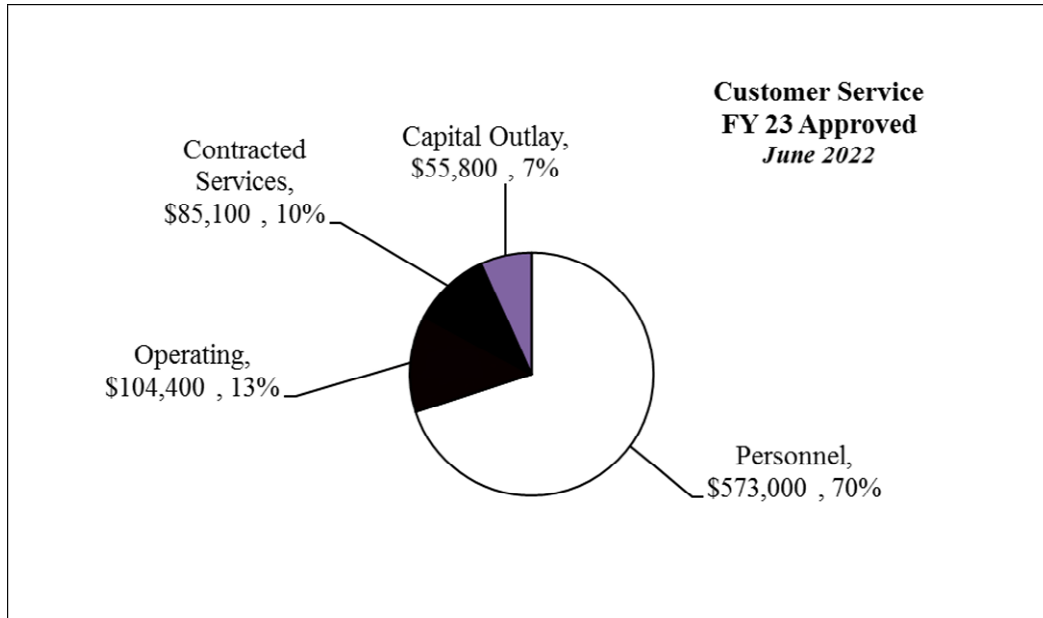
- **Various Water, Sewer and Storm Water Projects.** Worked on various storm water designs and projects to correct or improve drainage. Working actively to develop a stormwater utility and Stormwater Management Plan (SWMP).
- **KLRWS 20 MGD Expansion.** Worked closely with KLRWS Staff, Partners, State and consultant on the 20 MGD project to secure a contract and LGC approval of funding and ultimately Phase 2 (construction).
- **Project Reviews.** Provided engineering project reviews on various projects throughout the year for new developments.
- **Expand GIS Role.** GIS is a map-based database that in conjunction with hyperlinking of the data, permits public work crews to see as-built drawings of the utility systems and permits Public Safety a floor plan of each facility which allows quick assessment of entrapment locations or active shooter mitigation.
- **Work Order System.** Engineering wished to expand the work order/asset management software to serve other departments and help them track their workflows and associated costs.

KEY BUDGET ISSUES

Securing funds to unfreeze the administrative position, open a new position for a stormwater engineer and hire part-time help to collect data. The Staffing need is huge, and it will require the expansion of the engineering department with an estimated construction cost of \$50,000. Staff is needed to address all regulatory and compliance issues.

FY 22-23 BUDGET
ENTERPRISE FUNDS
30-725: WATER FUND CUSTOMER SERVICE

30-725: WATER FUND CUSTOMER SERVICE SUMMARY							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 449,600	\$ 484,150	\$ 526,615	\$ 489,854	\$ 573,000	\$ 573,000	\$ 573,000
Operating	71,600	82,400	83,100	71,754	104,400	104,400	104,400
Contracted Services	64,300	66,100	76,300	97,000	85,100	85,100	85,100
Capital Outlay	10,800	26,200	-	-	5,800	55,800	55,800
Total Expenditures	\$ 596,300	\$ 658,850	\$ 686,015	\$ 658,608	\$ 768,300	\$ 818,300	\$ 818,300



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Full Time Employees					
1	1	Customer Service Manager	27	\$62,441	\$93,662		
2	2	Utility Billing Specialist	12	\$30,814	\$46,221		
3	3	Customer Service Representative	10	\$28,089	\$42,134		
1	1	Receptionist/Office Assistant	9	\$26,822	\$40,233		
4	4	Meter Reader	8	\$25,616	\$38,424		
		Part Time Employees					
1	1	RPT Meter Reader					
11 FT/1 PT	11 FT/1 PT						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	10 FT/1 PT	10 FT/1 PT	10 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	10 FT /1 PT	10 FT/ 1PT	10 FT/ 1PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT

PURPOSE

To provide excellent customer service to the City's approximate 9,100 utility customers through the reading of water meters, billing and collections and working with customers if they have special needs.

GOALS & OBJECTIVES

- Goal 1:** Continue to collect unpaid account balances from inactive accounts.
- Objective 1:** Resume updating unpaid account balances to Debt Setoff Program, which will collect customers' State Tax Refunds and State Lottery winnings to pay off delinquent accounts.
- Objective 2:** Continue to collect funds from new applicants that owe delinquent inactive account balances.
- Goal 2:** Continue with Radio Read Meter replacements.
- Objective 1:** The department continues to replace existing manual read meters with Radio Read meters, which will reduce read time for billing cycles and consistently ensure accurate readings. This goal has already reduced the cost of retrieving reading data.
- The e-coder registers stores data to confirm the meter usage for the most recent 90 days. This information is used to verify the billed consumption to customers and can assist in troubleshooting unexplained high usage to the customer.

FY22 ACCOMPLISHMENTS

- NC Debt Setoff program allowed the City to collect \$29,022 on delinquent utility accounts over the 2021 calendar year.
- Collected \$30,460.97 in bad debt recovery from inactive accounts with past due balances that are over 3 years old.
- Implemented Bill Pay eReceivables to receive payments electronically that are made by customers through their bank's online bill pay. Funds are collected more efficiently electronically through this process.
- MyGovHub has been integrated with billing and collections software. MGH provides a live account balance to customers and payments are live in collections software. This is a benefit to both customers and collections staff.

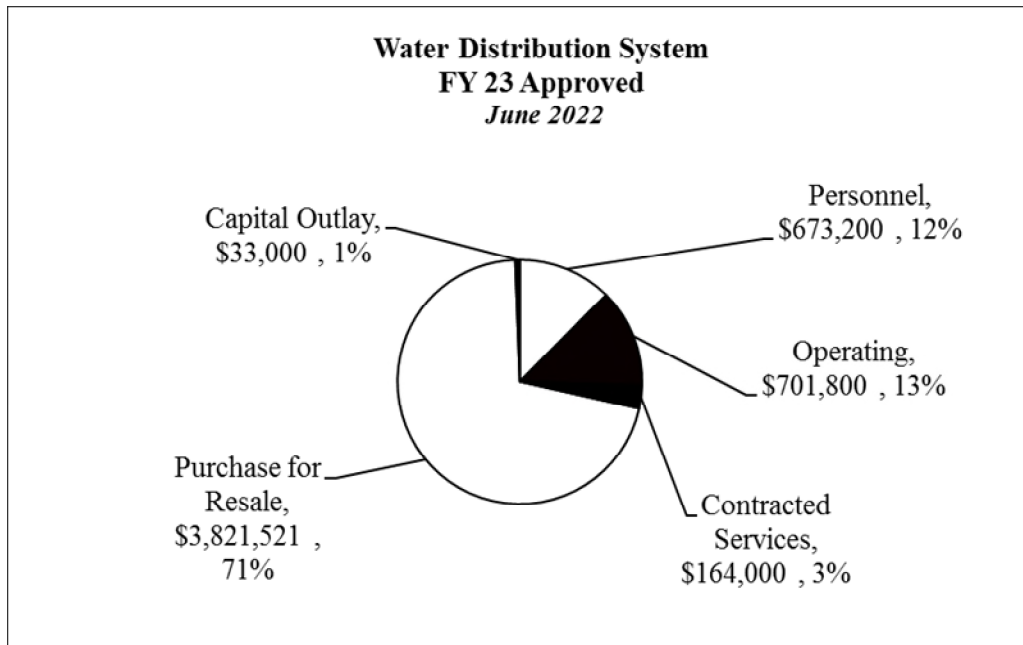
KEY BUDGET ISSUES

- Funds are being requested to update three computers and monitors for three department positions as suggested by IT Administrator.
- Funds are being requested to purchase a receipt printer to replace one that is not working properly.
- Funds are being requested to purchase four credit/debit card terminal and keypad combo. The software for the current models is no longer supported per merchant services.

FY 22-23 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

30-818: WATER DISTRIBUTION SYSTEM SUMMARY

	Actual 19-20	Actual 20-21	Budget 21-22	Estimate 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 534,540	\$ 589,775	\$ 592,090	\$ 591,290	\$ 673,200	\$ 673,200	\$ 673,200
Operating	551,250	666,400	634,750	621,733	706,800	701,800	701,800
Contracted Services	120,000	164,100	164,000	164,000	164,000	164,000	164,000
Purchase for Resale	3,835,300	4,000,000	4,000,000	4,000,000	3,821,521	3,821,521	3,821,521
Capital Outlay	27,700	261,950	125,000	125,000	375,500	33,000	33,000
Total Expenditures	\$ 5,068,790	\$ 5,682,225	\$ 5,515,840	\$ 5,502,023	\$ 5,741,021	\$ 5,393,521	\$ 5,393,521



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Assistant Public Works Director	22	\$49,249	\$73,874		
1	1	Distribution and Collection System Supervisor	20	\$44,809	\$67,214		
0	1	Utility Locator	14	\$33,818	\$50,727		
0	1	Administrative Support Specialist	11	\$29,417	\$44,126		
8	8	Utility Maintenance Mechanic	9	\$26,822	\$40,233		
10	12						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	9	9	10	10	12	12	12
New Requests	0	1	0	0	0	0	0
Total Funded Positions	9	9	10	10	12	12	12

PURPOSE

**FY 22-23 BUDGET
ENTERPRISE FUNDS**

30-818: WATER FUND WATER DISTRIBUTION SYSTEM

To provide maintenance and repair on water transmission and distribution mains throughout the City's service area (as part of the Regional System); and to install water taps, provide force labor and management for improvements and extensions to the water system. The City owns and maintains over 230 miles of water lines serving roughly 9,000 customers.

GOALS & OBJECTIVES

- Goal 1:** Provide better water quality and service to meet or exceed customer demands with ample pressure.
- Objective 1:** Continue to identify and provide improvements to areas with water quality issues such as dead-end mains and small waterlines operating at minimum pressure.
- Objective 2:** Continue to identify areas where we can switch water services from small older water mains to larger newer water mains. Discontinue service on small older water mains.
- Goal 2:** Provide better fire protection and consistency of service as it relates to flushing and fire protection services.
- Objective 1:** Continue to change out older style fire hydrants without pumper nozzle which do not conform to NCDENR standards.
- Goal 3:** Become better prepared for emergency situations when turning water off becomes a necessity.
- Objective 1:** Develop a valve maintenance program to clean valve boxes, exercise valves and verify valve location on a consistent basis.
- Goal 4:** Ensure that all distribution and regional waterlines are accessible for maintenance.
- Objective 1:** Continue with mowing schedule for waterline right-of-ways.

FY22 ACCOMPLISHMENTS

- **Regional Waterline:** Repaired a leak on our 30" regional water line in Greystone without any interruption of service to our customers.
- **Workplace Training and Safety:** Continued in house safety meetings to prevent accidents and injury. Provided school and training classes to promote career development.

KEY BUDGET ISSUES

- **Aging Fleet and Equipment:** Existing fleet is aging and in need of replacement. We have proposed several items in the upcoming budget.

FY 22-23 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

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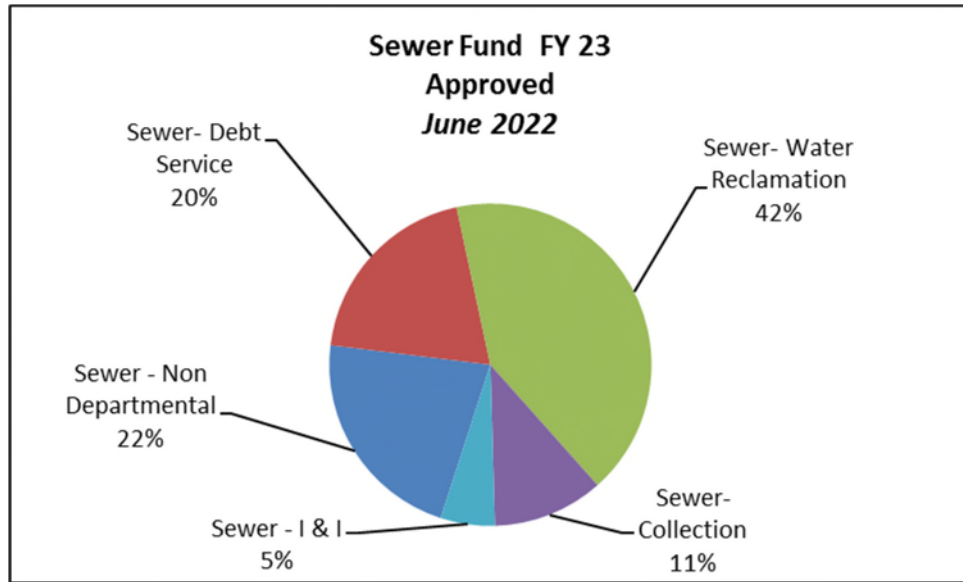
SEWER FUND

SEWER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Reclamation
4. Collection
5. Inflow & Infiltration (I & I)

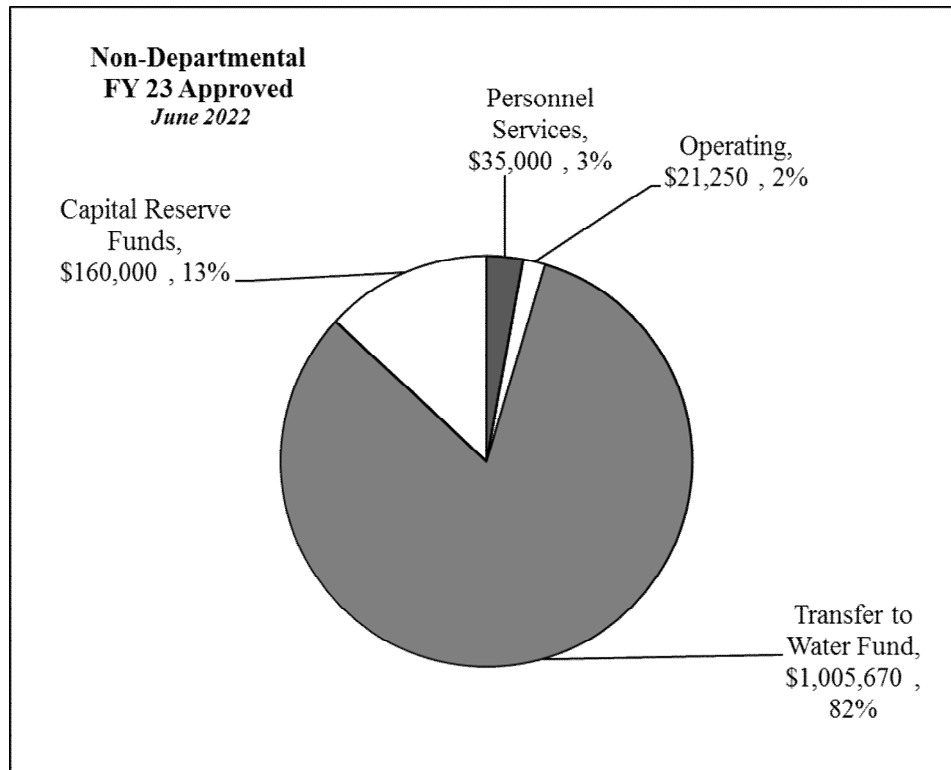
SEWER FUND SUMMARY

Department	2022 Council Amended Budget	2023 Department Requested Budget	2023 Council Aproved Budget	% Increase or Decrease
Sewer - Non Departmental	\$ 749,390	\$ 1,222,250	\$ 1,221,920	63.06%
Sewer- Debt Service	\$ 1,036,550	\$ 1,095,656	\$ 1,095,656	5.70%
Sewer- Water Reclamation	\$ 2,217,120	\$ 2,532,750	\$ 2,326,750	4.94%
Sewer- Colleciton	\$ 742,840	\$ 1,127,551	\$ 620,051	-16.53%
Sewer - I & I	\$ 450,500	\$ 675,700	\$ 303,200	-32.70%
Total Sewer Fund	\$ 5,196,400	\$ 6,653,907	\$ 5,567,577	7.14%



**FY 22-23 BUDGET
ENTERPRISE FUNDS
31-660: SEWER FUND NON-DEPARTMENTAL**

31-660: NON-DEPARTMENTAL SUMMARY						
	Actual 19-20	Actual 20-21	Budget 21-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 26,000	\$ 28,500	\$ 33,000	\$ 35,000	\$ 35,000	\$ 35,000
Operating	30,750	12,000	19,360	21,250	21,250	21,250
Contingency	-	-	-	-	-	-
Cost Allocation	503,856	-	-	-	-	-
Transfer to Water/Sewer Fund	658,070	658,856	523,295	1,006,000	1,005,670	1,005,670
Capital Reserve	56,098	32,644	173,735	160,000	160,000	160,000
Total Expenditures	\$ 1,274,774	\$ 732,000	\$ 749,390	\$ 1,222,250	\$ 1,221,920	\$ 1,221,920



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time are accounted for in this budget department.

FY 22-23 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE

31-680: DEBT SERVICE SUMMARY						
	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Debt Service Principal	\$ 953,129	\$ 1,002,350	\$ 1,002,350	\$ 1,058,259	\$ 1,058,259	\$ 1,058,259
Debt Service Interest	35,345	34,200	34,200	37,397	37,397	37,397
Lease Purchase Payments	53,647	-	-	-	-	-
Total Expenditures	\$1,042,121	\$1,036,550	\$ 1,036,550	\$ 1,095,656	\$ 1,095,656	\$ 1,095,656

The majority of this debt is due to the renovations at the Henderson Water Reclamation Facility (HWRF).

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- **Scheduled Debt Service** is currently comprised of HWRF improvements; Sandy Creek pump stations, Sewer Rehab Project and Elmwood Interceptor.

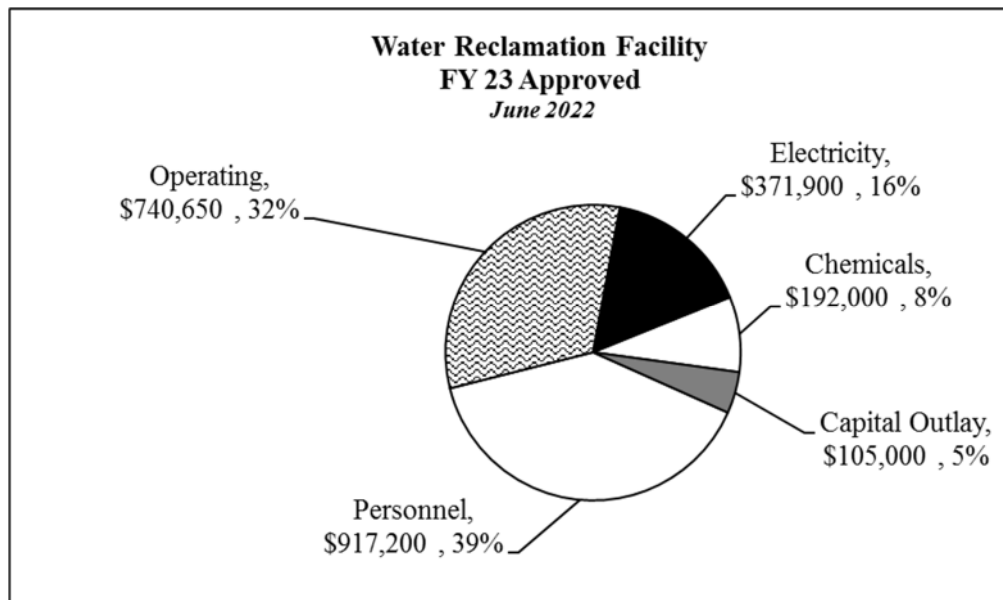
**FY 22-23 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE**

31									
Paid To: NCDEQ\DWI (5214)									
Type of Debt: State Revolving Loan									
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
HWRP Improvements - 0 % interest - (20 yr)	31-680-508100	P	805,750		805,750		805,750		805,750
Beg. FY 16 ending FY 35 - Total project \$16,115,000	31-680-508200	I	0		0		0		0
31									
Paid To: NCDENR-DWQ (4237)									
Type of Debt: State Revolving Loan									
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sandy Creek Pump Station - 0% interest - (20 yr)	31-680-508100	P	37,609		37,609		37,609		37,609
issued FY 13 ending FY 33 - Total project \$1,800,000	31-680-508200	I	0		0		0		0
\$900,000 principal forgiveness									
31									
Paid To: NCDENR-DWQ (4237)									
Type of Debt: State Revolving Loan									
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sewer Rehab Project - 2 % interest - (20 yr) issued	31-680-508100	P	24,720		24,720		24,720		24,720
5/13 ending FY 33 - Total project \$988,782	31-680-508200	I	5,439		4,944		4,450		3,955
Principal forgiveness \$494,391			966						
31									
Paid To: DENR (5214)									
Type of Debt: State Revolving Loan									
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Elmwood Interceptor - 2.5% interest (20yr)	31-680-508100	P	85,050		85,050		85,050		85,050
Beg. FY 17-18 ending FY 36-37 - Total Project	31-680-508200	I	25,515		23,814		22,113		20,412
\$1,800,000			1,608						
31									
Paid To: First Citizens (1339)									
Type of Debt: Loan Purchase									
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sewer: Jetter Truck, Trench Roller, CCTV Truck	31-680-508100	P	69,746		69,213		70,210		71,221
1.44% interest, (5yr) total payments \$188,844	31-680-508200	I	3541		4074		3077		2066
	Long Term Principal		953,129		953,129		953,129		953,129
	Long Term Interest		30,954		28,758		26,563		24,367
	Total Debt Service		984,083		981,887		979,692		977,496
	Total Loan Purchase		111,573		111,573		111,573		111,573
	Grand Total Debt		1,095,656		1,093,460		1,091,265		1,089,069

FY 22-23 BUDGET
ENTERPRISE FUNDS
31-822: SEWER FUND WATER RECLAMATION FACILITY

31-822: WATER RECLAMATION FACILITY SUMMARY

	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel	\$ 848,400	\$ 912,100	\$ 907,520	\$ 907,520	\$ 917,200	\$ 917,200	\$ 917,200
Operating	583,400	601,700	695,000	720,345	740,650	740,650	740,650
Electricity	340,000	382,700	361,600	361,600	371,900	371,900	371,900
Chemicals	170,000	179,000	179,000	179,000	192,000	192,000	192,000
Capital Outlay	56,100	132,200	74,000	74,400	311,000	105,000	105,000
Total Expenditures	\$ 1,997,900	\$ 2,207,700	\$ 2,217,120	\$ 2,242,865	\$ 2,532,750	\$ 2,326,750	\$ 2,326,750



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
Special Certified or Sworn Employees (i.e., police officers, firefighters, treatment operators, etc.)							
1	1	Wastewater Treatment Plant Director		26	\$59,540	\$89,310	
1	1	Chief Treatment Plant Operator		18	\$40,784	\$61,176	
1	1	Laboratory Supervisor		18	\$40,784	\$61,176	
5	5	Treatment Plant Operator		12	\$30,814	\$46,221	
8	8						
All Other Full Time, both exempt and non-exempt							
1	1	Plant Maintenance Supervisor		17	\$38,913	\$58,370	
2	2	Laboratory Technician		13	\$32,280	\$48,420	
4	4	Plant Maintenance Mechanic		12	\$30,814	\$46,221	
1	1	Administrative Support Specialist		11	\$29,417	\$44,126	
8	8						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	16	16	16	16	16	16	16
New Requests	0	0	0	0	0	0	0
Total Funded Positions	16	16	16	16	16	16	16

**FY 22-23 BUDGET
ENTERPRISE FUNDS**

31-822: SEWER FUND WATER RECLAMATION FACILITY

PURPOSE

To provide adequate treatment of wastewater to meet the effluent limits set forth in the City's National Pollutant Discharge Elimination System (NPDES) permit; to provide adequate management and maintenance of the City's pump station facilities (6 major and 8 minor stations) and sludge disposal program; and to make available adequate capacity for continued residential, commercial and industrial growth within Henderson's corporate limits and throughout the service area.

GOALS & OBJECTIVES

- Goal 1:** Operate the HWRF, pump stations, laboratory, SCADA, stormwater, odor control and land application of sludge efficiently and maintain compliance with all NPDES, laboratory, land application of sludge and stormwater permit limits including the Environmental Protection Agency (EPA)/Division of Water (DWQ) regulations in a cost effective manner.
- Objective 1:** Analyze the operational parameters of the treatment plant and train staff in its interpretation. Coordinate with the lab, operations and maintenance staff to make needed adjustments to the plant and other processes to maintain compliance with the current NPDES limits.
- Goal 2:** Continue to improve and maintain the safety record at the HWRF.
- Objective 1:** Continue plant safety inspections and staff training; correct any issues or concerns that rise.
- Goal 3:** Continue using Cartegraph asset management system.
- Objective 1:** Manage assets, request, community's work and resources.

FY22 ACCOMPLISHMENTS

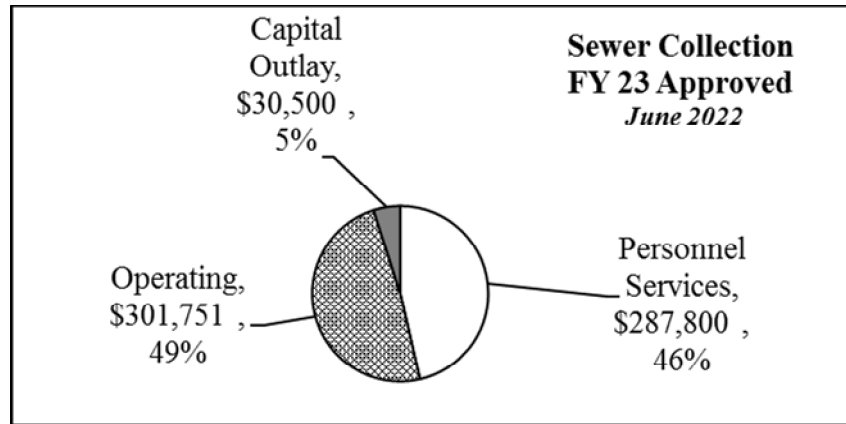
- Cleaned out the oxidation ditch.
- Multiple repairs to equipment at the treatment plant.
- Electrical improvements to smaller lift stations.
- Filled all open positions.

KEY BUDGET ISSUES

- Filter building is in need of an upgrade.
- Repair cracks in the Oxidation ditch.
- Chemical prices are increasing.

FY 22-23 BUDGET
ENTERPRISE FUNDS
31-828: SEWER FUND COLLECTION

31-828: SEWER COLLECTION SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 240,750	\$ 262,725	\$ 262,140	\$ 262,140	\$ 287,800	\$ 287,800	\$ 287,800
Operating	258,400	289,000	282,700	282,200	301,751	301,751	301,751
Capital Outlay	36,800	186,200	198,000	198,000	538,000	30,500	30,500
Total Expenditures	\$ 535,950	\$ 737,925	\$ 742,840	\$ 742,340	\$ 1,127,551	\$ 620,051	\$ 620,051



AUTHORIZED POSITIONS							
FY 20-21	FY 21-22	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
2	2	Maintenance Crew Leader		13	\$32,280	\$48,420	
3	3	Maintenance Worker		8	\$25,616	\$38,424	
5	5						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	5	5	5	5	5	5	5
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5	5	5	5	5	5	5

PURPOSE

To perform both scheduled and emergency maintenance and repair on more than 200 miles of sanitary sewer lines (both gravity and force mains); to install sewer taps; provide force labor and management for improvements to the system. To provide quality service for roughly 7,600 sewer customers.

GOALS & OBJECTIVES

- Goal 1:** To stay in compliance with sanitary sewer collections permits and avoid potential fines from sanitary sewer overflows.
- Objective 1:** Continue to clean and monitor sewer mains and manholes to reduce the risk of spills/overflows.
- Goal 2:** Further reduce infiltration/inflow to maximize capacity within the collection system.
- Objective 1:** Continue to work in conjunction with Sewer I&I Division to inspect sewer mains with CCTV inspection equipment and smoke testing equipment to find potential sources of I&I.
- Goal 3:** Ensure that all sanitary sewer outfalls are accessible for maintenance.
- Objective 1:** Continue with mowing schedule for sanitary sewer outfalls.

FY22 ACCOMPLISHMENTS

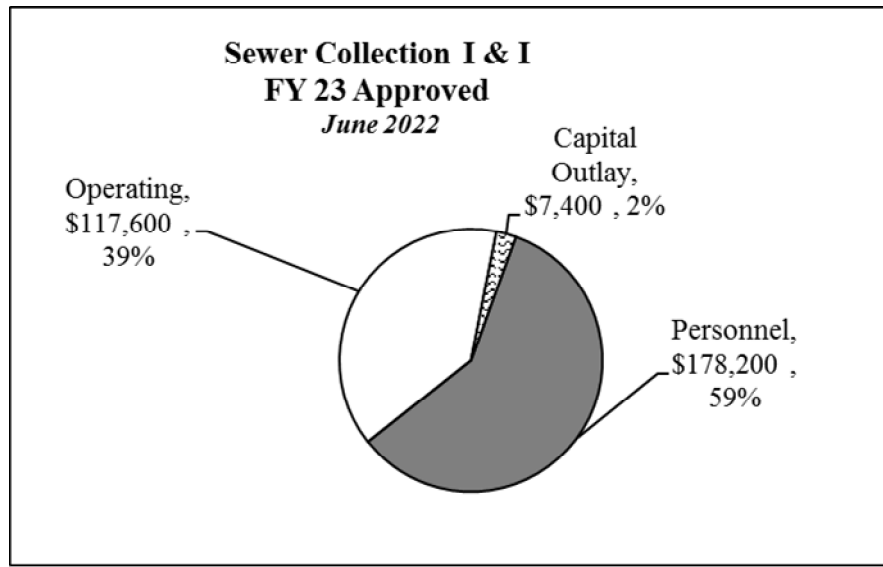
- **Line Rehabilitation:** Successfully completed foam injection to existing sewer mains to eliminate root problems which can cause spills.
- **Right-of-Way Clearing:** Continued right of way clearing on Sanitary Sewer outfalls. Repaired several creek crossings to enable accessibility.
- **Line Cleaning:** Crews are on track to complete cleaning of the 10% of gravity sewer mains as mandated by the Water Resources Division for North Carolina Department of Environmental Quality.
- **CCTV Truck:** We purchased a new CCTV truck which will help us assess conditions of our sewer mains.

KEY BUDGET ISSUES

- **Funding:** Needed for projects relative to capital improvement projects as well as other sewer improvement projects.
- **Aging Fleet and Equipment:** Funding of new and aging equipment to ensure quality and timely work for maintenance of sewer mains and services. We have proposed several items in the upcoming budget included a Combo Truck for cleaning sewer lines.

FY 22-23 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

31-829 SEWER FUND I & I OPERATIONS							
	Actual 19-20	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel Services	\$ 154,100	\$ 161,675	\$ 164,850	\$ 162,050	\$ 178,200	\$ 178,200	\$ 178,200
Operating	78,200	99,500	103,450	100,709	117,600	117,600	117,600
Capital Outlay	35,200	126,100	182,200	178,400	379,900	7,400	7,400
Total Expenditures	\$ 267,500	\$ 387,275	\$ 450,500	\$ 441,159	\$ 675,700	\$ 303,200	\$ 303,200



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Maintenance Crew Leader	13	\$32,280	\$48,420		
2	2	Maintenance Worker	8	\$25,616	\$38,424		
3	3						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

PURPOSE

To perform scheduled maintenance of sanitary sewer mains relative to the identification and reduction of storm and groundwater inflow/infiltration (I&I) into the sanitary sewer system.

GOALS & OBJECTIVES

Goal 1: Inflow & Infiltration Reduction and Identification.

Objective 1: Continue smoke testing and performing visual inspections of the collection system in order to keep as much rain and storm water flow as possible out of the sanitary sewer system.

Objective 2: Perform repairs identified by smoke testing, visual inspection and other means. Perform day-to-day I&I preventive maintenance as required of this system.

Goal 2: Identify I&I issues on private property and ensure appropriate repairs are made.

Objective 1: Issue notice to property owners when I&I problems are found to give them an opportunity to make repairs within a set time frame.

FY22 ACCOMPLISHMENTS

- **I&I Work:** Received a loan in the amount of \$2.5 million from the Clean Water State Revolving Fund for sewer rehabilitation to alleviate sources of I/I. This is our Find and Fix it Project.
- **CCTV Truck:** We purchased a new CCTV truck which will help us assess conditions of our sewer mains and find possible sources of I/I.
- **Fats, Oils & Grease Compliance:** The Sewer Collection I&I Division continues to work in identifying accumulation of grease build-up within the mains and help HWRF to identify potential businesses which may be depositing excessive amounts of fats, oils and grease.

KEY BUDGET ISSUES

- **Contract Services:** Includes a minimal amount of funds related to smaller sewer construction repairs that cannot be performed by the city.

FY 22-23 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

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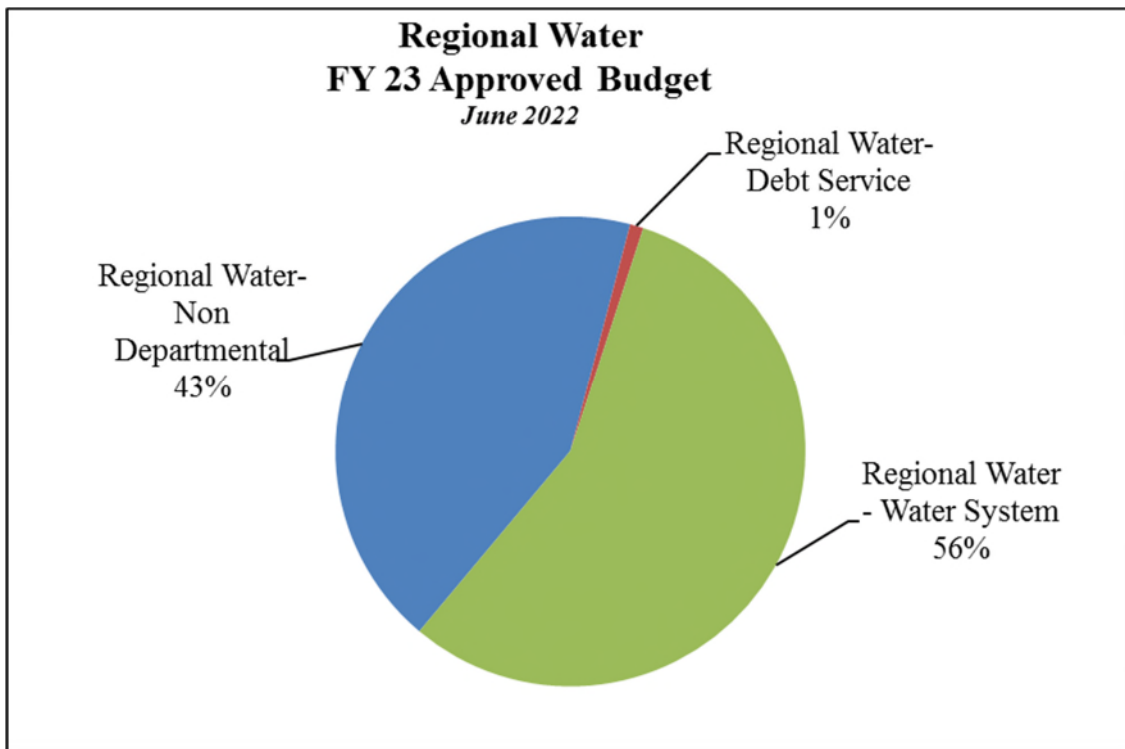
REGIONAL WATER FUND

REGIONAL WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Plant

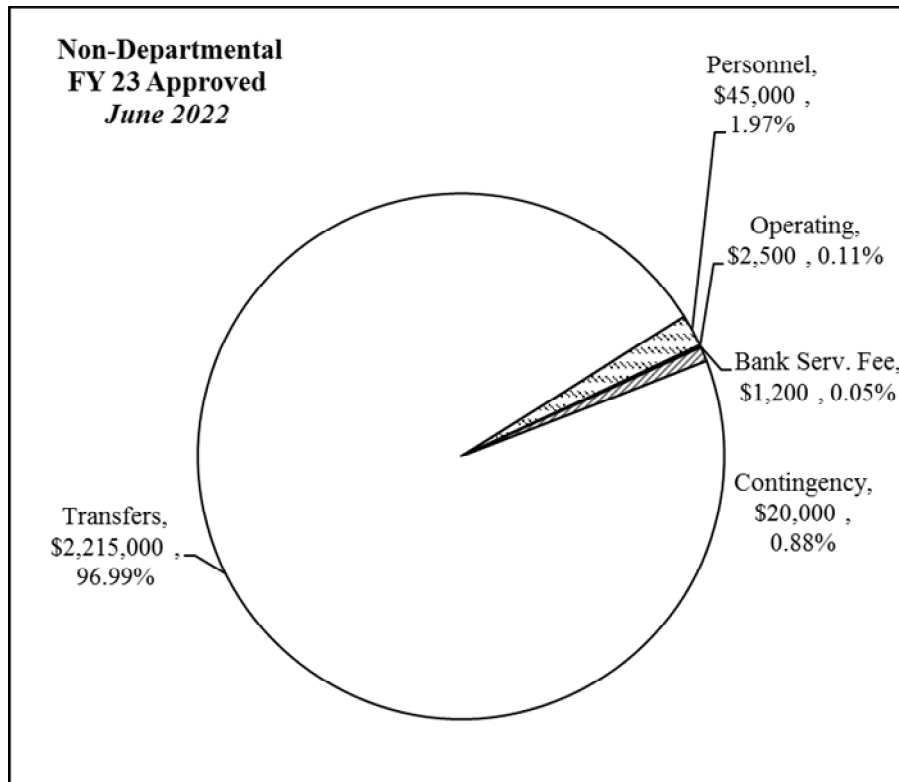
REGIONAL WATER FUND

Department	2022 Council Amended Budget	2023 Department Requested Budget	2023 Council Approved Budget	% Increase or Decrease
Regional Water- Non Departmental	\$2,294,440	\$ 2,283,700	\$ 2,283,700	-0.47%
Regional Water- Debt Service	\$ 48,450	\$ 49,050	\$ 49,050	1.24%
Regional Water - Water System	\$2,865,110	\$ 2,979,740	\$ 2,979,740	4.00%
Total Regional Water	\$5,208,000	\$ 5,312,490	\$ 5,312,490	2.01%



**FY 22-23 BUDGET
ENTERPRISE FUNDS
64-660: REGIONAL WATER FUND NON-DEPARTMENTAL**

64-660: NON-DEPARTMENTAL SUMMARY						
	Actual 19-20	Actual 20-21	Budget 21-22	Requested 22-23	Recommended 22-23	Approved 22-23
Personnel	\$ 41,730	\$ 46,000	\$ 42,010	\$ 45,000	\$ 45,000	\$ 45,000
Operating			\$ 2,370	\$ 2,500	\$ 2,500	\$ 2,500
Bank Service Fees	\$ 1,000	\$ 1,000	\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200
Contingency	30,000	30,000	20,000	20,000	20,000	20,000
Cost Allocation	354,950	-	-	-	-	-
Transfers	1,650,000	2,261,550	2,213,380	2,215,000	2,215,000	2,215,000
To Capital & Reserves	427,820	21,650	15,480	-	-	-
Total Expenditures	\$ 2,505,500	\$ 2,360,200	\$ 2,294,440	\$ 2,283,700	\$ 2,283,700	\$ 2,283,700



The Non-Departmental Budget group provides for a better accounting of inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and the fund's share of the recommended pay and classification study are accounted for in this budget department.

The largest expenditure center for the non-departmental budget is the transfer to the Capital Reserve Fund.

FY 22-23 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE

64-680: DEBT SERVICE SUMMARY						
	Actual 20-21	Budget 21-22	Estimated 30-Jun-22	Requested 22-23	Recommended 22-23	Approved 22-23
Long-Term Debt Service P&I	\$ 48,450	\$ 48,450	\$ 48,997	\$ 49,050	\$ 49,050	\$ 49,050
Lease Purchase Debt Service P&I	-	-	-	-	-	-
Total Expenditures	\$ 48,450	\$ 48,450	\$ 48,997	\$ 48,450	\$ 49,050	\$ 49,050

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

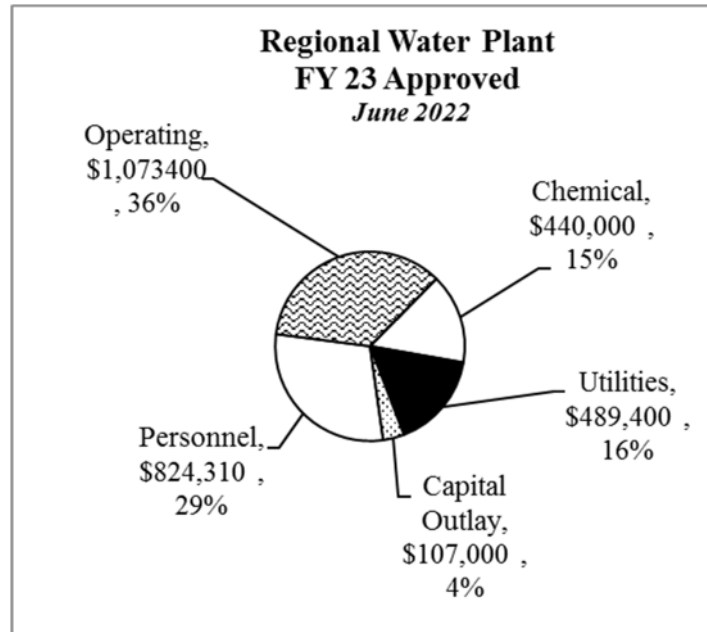
- Upcoming Debt Service will be necessary for the 20 MGD upgrade.
- City has secured funding for rehabilitation and expansion of KLRW Plant.

**FY 22-23 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE**

64: Regional Water Fund Debt Service Payment Log										
Paid To: DENR (1263)										
Type of Debt: State Revolving Loan										
			FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26	
Description:	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount	
High Speed Pump - 0% Interest - (20 yr) Beg. FY 15	64-680-508100	P	48,431		48,431		48,431		48,431	
ending FY 33 - Total project \$1,129,000 revised to		I	0		0		0		0	
\$968,618										

FY 22-23 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

64-900: REGIONAL WATER PLANT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	19-20	20-21	21-22	30-Jun-22	22-23	22-23	22-23
Personnel Services	\$ 704,950	\$ 820,750	\$ 824,310	\$ 748,460	\$ 872,100	\$ 872,100	\$ 872,100
Operating	898,000	926,500	1,073,400	973,672	1,051,240	1,051,240	1,051,240
Chemicals	430,000	440,000	440,000	440,000	460,000	460,000	460,000
Utilities	453,000	477,600	486,400	391,000	489,400	489,400	489,400
Capital Outlay	20,100	206,500	41,000	41,000	107,000	107,000	107,000
Total Expenditures	\$2,506,050	\$ 2,871,350	\$2,865,110	\$2,594,132	\$ 2,979,740	\$ 2,979,740	\$ 2,979,740



AUTHORIZED POSITIONS							
FY 21-22	FY 22-23	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
1	1	Treatment Plant Director		28	\$65,488	\$98,232	
1	1	Chief Operator		18	\$40,784	\$61,176	
0	1	Plant Maintenance Supervisor		17	\$38,913	\$58,370	
1	1	Laboratory Analyst		15	\$35,434	\$53,151	
2	1	Plant Maintenance Mechanic		12	\$30,814	\$46,221	
7	7	Treatment Plant Operator		12	\$30,814	\$46,221	
1	1	Administrative Support Specialist		11	\$29,417	\$44,126	
13	13						
HISTORY OF POSITIONS							
	FY 18-19	FY 19-20	FY 20-21	FY 21-22	Requested FY 22-23	Recommended FY 22-23	Approved FY 22-23
Authorized Positions	13	13	13	13	13	13	13
New Requests	0	0	0	0	0	0	0
Total Funded Positions	13	13	13	13	13	13	13

**FY 22-23 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT**

PURPOSE

To provide safe and aesthetically pleasing water to approximately 55,000 customers in the cities of Henderson, Oxford and Warren County by continuously meeting all state and federal regulations.

GOALS & OBJECTIVES

Goal 1: Start work on new Lead and Copper Regulations.

Objective 1: Work on the inventory of the service lines in the City.

Goal 2: Meet and exceed EPA regulations.

Objective 1: Meet all state and federal regulations throughout the year thus providing high quality water to all customers.

Goal 3: Continue working to complete the 20MGD upgrade.

Objective 1: Meet future growth projections and demands of the regional water partners and customers.

Goal 4: Devise a consumer education plan.

Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.

Goal 5: Increase staff training.

Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.

FY22 ACCOMPLISHMENTS

- Saved approximately \$48,458 on the electric bill by participating in the Time-of-Use Program.
- Continuously provided a supply of safe, clean drinking water to all customers of KLRWS.
- Met or exceeded regulations as they were promulgated and became law.

KEY BUDGET ISSUES

- Chemical costs and fuel remain volatile and unstable which may lead to higher costs during the year.
- Continue to increase the Regional Operating Fund Reserve.
- Increase staff in the Lab by one Lab Technician.
- Continue funding to develop the knowledge and skill of all employees.
- Secure funding to start work on new Lead and Copper Regulations.

FY 22-23 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

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CAPITAL IMPROVEMENT PROJECTS

1. GENERAL FUND CIP

2. POWELL BILL CIP

3. WATER FUND CIP

4. SEWER FUND CIP

5. REGIONAL WATER FUND CIP

Capital Improvement Projects Funds projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project. At times a project may only be “open”, or active, for several months and in other cases the project remains active for several years. With this said, the annual operating and capital budget must provide a summary of the capital improvement fund projects for information purposes.

The following charts provide information on each of the active and proposed capital improvement projects.

		GENERAL FUND SUMMARY																		
4/21/2022 16:21																				
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL					
EXPENDITURES																				
Outdoor Pavilion & Market	\$ 20,000	\$ 10,000	\$ 220,000			\$ 30,000									\$ 280,000					
Fire-Concrete Aprons/Apparatus Floor							\$ 95,000								\$ 95,000					
Henderson Laundry						\$ 20,000									\$ 20,000					
Roof Top Structure Repairs/HVAC				\$ 37,000											\$ 37,000					
Veteran's Monument						\$ 9,000									\$ 9,000					
Aycock Parking Lot							\$ 150,000								\$ 150,000					
Police Station-Carpeting, Cubicles, Mortar							\$ 70,000								\$ 70,000					
Operations Center-Roof							\$ 30,000								\$ 30,000					
Resurfacing at the Operations Center						\$ 25,915									\$ 25,915					
Aycock Restrooms							\$ 60,000								\$ 60,000					
Overlay of Basketball Court-Chestnut Street					\$ 18,750		\$ 28,000								\$ 46,750					
Resurfacing at Fox's Pond							\$ 130,000								\$ 130,000					
Street Resurfacing							\$ 348,000								\$ 348,000					
City Hall-Sewer Line							\$ 20,000								\$ 20,000					
Redevelopment-Land Acquisition			\$ 38,640	\$ 100,000			\$ 1,000,000								\$ 1,138,640					
Fire Station Study				\$ 15,000											\$ 15,000					
McGregor Hall Welcome Signs				\$ 20,000		\$ 5,000									\$ 25,000					
Redevelopment							\$ 500,000								\$ 500,000					
Elmwood Cemetery Master Plan-Phase IV															\$ -					
Total Expenditures	\$ 20,000	\$ 10,000	\$ 258,640	\$ 172,000	\$ 18,750	\$ 89,915	\$ 2,431,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 3,000,305					
RESOURCES																				
FUND BALANCE			\$ 225,500	\$ 354,500		\$ 89,915									\$ 669,915					
USDA GRANT		\$ 133,000													\$ 133,000					
USDA LOAN		\$ 474,000													\$ 474,000					
ARPA GRANT							\$ 2,431,000	\$ -	\$ 200,000						\$ 2,631,000					
PRIVATE PLACEMENT LOAN															\$ -					
TOTAL RESOURCES	\$ -	\$ 607,000	\$ 225,500	\$ 354,500	\$ -	\$ 89,915	\$ 2,431,000	\$ -	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 3,907,915					

4/21/2022 16:21	POWELL BILL SUMMARY																	
	PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL		
EXPENDITURES																		
	Street Resurfacing	\$ 200,000	\$ 400,000		\$ 400,000			\$ 425,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 2,825,000		
	Pavement Assessment					\$ 30,000										\$ 30,000		
	Bridgers Street Widening															\$ -		
	Alexander Ave Phase III						\$ 376,838									\$ 376,838		
	Cypress Drive Widening											\$ 458,820				\$ 458,820		
	Denver Street Extension					\$ 81,250										\$ 81,250		
	Granite Street Storm Sewer		\$ 85,000													\$ 85,000		
	High Street Connector															\$ -		
	Dorsey Place Cul-de-Sac					\$ 24,500										\$ 24,500		
	TOTAL EXPENDITURES	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 376,838	\$ 425,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 3,881,408		
RESOURCES																		
	Redevelopment																	
	OPERATING REVENUES	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 880,639	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,762,047		
	TOTAL RESOURCES	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 880,639	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,762,047		

4/21/2022 16:21	WATER FUND SUMMARY														
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
Beckford Dr/ Loop				\$ 48,100											\$ 48,100
Young Ave Water Line Replacement		\$ 1,578,960													\$ 1,578,960
Industrial Park Water & Sewer Ext	\$165,356														\$ 165,356
Beckford Dr. Loop Water Line		\$ 200,000													\$ 200,000
Ross Mill Rd. Water Line Ext		\$ 16,000													\$ 16,000
Resurfacing Ops Center						\$ 19,435								\$ 700,000	\$ 719,435
2" Water Line Replacement Railroad Street		\$ 10,000													\$ 10,000
Thomas Lane Area-2" WL Replacements					\$ 850,000										\$ 850,000
Valves in vault at each Overhead Tank-					\$ 30,000										\$ 30,000
Parrot Road, W. Ridge & Eileen Ct														\$ 790,000	\$ 790,000
Weybosset Neighborhood												\$ 340,000			\$ 340,000
Allen Road & Neighborhood										\$ 330,000					\$ 330,000
Hospital Second Feed				\$ 40,000	\$ 325,000										\$ 365,000
Insert-a Valves			\$ 40,000												\$ 40,000
Elevated Water Storage Tank (1MGD)									\$3,500,000						\$ 3,500,000
Water Meter Replacement Project						\$ 800,000									\$ 800,000
Wesley Drive Tie in to 24" Pipe				\$ 90,000											\$ 90,000
Loop At Walgreens up to US 1 BUS			\$ 52,400												\$ 52,400
* Ross Mill Road-Vance Charter to Haywood				\$ 320,000											\$ 320,000
Water Tap to larger WL abandon 2" WL															\$ -
Downtown Waterline replacement					\$ 100,000	\$ 900,000		\$ 900,000			\$ 100,000	\$ 900,000			\$ 2,900,000
Automatic Water Meter Infrastructure										\$ 750,000					\$ 750,000
Painting of Stand Pipe				\$ 50,000											\$ 50,000
Franklin Co. Electric Valve					\$ 20,000										\$ 20,000
Service Changeover - Vicksboro Rd.				\$ 54,000											\$ 54,000
TOTAL EXPENDITURES	\$165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$1,325,000	\$1,719,435	\$ -	\$ 900,000	\$3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$14,019,251
RESOURCES															
OPERATING REVENUE		\$ 10,000	\$ 92,400												
NC INDUSTRIAL DEV. FUND GRANT/Goldenleaf	\$165,356			\$ 320,000	\$ 20,000	\$1,719,435	\$ -	\$ 900,000		\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$ 6,651,835
TRANSFER FROM WATER		\$ 16,000		\$ 282,100											\$ 485,356
STATE REVOLVING LOAN					\$1,305,000										\$ 298,100
TRANSFER FROM RATE STABILIZATION		\$ 1,578,960													\$ 2,883,960
		\$ 200,000							\$3,500,000						\$ 3,700,000
TOTAL RESOURCES	\$165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$1,325,000	\$1,719,435	\$ -	\$ 900,000	\$3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$14,019,251

* Depends on whether we receive grant

4/21/2022 16:21		SEWER FUND SUMMARY																						
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL									
EXPENDITURES																								
Newton Dairy Pump Project		\$ 47,900													\$ 47,900									
HWRF Improvements	\$ 18,597,470														\$ 18,597,470									
Elmwood Cemetery Outfall		\$ 1,880,300													\$ 1,880,300									
Sandy Creek Pump Station Impr	\$ 1,749,074														\$ 1,749,074									
Newton Dairy/Birch/Bobbitt CDBG Sewer Ext		\$ 1,950,630													\$ 1,950,630									
ROBCO Water & Sewer Line Ext		\$ 217,272													\$ 217,272									
Andrews Avenue-Pinkston Street															\$ -									
WW Pump Stations Generators (6 stations)					\$ 390,000										\$ 390,000									
Upgrade Old Sludge Handling Tank						\$ 375,000									\$ 375,000									
Demolish Abandoned Processes at HWRF			\$ 479,950							\$ 200,000					\$ 679,950									
By Pass at Influent Bar Screen WRF								\$ 156,250							\$ 156,250									
Goose Neck at Emergency Pump Bypass		\$ 20,000													\$ 20,000									
Move 4" Water Line Non- Potable		\$ 11,000													\$ 11,000									
Sandy Creek Force Main								\$ 250,000	\$ 1,530,000						\$ 1,780,000									
Air Release on Force Main Rehab			\$ 35,000												\$ 35,000									
Resurfacing Ops Center						\$ 19,435									\$ 19,435									
10" Sewer Replacement E. Ave to					\$ 690,000										\$ 690,000									
Hughes Farm Road															\$ -									
Influent Mechanical Grease Remover						\$ 90,000									\$ 90,000									
VFD for Non-Potable Water pumps			\$ 40,000												\$ 40,000									
I & I Tank for Sandy Creek					\$ 400,000										\$ 400,000									
HWRF Filter Building control Panels						\$ 120,000									\$ 120,000									
Land Repairs				\$ 216,370											\$ 216,370									
TOTAL EXPENDITURES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 604,435	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,465,651									
RESOURCES																								
CAPITAL RESERVES			\$ 35,000	\$ 50,000											\$ 85,000									
OPERATING REVENUES				\$ 56,370	\$ 585,000	\$ 406,250		\$ 200,000							\$ 1,247,620									
STATE REVOLVING LOAN	\$ 20,346,544	\$ 4,127,102			\$ 1,480,000			\$ 1,530,000							\$ 27,483,646									
STATE GRANT															\$ -									
STATE REVOLVING GRANT															\$ -									
EDA GRANT															\$ -									
TRANSFER FROM RATE STABILIZATION			\$ 479,950	\$ 150,000											\$ 629,950									
TOTAL RESOURCES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 585,000	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,446,216									

		REGIONAL WATER FUND SUMMARY																	
4/21/2022 16:21																			
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL				
EXPENDITURES																			
KLRW INTERBASIN TRANSFER															\$ -				
SCADA SYSTEM		\$ 523,000													\$ 523,000				
20MGD EXPANSION-PHASE I-A															\$ -				
KLRW IMPROVEMENT PROJECT-PHASE 1															\$ -				
20MGD EXPANSION-PHASE I-B			\$ 39,863,000												\$ 39,863,000				
Move Oxford 1 Water Meter									\$ 153,000						\$ 153,000				
Oxford 1 Pump Station (PHASE 1)					\$ 614,000										\$ 614,000				
24" Redundant Line To Oxford Along															\$ -				
36" Transmission Water Line-WTP-to									\$ 9,680,000						\$ 9,680,000				
12" Line from Satterwhite Rd. to Nutbush			\$ 750,000	\$ 1,650,000											\$ 2,400,000				
															\$ -				
TOTAL EXPENDITURES	\$ -	\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000				
Redevelopment																			
															\$ -				
RESOURCES															\$ -				
CAPITAL RESERVES					\$ 614,000										\$ 614,000				
OPERATING REVENUES		\$ 523,000	\$ 750,000	\$ 1,650,000											\$ 2,923,000				
STATE LOAN			\$ 39,863,000						\$ 9,833,000						\$ 49,696,000				
															\$ -				
TOTAL RESOURCES	\$ -	\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000				

4/21/2022 16:21		TOTAL RESOURCES SUMMARY													
	PRIOR YEARS BUDGET	PLANNING YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEAR 2019-2020	PLANNING YEAR 2020-2021	PLANNING YEAR 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	
REVENUE SOURCES															TOTAL
General Fund															
Operating Revenues	\$ 20,000	\$ 10,000	\$ 38,640	\$ 354,500	\$ 147,550	\$ 12,000		\$ 31,000	\$ 200,000						\$ 813,690
USDA GRANT		\$ 133,000	\$ -	\$ -	\$ -										\$ 133,000
USDA LOAN		\$ 474,000	\$ -	\$ -	\$ -										\$ 474,000
ARPA GRANT							\$ 2,341,000								
Fund Balance		\$ -	\$ 225,500			\$ 135,150									\$ 360,650
Total General Fund	\$ 20,000	\$ 617,000	\$ 264,140	\$ 354,500	\$ 147,550	\$ 147,150	\$ 2,341,000	\$ 31,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,781,340
Powell Bill Fund															
Powell Bill	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 880,639	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,762,047
Total Powell Bill	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 880,639	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,762,047
Water Fund															
OPERATING REVENUE		\$ 10,000	\$ 92,400					\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 8,412,400
NC INDUSTRIAL DEV. FUND GRANT/GOI	\$ 165,356			\$ 320,000	\$ 1,305,000										\$ 1,790,356
TRANSFER FROM WATER		\$ 16,000													\$ 16,000
STATE REVOLVING LOAN		\$ 1,578,960			\$ 20,000	\$ 1,700,000	\$ -								\$ 3,298,960
TRANSFER FROM RATE STABILIZATION		\$ 200,000		\$ 282,100											\$ 482,100
Total Water Fund	\$ 165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$ 1,325,000	\$ 1,700,000	\$ -	\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 13,999,816
Sewer Fund															
CAPITAL RESERVES			\$ 35,000												\$ -
OPERATING REVENUES				\$ 50,000		\$ 585,000		\$ 406,250		\$ 200,000					\$ 35,000
STATE REVOLVING LOAN	\$ 20,346,544	\$ 4,127,102		\$ 56,370					\$ 1,530,000						\$ 1,241,250
STATE GRANT															\$ 26,060,016
STATE REVOLVING GRANT					\$ 1,480,000										\$ -
EDA GRANT															\$ 1,480,000
TRANSFER FROM RATE STABILIZATION			\$ 479,950	\$ 150,000											\$ 629,950
TOTAL RESOURCES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 585,000	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,446,216
Regional Water Fund															
CAPITAL RESERVES					\$ 614,000										\$ 614,000
STATE LOAN			\$ 39,863,000	\$ -	\$ -				\$ 9,833,000						\$ 49,696,000
OPERATING REVENUES		\$ 523,000	\$ 750,000	\$ 1,650,000	\$ -										\$ 2,923,000
TRANSFERS FROM CR			\$ -	\$ -	\$ -										\$ -
Total Reg. Water Fund	\$ 523,000	\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000
Other															
Old Municipal Building Project															
State Loan		\$ -	\$ -	\$ -	\$ -										\$ -
Private Bank Placement		\$ 830,000	\$ -	\$ -	\$ -										\$ 830,000
Total Other Fund		\$ 830,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 830,000
Total Resources	\$ 20,731,900	\$ 8,302,062	\$ 41,569,490	\$ 3,262,970	\$ 3,702,300	\$ 3,008,988	\$ 2,766,000	\$ 2,217,889	\$ 15,263,000	\$ 1,150,000	\$ 1,088,820	\$ 1,100,000	\$ 540,000	\$ 1,690,000	\$ 104,052,419

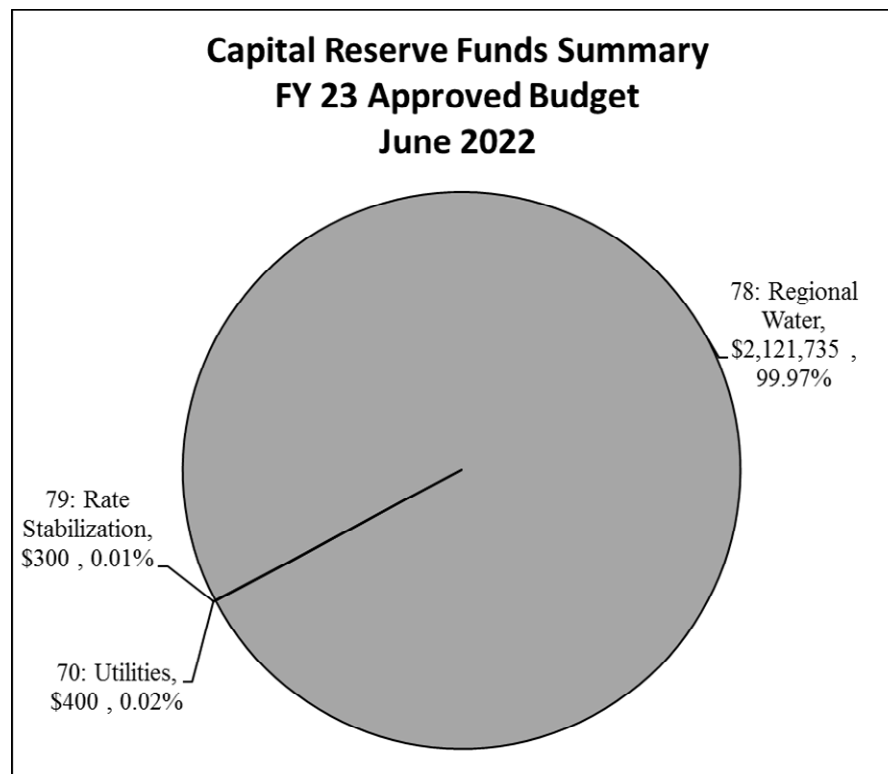
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**FY 22-23 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY**

SUMMARY

The Capital Reserve Funds are considered to be part of the annual fiscal budget and operate on a fiscal year basis. More detailed information on each capital reserve fund can be found in the following pages.

SUMMARY OF CAPITAL RESERVE FUNDS						
ALL FUNDS		FY 20	FY 21	FY 22	FY 23	
		Prior Year Actual	Prior Year Actual	Current Year as amended	Manager Recommended	Council Approved
Revenues						
70	Capital Reserve Utilities Fund	\$ 184,240	\$ 180,000	\$ 175,300	\$ 400	\$ 400
73	Capital Reserve Economic Development Fund	\$ 16,440	\$ 15,000	\$ -	\$ -	\$ -
78	Capital Reserve Regional Water Fund	\$ 5,071,140	\$ 5,000,000	\$ 1,852,335	\$ 2,121,735	\$ 2,121,735
79	Capital Reserve Rate Stabilization Fund	\$ 3,091,000	\$ 1,950,020	\$ 200,340	\$ 300	\$ 300
	Total Revenues	\$ 8,362,820	\$ 7,145,020	\$ 2,227,975	\$ 2,122,435	\$ 2,122,435
Expenditures						
70	Capital Reserve Utilities Fund	\$ 184,240	\$ 180,000	\$ 175,300	\$ 400	\$ 400
73	Capital Reserve Economic Development Fund	\$ 16,440	\$ 15,000	\$ -	\$ -	\$ -
78	Capital Reserve Regional Water Fund	\$ 5,071,140	\$ 5,000,000	\$ 1,852,335	\$ 2,121,735	\$ 2,121,735
79	Capital Reserve Rate Stabilization Fund	\$ 3,091,000	\$ 1,950,020	\$ 200,340	\$ 300	\$ 300
	Total Expenditures	\$ 8,362,820	\$ 7,145,020	\$ 2,227,975	\$ 2,122,435	\$ 2,122,435
	<i>Variance of Revenues to Expenditures</i>	\$ -	\$ -	\$ -	\$ -	\$ -



FY 22-23 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY

70: Capital Reserve Utilities Fund

The basic purpose of the Capital Reserve Utilities Fund is to accumulate revenues and hold them in reserve for future expansion and/or construction of the water distribution and sewer collection systems improvements and related improvements. The City's original Capital Reserve Funds were established in 1970 for the purpose of reserving revenue to construct or assist in the financing of major improvements to the City's utility system or to purchase major capital equipment for other operating departments/divisions. During the intervening years, the fund has served the purpose for which it was intended by providing resources for construction of major water and sewer projects at the Council's discretion following specific authorization.

In FY13, the fund was restructured to provide for separate accounting of water and sewer revenues to be held in reserve for future water and sewer projects. Prior to FY13, the funds had been comingled.

The revenue sources for this fund are the inter-fund transfers from the parent funds—30: Water and 31: Sewer, investments and periodic transfers of project reversions from the capital projects funds 43: Water and 44: Sewer. In short, the primary revenue source is from the water and sewer user rates.

A tremendous amount of work has been funded from this fund during the past several years for smaller water and sewer main improvement projects that are typically designed by the City Engineering Department. At the end of FY18 the Capital Reserve Utility Fund was \$357,416.

72: Capital Reserve General Fund

The Capital Reserve General Fund accumulates revenues and holds them in reserve for future large capital equipment purchases, such as fire trucks, sanitation vehicles, etc. and for the purchase and/or construction of facilities normally funded through General Fund resources, including infrastructure components, such as streets, sidewalks, storm drainage systems, public buildings, etc. This fund has been inactive for several years and no activity is planned for FY19. There is no activity at this time, but it is recommended to start allocating funds for this in the future for large purchases such as fire trucks and other large pieces of equipment. A possible stormwater fee could provide revenue for this fund.

73: Capital Reserve Economic Development Fund

This fund was established in FY12 as a means to 'house' funding for future economic development incentive grant matches, such as funding from the Rural Center. Funding is provided via inter-fund transfer from the General Fund's general revenues. The budget is divided into two main expenditure categories: capital reserve for future allocation by City Council and economic incentives allocated by Council for specific projects. All funds not utilized roll over into the fund balance. The undesignated fund balance for FY18 is \$15,828. Since no transfers from General Fund are budgeted for FY19, no growth is expected in the Fund.

78: Capital Reserve Regional Water Fund

This fund was created in March 2012 in order to consolidate three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General, were merged to form 78: Capital Reserve Regional Water System Fund. Reserves are established for these Regional Water system needs: 911: Corp of Engineer Reserve; 922: 20 MGD Plant Expansion Reserve and 865: General Capital Reserve.

The funding source for this fund is the inter-fund transfer from the 64: Regional Water Fund. Revenues are derived from charges for water to the Regional Partners of Oxford, Warren County and Henderson. All funds are held in reserve until needed. When needed, the funds are transferred to a capital project established in 46: CIP Regional Water Fund.

79: Capital Reserve Rate Stabilization Fund

This fund was established for the purpose of reserving City funds for major water system infrastructure needs, and major upgrades completed at the Water Reclamation Facility (Sewer Plant).

The funding source for the sewer plant rate stabilization reserve is the sewer rate transferred from 31: Sewer Fund. The initial transfer to establish this fund was made from 70: Capital Reserve Utilities Fund during FY12.

The 30: Water Fund has several sources of income to fund its rate stabilization reserve as follows: Investments and transfers of other revenue sources from 30: Water Fund.

**FY 22-23 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY**

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APPENDIX A

GLOSSARY OF TERMS

ABC: Alcoholic Beverage Control Commission.

Account Number: A system of numbering or otherwise designating accounts, entries, invoices, vouchers, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Budget/Accounting Line Item.

Accounts Payable: A liability account reflecting amounts of open accounts owing to private persons or organizations for goods and services received.

Accounts Receivable: An asset account reflecting amounts owing on open accounts from private persons or organizations for goods and services provided.

Accrual Basis: A basis of accounting in which revenues are recognized when they are earned rather than received and expenses are recognized when incurred rather than paid.

Activity Classification: A grouping of expenditures based on specific lines of work performed by organizational units, i.e., public safety.

Actuals: The actual expenditures, which are historically verifiable in the City's Accounting System.

ADA: Americans with Disabilities Act.

Adaptability: The flexibility of the system or process to handle future changing customer expectations to meet today's special needs and future requirement changes.

Ad Valorem Taxes: A tax based on the assessed value of real estate or personal property and the tax rate. Property ad valorem taxes are the major source of revenue for state and municipal governments.

Administrative Support: A calculated amount of money transferred from one fund to another to offset administrative or related support.

Adopted Budget: A budget that has been prepared and reviewed in accordance with State law and has been duly adopted by the City Council.

Allocate: To set aside portions of budgeted expenditures that are specifically designated to organizations, departments, etc.

Allowance for Doubtful Accounts: A contra account, related to accounts receivable, that holds the estimated amount of collection losses.

Annual Budget: A budget covering a single fiscal year (1 July – 30 June).

Annual Routine Debt: Bond debt issued on an annual basis to fund routine needed capital improvements such as street improvements, storm drainage, facilities renovation, etc.

Appendices: Supplemental material.

Appropriations: An authorization made by the City Council permitting the City to incur obligations and make expenditures.

Appropriation Ordinance: An official enactment by the City Council to establish legal authority for City officials to obligate and expend resources.

Assessed Valuation: The value of real estate and/or personal property and equipment as determined by tax assessors and used as a basis for levying property taxes.

Assessment: The process for determining values of real and personal property for taxation purposes.

Agency Fund: A fund consisting of resources received and held by the governmental unit as an agent for others.

Audit: A methodical examination of the utilization of resources it concludes in a written report of its findings to the governing body. An audit is a test of management's accounting system to determine the extent to which the internal accounting controls are both available and being used. In Henderson, an independent auditor is hired to examine the City's financial records.

Austerity: Rigorous, self-disciplined life; life without excess.

Authorized Positions: These are employee positions which are authorized in the adopted budget to be filled during the fiscal year.

BALI: Budget/Accounting Line Item.

Balanced Budget: A budget in which anticipated revenues are equal to planned expenditures.

Bond: A long-term promise to pay a specified amount of money on a particular date. Bonds are used primarily to finance capital projects.

Bonds Issued: Bonds that have been sold.

Budget/Accounting Line Item: A system of numbering or otherwise designating accounts, entries, invoices, voucher, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Account Number.

Budget Amendment: A procedure used by the City staff and the City Council to revise a budget appropriation.

Budget Document: A financial plan containing projected expenditures and resources covering a fiscal year prepared by the City Manager and his staff and enacted by the City Council.

Budget Calendar: The schedule of key dates, which a government follows in the preparation, and adoption of its budget.

Budget Message: An overview of the recommended budget, written by the City Manager to the City Council that discusses the major budget items and the City's present and future financial condition.

Budget Ordinance: The official enactment by the City Council to establish legal authority for City staff to obligate and expend resources.

Capital Expenses: Appropriations for the purpose of satisfying one-time expenses for new value added projects such as new roads, buildings, utility lines and facilities, recreation facilities, etc., and large capital maintenance expenses such as street milling and resurfacing, re-roofing and new windows for buildings, repairs to major facilities. Capital expenses are generally financed in one of two methods: annual cash appropriations or bonded indebtedness. The former is generally associated with routine projects such as street milling and resurfacing, facility maintenance such as roofing, etc. The latter is generally associated with very large projects such as renovation of 134 Rose Avenue (new City Hall), construction of a major new road, etc.

Capital Improvement Budget (CIP): A plan of proposed capital expenditures and the means of financing them. The capital budget is usually enacted as part of the complete annual budget, which includes both operating and capital outlays.

Capital Outlay: Expenditures that result in the acquisition of or addition to fixed assets.

Capital Reserve: An account used to indicate that a portion of fund balance is legally restricted for a specific capital purchase and is therefore not available for general appropriation.

Capitalized Interest: An equity account reflecting the accumulated earnings from bonds/loans while in escrow.

Cash Basis: A basis of accounting in which revenue is recorded only when cash is received and expenses are recorded when the cash is paid.

Cash Management: The management of cash necessary to pay for governmental services, while investing temporary cash excesses in order to earn interest revenue. Cash management refers to the activities of forecasting the inflows and outflows of cash, mobilizing cash to improve its availability for investment, establishing and maintaining banking relationships.

CBO: Community Based Organization.

CIP: Capital Improvements Plan.

CDBG: Community Development Block Grant, a federal entitlement program designed to benefit low and moderate-income persons, specifically in the areas of housing and quality of life.

City Manager: The chief executive officer of the City of Henderson, appointed by the City Council.

CMO: City Manager's Office.

COE: Corps of Engineers.

COG: Council of Governments.

COLA: Cost of living adjustment.

Commodities: Supplies; anything bought and sold.

Contingency: A budgetary reserve set aside for emergencies or unforeseen expenditures not otherwise budgeted.

Contractual Services: Services rendered to a government by private firms, individuals, or other government entities. Examples include utilities, rent and consulting services.

COPS: Certificate of Participation.

Crime Clearance Rate: The percentage of crimes cleared/solved compared to those reported.

Data Response Time: The time it takes to respond to a call for service from the time it is received until a response has been made, i.e., the time it takes to dispatch a fire engine from the station to a house fire after the call has been received.

DCA: Department of Community Assistance.

DDC: Downtown Development Commission.

Debt Ceiling: See debt limit.

Debt Limit: The maximum amount of gross or net debt that is legally permitted. In Henderson, the legal debt limit for tax-supported debt (General Fund) is 8% of assessed value of property.

Debt Management Policy: A policy dealing with the issues of debt, how it is managed, and the manner in which debt is issued.

Debt Reduction Plan: A strategic plan and policy designed to eliminate the need for annual bond issues for annual capital projects while, at the same time, increasing the amount of annual cash appropriations for capital projects.

Debt Service: The City's obligation to pay principal and interest on bonds and other debt instruments according to a pre-determined payment schedule.

Debt Service Fund: Governmental fund type used to account for the accumulation of resources for, and the payment of, general long-term debt principal and interest.

Debt Service Ratio: The ratio of total liabilities to total assets. This tells the proportion of a government's assets that it has financed with debt.

Deficit: An excess of expenditures over revenues or expense over income.

Department: The highest levels of operation in the structural organization of the City, which indicates overall management responsibility for a division or a group of related operational divisions.

Depreciation: A decrease in value of property through wear, deterioration, or obsolescence.

Dillon's Rule: A rule of judicial interpretation of the legal powers of local government

Discretionary General Funds: Funds that the City Council has full control over and authority to appropriate in support of general fund activities.

Distinguished Budget Presentation Awards Program: A voluntary program administered by the Government Finance Officers Association (GFOA) to encourage governments to publish efficiently organized and easily readable budget documents and to provide peer recognition and technical assistance to the fiscal officers preparing them.

Diverse: In addition to race, nationality, gender, culture, what part of the United States one may be from and the like, this concept has to do with the way we think, the respect we have for each other's opinions turning differences into advantages and similar concepts.

Draconian: unusually severe or cruel.

Efficiency: The extent to which resources are minimized and waste is eliminated in the pursuit of effectiveness. Productivity is a measure of efficiency. Efficiency is not customer driven but rather controlled by the process – resources are minimized and waste eliminated.

Effectiveness: The extent to which the outputs of the system or process meet the needs and expectations of the customers (A synonym for effectiveness is quality). Effectiveness influences the customer. The individuals who receive the output (internal and external customers) should set the effectiveness standards.

Encumbrance: The commitment of appropriated funds for future expenditures of specified goods or services.

Enterprise Funds: A governmental accounting fund in which the services provided are financed and operated similarly to those of private business. The rate schedules for these services are established to insure that revenues are adequate to meet all necessary expenditures.

Estimated Revenue: The amount of projected revenue to be collected during the fiscal year.

Expenditure: The outflow of funds paid or to be paid for an asset obtained or goods and services. Regardless of when the expense is actually paid, this term applies to all funds.

External Customer: People that live within the City of Henderson, citizens, people that receive services from the City but live outside of the City and people that live outside of the City but work here, shop and trade here, and use the City for recreational and cultural activities.

Fiscal Year (FY): The time period signifying the beginning and ending period for the recording of financial transactions. The City of Henderson's Fiscal Year begins July 1 and ends June 30, of the following year.

Fixed Assets: Assets of a long-term character intended to continue to be held or used, such as land, buildings, machinery, furniture, and other equipment.

Fund: An accounting entity which has a set of self-balancing accounts and where all financial transactions for specific activities or governmental functions are recorded.

Fund Balance: Refers to the excess of assets over liabilities and is therefore also known as a surplus fund. The portion of Fund Equity which is available for appropriation.

GAAP: Generally Accepted Accounting Principles; uniform minimum standards for financial accounting and recording, encompassing the conventions, rules and procedures that define accepted accounting principles.

General Fund: One of five governmental fund types. The general fund typically serves as the chief operating fund of a government. The general fund is used to account for all financial resources except those required to be accounted for in another fund.

General Ledger: An accounting file which is a grouping of accounts in which the activities of the City are recorded.

General Obligation Bonds: Bonds issued by a government that are backed by the full faith and credit of its taxing authority.

GFOA: The acronym used for Government Finance Officers Association of the United States and Canada.

GIS: Geographical Information System.

GO Debt: General obligation debt.

Goal: A broad/general statement of direction based on the needs of the community and government.

Governmental Funds: A generic classification adopted by the National Council on Governmental Accounting to refer to all funds other than proprietary and fiduciary funds.

GPD: Gallons per day.

Grants: A contribution or gift in cash or other assets from other government units to be used for a specific purpose.

High Performance Organization: An organization that seeks continuous improvement, strong customer service, and best practices in the delivery of public services.

Impacts: The effects which would exist as a result of making one decision or another.

Infrastructure: Streets, bridges, water and sewer lines and treatment facilities, storm drainage, traffic signals, etc.

Interest and Penalties Receivable on Taxes: Uncollected interest and penalties on property taxes.

Interest Income: Revenue earned on investments with a third party. The City uses a pooled cash system, investing the total amount of cash regardless of fund boundaries. The interest earned is then allocated back to the individual funds by average cash balance in that fund.

Inter-fund Accounts: Accounts in which transactions between funds are reflected.

Inter-fund Recoveries: Charges from the General Fund to enterprise funds to recover the cost of general government's support of the enterprise funds. Examples would be financial accounting management, data processing services, purchasing, legal and general government management, etc.

Interfund Transfers: Flows of assets (such as cash or goods) between funds of the governmental unit without equivalent flows of assets in return and without a requirement for repayment.

Inter-governmental Revenues: Revenues from other governments that can be in the form of grants, entitlements, or shared revenues.

Internal Customers: Employees and agencies of the City of Henderson that seek services and assistance from other parts of the City and its agencies.

Internal Service Fund: A proprietary fund type that may be used to report any activity that provides goods or services to other funds, departments, or agencies of the primary government.

Investments: Securities held for the production of revenues in the form of interest, dividends, and rentals or lease payments.

ISO: International Organization for Standardization.

Justifications: A defensible explanation for making one decision or another.

Lease Purchase Agreements: A contractual agreement by which capital outlay, usually equipment, may be purchased over a period not exceeding 60 months through annual lease payments.

Legal Debt Margin: Excess of the amount of debt legally authorized over the amount of debt outstanding.

LEO: Law Enforcement Officer.

Levy: The amount of tax, service charges and assessments imposed by a government.

Local Government Budget and Fiscal Control Act: An act which governs all agencies of local government in the State of North Carolina. It spells out how all monies received or expended by local governments must be budgeted, disbursed, and accounted for. It requires that certain types of funds be maintained depending on the functions and activities performed by local governments and how those functions and activities are financed.

Metric: Performance measures and indicators – numerical information that quantifies input, output, and performance dimensions of processes, products, programs, projects, services, and the overall organization (outcomes).

Long-term Debt: Debt with a maturity of more than one year after the date of issuance

Mandate: A requirement imposed upon a local government by the federal and/or state governments to provide certain levels of service.

Merit Pay System: See Performance Pay System.

MGD: Million gallons per day.

Modified Accrual Basis of Accounting: Basis of accounting used in conjunction with the current financial resources measurement focus that modifies the accrual basis in accounting in two important ways 1) revenues are not recognized until they are measurable and available, and 2) expenditures are recognized in the period in which governments in general normally liquidate the related liability rather than when that liability is first incurred (if earlier).

Municipal Bonds: A bond issued by a unit of local government.

NCDOT: North Carolina Department of Transportation.

Non-Departmental: Items of expenditure essential to the operation of the City government that do not fall within the function of any department, or which provide for expenditures related to more than one department.

Non-Operating Expenses: Expenses that are not directly related to the provision of services such as debt service.

Non-Operating Revenues: Revenues that are generated from other sources, such as interest income, and are not directly related to service activities.

Objective: A specific statement about that which is to be accomplished or achieved for a particular program during the fiscal year.

Object/Element Codes: An expenditure category, such as salaries, supplies, or professional services.

Obligations: Amounts that a government may be required legally to meet from its resources; i.e., liabilities and encumbrances.

Operating Expenses: Appropriations for the purpose of satisfying recurring annual expenses. Examples of such expenses include salaries and wages, fringe benefits, vehicle maintenance and supplies, utilities, insurance, facility maintenance and supplies, contractual services, annual appropriation to capital improvements plan, etc. Such expenses are routine expenses associated with the operations of the business. Capital expenditures can impact the operating budget in the form of debt service payments and maintenance expenses for infrastructure additions. Additionally, some capital projects can have the effect of lowering annual operating expenses.

Operating Budget: The expenditure plan for continuing everyday service programs and activities. Generally, operating expenditures are made in a single fiscal year. Expenditures include personnel services, contractual services, commodities, minor capital outlay, and debt service requirements.

Operating Transfers: Legally authorized interfund transfers from a fund receiving revenue to the fund that is to make the expenditures.

O & M: Operation and Maintenance of the Water and Waste Water Systems.

OP Ratio: The Operating Ratio is determined by comparing the cost of the goods sold and other operating expenses with net sales. The formula used to calculate the operating ratio is $[(\text{Cost of goods sold plus operating expenses divided by net sales})] \times 100$. This ratio is a test of the efficiency of management in their business operation.

Ordinance: A formal legislative action enacted by a majority vote by the City Council. It has the effect of law within the community and it must not conflict with federal and/or state law.

Overtime: Extra time worked beyond an employee's normal work schedule. This can be affected by holidays, sick and annual leave.

People: A demographically balanced population in which all of its segments that comprise the whole are valued for their contributions, diversity, and strengths.

Performance Pay System: An established system to recognize and financially reward employee performance that exceeds the City's standards for a classification.

Personnel Services: Expenditures for salaries, wages, and fringe benefits of a government's employees.

PIT: Process Improvement Team.

Planned: Forward-thinking, innovative, and dynamic actions resulting in a sustainable, well-balanced community where the natural environment, businesses, and residential developments work in harmony resulting in an exceptionally high quality of life.

Postemployment healthcare benefits: Medical, dental, vision, and other health-related benefits provided to terminated employees, retired employees, dependents, and beneficiaries.

Powell Bill Street Allocation: Funding from state-shared gasoline tax made to incorporated municipalities which establish their eligibility and qualify as provided by General Statutes. These funds shall be expended only for the purposes of maintaining, repairing, constructing, reconstructing or widening of local streets that are the responsibility of the municipalities or for planning, construction, and maintenance of bikeways or sidewalks along public streets and highways.

Premise: An assumption that is a foundation or basis for submission.

Prodigious: Enormous, beyond capacity.

Program: A distinct, clearly identifiable activity, function, cost center or organizational unit.

Property Tax: A tax levied on the assessed value of real and personal property.

Proprietary Funds: Funds that focus on the determination of operating income, changes in net assets (or cost recovery), financial position, and cash flows. There are two different types of proprietary funds: enterprise funds and internal service funds.

Public Hearing: An open meeting of the City Council specifically for the purpose of obtaining public comment and input on a particular issue.

Rate Stabilization Fund: A fund created to set aside reserves in order to help smooth out anticipated annual increases in service rates.

Regional Center: A well planned community whose economic, cultural, and demographic strengths are such that it attracts people and business opportunities well beyond its geo-political boundaries to take advantage of its health care services, tourism, diversified employment, and entrepreneurial opportunities, and leisure and cultural offerings.

Reserve: An account designated for a portion of the fund balance that is to be used for a specific purpose.

Resources: Resources are the people, buildings, equipment, and funds required to produce a product and/or perform services.

Retained Earnings: An equity account reflecting the accumulated earnings of an enterprise or internal service fund

Revenues: Funds the government receives as income. It includes items such as tax payments, fees from certain services, fines and forfeitures, grants, shared revenue, and interest income.

Risk Management: An organized effort to protect a government's assets against accidental loss by the most economic method.

SCADA: Supervisory Control and Data Acquisition.

Service Area: A generic title for the grouping of departments according to common areas of service; i.e., information services.

Special Assessments: A compulsory levy made against certain properties to defray part or all of the cost of a specific improvement or service which is presumed to be a general benefit to the public and of special benefit to such properties.

Special Revenue Fund: Governmental fund type used to account for the proceeds of specific revenue sources (other than for major capital projects) that are legally restricted to expenditure for specified purposed.

State Shared Revenue: Revenues levied and collected by the State of North Carolina but shared with its localities on a predetermined method.

Strategic Plan: A Strategic Plan is the product of an organization's strategic planning process that defines its strategy, or direction, and making decisions on allocating resources to pursue this strategy, including its capital and people. Strategic planning is the formal consideration of an organization's future course. All strategic planning deals with at least one of three key questions: 1) what do we do?, 2) for who do we do it?, and 3) how do we excel?.

Tax Base: The assessed valuation of all taxable real and personal property within the City's corporate limits.

Tax Levy: The total amount of revenue to be raised by property (ad valorem) taxes.

Transfers: Amounts transferred from one fund to another fund to assist in financing the services of the recipient fund.

Trust and Agency Fund: Fiduciary funds which are used to account for many of the more significant amounts of resources that a government receives and holds in a trust or agency capacity for the benefit of others. Trust Funds are used if the government is acting in the capacity of a trustee. Agency funds are used to account for assets received and held by a government in an agency relationship for the benefit of others.

Un-audited: Accounts or numbers that have not been verified for their accuracy.

Unencumbered Balance: The amount of an appropriation that is neither expended nor encumbered. It is the amount of money still available for future purposes.

Vibrant: Robust, energetic, alive, enthusiastic, vitality.

Work Budget: A balanced budget prepared by the City Manager's Office and Finance Department and presented to the governing body.

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AGENDA

Henderson City Council Regular Virtual Meeting and Proposed Budget Presentation

Monday 9 May 2022 6:00 p.m.

R. G. (Chick) Young, Jr. Council Chambers, Municipal Building

134 Rose Avenue

Henderson, North Carolina

Mayor and City Council Members

Mayor Eddie Ellington, Presiding

Councilmember Marion B. Williams

Councilmember Sara M. Coffey

Councilmember William Burnette

Councilmember D. Michael Rainey

Councilmember Melissa Elliott

Councilmember Garry D. Daeke

Councilmember Jason A. Spriggs

Councilmember Ola Thorpe-Cooper

City Officials

E. Terrell Blackmon, City Manager

D. Rix Edwards, City Attorney

Esther J. McCrackin, City Clerk

CALL TO ORDER

ROLL CALL

INVOCATION AND PLEDGE OF ALLEGIANCE

OPENING REMARKS

In order to provide for the highest standards of ethical behavior and Transparency in Governance as well as provide for good and open government, the City Council has approved Core Values regarding Ethical Behavior¹ and Transparency in Governance². The Mayor now inquires as to whether any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council. If any Council Members knows of a conflict of interest, or appearance of conflict, please state so at this time.

¹ **Core Value 4: Ethical Behavior:** We value the public trust and will perform our duties and responsibilities with the highest levels of integrity, honesty, trustworthiness and professionalism.

² **Core Value 10: Transparency in Governance:** We value transparency in the governance and operations of the City.

ADJUSTMENTS TO AND/OR APPROVAL OF THE AGENDA

APPROVAL OF MINUTES

11 April 2022 Regular Meeting
26 April 2022 Special Called Meeting

PRESENTATIONS/RECOGNITIONS

City Retiree Darrell Johnson
City Retiree John P. Brown

PUBLIC HEARING

CAF 22-39 Establishing and Defining Design Standards for Transitional Housing

Requested by: Development Services Director Corey Williams

Explanation: The Public Safety Committee met February 9, 2022, regarding the homelessness problem in our community. One of the suggestions that came out of the meeting was to review our ordinances on how to help the homeless populations. This ordinance addresses transitional housing. *Transitional housing is conceptualized as an intermediate step between emergency crisis shelters and permanent housing. It is more long-term, service-intensive, and private than emergency shelters, yet remains time-limited to stays of three months to three years. It is meant to provide a safe, supportive environment where residents can overcome trauma, begin to address the issues that led to homelessness or kept them homeless, and begin to rebuild their support network. (Homeless Hub weekly newsletter).*

Fiscal Note: No direct fiscal impact.

Recommendation: The Planning Board reviewed Ordinance 22-04 on March 21, 2022, and unanimously approved its adoption.

Attachments: Ordinance 22-04
Planning Board Minutes

CAF 22-40 Rezone Dorsey Avenue Vance County Tax Parcel 0058 03002 from R-8 (Moderate to High Density Residential) to B-4 (Neighborhood Commercial)

Requested by: Development Services Director Corey Williams

Explanation: Property owner Terrence Foster is requesting to rezone the 0.36-acre parcel located at Dorsey Avenue. The proposed rezoning would allow for commercial development. Mr. Foster is looking to use the property for small business development. This rezoning is accordance with the 2030 Comprehensive Land Use Plan.

Fiscal Note: No fiscal impact

Recommendation: The Planning Board met on April 18, 2022, and approved rezoning to go before City Council. Therefore, staff recommends approving the rezoning from R-8 to B-4.

Attachments: Ordinance 22-05
Planning Board Minutes
Rezoning Application
Rezoning Area Map & 2030 Comprehensive Land Use Map
Consistency Regulation
Adjacent Property Owners List

CAF 22-41 Rezone 502 Parham Street Vance County Tax Parcel 0007 02019 from B-4 (Neighborhood Commercial) to R-6 (High Density Residential)

Requested by: Development Services Director Corey Williams

Explanation: Daniel White, petitioner of WW Properties, is requesting to rezone a 0.67-acre parcel located on the corner of Parham Street and Wakefield Avenue. The proposed R-6 rezoning would allow for high density residential development. This rezoning request is in accordance with the 2030 Comprehensive Land Use Plan. WW Properties is looking to develop residential dwellings in the area.

Fiscal Note: No fiscal impact.

Recommendation: The Planning Board met on April 18, 2022, and approved rezoning to go before City Council. Therefore, staff recommends approving the rezoning from B-4 to R-6.

Attachments: Ordinance 22-06
Planning Board Minutes
Rezoning Application
Rezoning Area Map & 2030 Comprehensive Land Use Map
Consistency Regulation
Adjacent Property Owners List

PUBLIC COMMENT PERIOD ON AGENDA ITEMS

Citizens may only speak on Agenda items at this time. Citizens wishing to address the Council must sign-in on a form provided by the City Clerk prior to the beginning of the meeting. The sign-in form is located on the podium. When recognized by the Mayor, come forward to the podium, state your name, address and if you are a city resident. Please review the Citizen Comment Guidelines that are provided below.³

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NEW BUSINESS

CAF 22-49 CROM Proposal to Repair the Concrete on Oxidation Ditch #1 at Henderson Water Reclamation Facility (HWRF)

Requested by: Henderson Water Reclamation Director Christy Lipscomb

Explanation: Previously, City Council approved funding to have Oxidation Ditch #1 containing approximately 800,000 gallons of sludge at HWRF, cleaned out. After the cleaning was complete, CROM, a tank building and repair company, came in and assessed the cracks in the concrete that were leaking and expanding. CROM submitted a proposal to complete this work in the amount \$158,696.

Fiscal Note: \$158,696 to be allocated out of the Sewer Reserve Fund.

Recommendation: Approve contract for repairs.

Attachments: Resolution 22-41
CROM Proposal

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CAF 22-48 Approving a Contract Between the City of Henderson and Thompson, Price, Scott, Adams & Co., P.A. to Conduct the Annual Audit for Fiscal Year 2021-2022

Requested by: Finance Director Joey Fuqua

Explanation: Attached is a copy of the proposed contract to audit accounts for the City of Henderson from Thompson, Price, Scott, Adams & Co., P.A. It is recommended

³ **Citizen Comment Guidelines for Agenda Items**

The Mayor and City Council welcome and encourage citizens to attend City Council meetings and to offer comments on matters of concern to them. Citizens are requested to review the following public comment guidelines prior to addressing the City Council.

- 1) Citizens are requested to limit their comments to five minutes; however, the Mayor, at his discretion, may limit comments to three minutes should there appear to be a large number of people wishing to address the Council;
- 2) Comments should be presented in a civil manner and be non-personal in nature, fact-based and issue oriented. Except for the public hearing comment period, citizens must speak for themselves during the public comment periods;
- 3) Citizens may not yield their time to another person;
- 4) Topics requiring further investigation will be referred to the appropriate city official, Council Committee or agency and may, if in order, be scheduled for a future meeting agenda;
- 5) Individual personnel issues are confidential by law and will not be discussed. Complaints relative to specific individuals are to be directed to the City Manager;
- 6) Comments involving matters related to an on-going police investigative matter and/or the court system will not be permitted; and
- 7) Citizens should not expect specific Council action, deliberation and/or comment on subject matter brought up during the public comment section unless and until it has been scheduled as a business item on a future meeting agenda.

that this contract be approved, and this auditing firm be allowed to conduct the audit for the 2021-2022 fiscal year.

This represents a one-year proposal submitted by Thompson, Price, Scott, Adams & Co., P.A. The fee for the fiscal year 2022 audit will not exceed \$53,000. Thompson, Price, Scott, Adams & Co., P.A. agrees to try and complete the fiscal year's audit by October 31, following the close of the fiscal year on June 30.

Fiscal Note: Audit contract expense to be included in the FY22 budget.

Recommendation: Approved the Contract

Attachments: Resolution 22-40

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CAF 22-51 Seventh Amendment to the Franklin County Water Agreement

Requested by: City Manager E. Terrell Blackmon

Explanation: At its April 12, 2021, regular meeting, the Henderson City Council approved a Sixth Amendment to the Franklin County Water Agreement that increased the supply of water by 450,000 GPD to 3.45 MGD. The price remained at \$4.37 per gallon and the term of the agreement was for thirty-six (36) months from the date of execution of the amendment by both parties or to the date the Kerr Lake Regional Water System Plant Upgrade is completed, this completion to be determined by the City.

Due to the delay with the start of the project and the need for a consistent water source for allocation purposes, Franklin County has requested that the Sixth Amendment be modified to lengthen the term an additional forty-eight (48) months beyond the original end date of the executed Sixth Amendment. This would be the Seventh Amendment to the original contract.

Fiscal Note: The increase in water supply to Franklin County will generate additional revenue for the City of Henderson.

Recommendation: Staff recommends that Council approve the Seventh Amendment of the Franklin County Water Agreement by extending the term an additional four-eight (48) months from the date of execution of the Sixth Amendment by the parties.

Attachments: Resolution 22-43
Seventh Amendment to Franklin County Water Agreement

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CONSENT AGENDA

All matters listed under the Consent Agenda are considered to be routine or have been previously discussed, and can be approved in one motion, unless a Council Member asks for separate consideration of an item.

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CAF 22-43 Appointments to the Community-Wide Advisory Committee and the Planning Board

Requested by: City Clerk Esther McCrackin

Explanation: The Boards and Commissions Committee met Tuesday, April 26, 2022, to consider two applications for the above-mentioned committees. After a brief discussion, it is the consensus of the Boards and Commissions Committee to bring the two applicants before the Committee of the Whole for consideration to fill the following vacant seats:

James Baines, 1026 Maple Street, to serve on the Community-Wide Advisory Board as a Ward 3 Representative for a full three-year term expiring June 30, 2025

Goldie Freeding, 526 Waddill Street to fill a vacant Henderson Planning Board Alternate seat and to serve as an Alternate for a full three-year term, expiring June 30, 2025

Fiscal Note: None

Recommendation: Approve appointments.

Attachments: Resolution 22-36
Individual Applications

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CAF 22-44 Change of Name for the Elmwood District Urban Redevelopment Plan to the West End Urban Redevelopment Plan

Requested by: Assistant City Manager Paylor Spruill

Explanation: The Redevelopment Commission approved a redevelopment plan on February 3, 2022, entitled “Elmwood District Urban Redevelopment Plan.” A copy of that plan was reviewed by the Planning Commission and approved on February 21, 2022. At the March 14, 2022, regular meeting, City Council adopted the plan but remanded it to the Redevelopment Commission for renaming. The Redevelopment Commission invited public input at the April 2022 meeting and thereby chose “West End Urban Redevelopment Plan” and by extension will refer to the district as the West End Urban Redevelopment Area.

Fiscal Note: None.

Recommendation: Approve the name change as submitted by the Redevelopment Commission.

Attachments: Resolution 22-37

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CAF 22-47 Premium Pay Parameters for Low to Moderate Income Essential City Employees and Other Policies Using Funds Received Under the American Rescue Plan Act of 2021 Coronavirus State and Local Fiscal Recovery Fund Program

Requested by: Finance Director Joey Fuqua

Explanation: The US Treasury's installment of the American Rescue Plan Act (ARPA) allocating Coronavirus Local Fiscal Recovery Funds (CLFRF) to municipalities across the nation incorporates policies and procedures governing the purpose and use of these funds to ensure fiscal compliance and reporting requirements. This Resolution identifies the minimum requirements to satisfy allowable uses of ARPA funds. Copies of approved policies are available upon request

Fiscal Note: Funds used for premium pay to be allocated out of the City's ARPA grant disbursement.

Recommendation: Approve the Resolution.

Attachments: Resolution 22-39

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CAF 22-50 Adopting Juneteenth (June 19) as an Official City Holiday

Requested by: City Manager E. Terrell Blackmon

Explanation: On June 17, 2021, Juneteenth (June 19) was signed into law as a U.S. Federal holiday. Currently, the City of Henderson follows the State of North Carolina's holiday schedule which does not include Juneteenth. During the Human Resources Committee meeting on May 3, 2022, a discussion was held as to whether Juneteenth should be added as an official holiday for City of Henderson employees. The consensus of the Committee was that it would send a positive message to the community and that the City is being pro-active if it adopts June 19 as an additional holiday for City employees.

If June 19 falls on a weekend, it will be recognized on the Friday or Monday closest to that date.

Fiscal Note: The City's payroll cost for this holiday is \$33,617.75.

Recommendation: Approve this resolution.

Attachments: Resolution 22-42

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CAF 22-45 Accept Bid Proposal from Insight Planning and Development to Administer Community Development Block Grant (CDBG# 20-C3633)

Requested by: Development Services Director Corey Williams

Explanation: The City of Henderson has been awarded a CDBG grant of \$750,000 to substantially rehab three (3) homes and demolish and reconstruct three (3) homes, for low-income homeowner/household families within the City. Due to limited community development staff, it is recommended that the City procure a CDBG consultant to administer CDBG Grant # 20-C3633.

City staff solicited proposals from consulting firms on February 3, 2022, and Insight Planning and Development of Wilmington, NC was the only proposal submitted. As required by the State, City staff re-advertised the request for proposals a second time on March 31, 2022, and again, the only proposal submitted was from Insight Planning and Development.

Fiscal Note: Insight Planning and Development's fee for grant administration and delivery is not to exceed \$98,500 and is to be paid from grant funds.

Recommendation: Hire Insight Planning and Development

Attachments: Resolution 22-38
Scope of Service

CAF: 22-36 Tax Releases and Refunds from Vance County for the Month of March 2022

Requested By: Finance Director Joey Fuqua

Explanation: The Vance County Tax office submitted the following tax releases and refunds to the Finance Department for the month of March 2022. These records are found to be in order and are being recommended for approval.

March 2022 Tax Releases & Refunds			
Name	Reason	Tax Year	Amount
Real & Personal Property Releases			
HB Home Solutions	Personal Property Billed In Error	2020	\$ 16.16
United States	Government	2020	\$ 2,199.48
Newton, Donna	Personal Property Billed In Error	2021	\$ 32.31
RK&B Plumbing	Personal Property Billed In Error	2021	\$ 215.52
Real & Personal Property Releases - Total			\$ 2,463.47
Real & Personal Property Refunds			
Harris, Allie	Remove Solid Waste	2016-2020	\$ 141.80
Real & Personal Property Refunds - Total			\$ 141.80
Gap Bill Discoveries			
Miscellaneous	Gap Bill Discoveries	2022	\$ 2,604.74
Gap Bill Discoveries - Total			\$ 2,604.74
Real & Personal Property Discoveries			
Miscellaneous	RK&B Plumbing	2022	\$ 95.72
Real & Personal Property Discoveries - Total			\$ 95.72
Audit Discoveries			
			\$ -
Audit Discoveries - Total			\$ -
Total Refunds, Releases, & Discoveries			
			\$ 5,305.73

PUBLIC COMMENT PERIOD ON NON-AGENDA ITEMS

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⁴ Citizen Comment Guidelines for Non-Agenda Items

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- 5) Individual personnel issues are confidential by law and will not be discussed. Complaints relative to specific individuals are to be directed to the City Manager;
- 6) Comments involving matters related to an on-going police investigative matter and/or the court system will not be permitted; and
- 7) Citizens should not expect specific Council action, deliberation and/or comment on subject matter brought up during the public comment section unless and until it has been scheduled as a business item on a future meeting agenda.

REPORTS

- a)** Mayor/Mayor Pro-Tem (No Report)
- b)** City Manager (No Report)
- c)** City Attorney (No Report)
- d)** City Clerk
 - i. Meeting and Events Calendar
 - ii. E-911 Monthly Report
 - iii. Fire Department Monthly Report
 - iv. Public Services Monthly Report
 - v. National Public Works Week Proclamation
 - vi. Drinking Water Week Proclamation
 - vii. National Police Week Proclamation

PROPOSED BUDGET PRESENTATION (materials to be distributed during the meeting)

ADJOURNMENT

City Council Minutes

Regular Meeting

May 9, 2022

PRESENT

Mayor Eddie Ellington, Presiding; and Council Members Marion B Williams, Sara M. Coffey, William Burnette, D. Michael Rainey, Melissa Elliott, Garry Daeke, Ola Thorpe-Cooper and Jason A. Spriggs.

ABSENT: None.

STAFF PRESENT

City Manager Edward T. Blackmon, City Attorney D. Rix Edwards, City Clerk Esther J. McCrackin, Finance Director Joey Fuqua, Police Chief Marcus Barrow, Fire Chief Steve Cordell, Assistant Fire Chief Curtis Tyndall, Development Services Director Corey Williams, Human Resources Director Elgin Lane, Public Works Director Andy Perkinson, Kerr Lake Regional Water and Henderson Water Reclamation Director Christy Lipscomb, Customer Service Manager Shay Bennett and Downtown Development Manager Tracy Madigan

CALL TO ORDER

The 9 May 2022 Regular Meeting of the Henderson City Council was called to order by Mayor Eddie Ellington at 6:01 p.m. in the R. G. “Chick” Young, Jr. Council Chambers, Municipal Building, 134 Rose Avenue, Henderson, NC.

ROLL CALL

The City Clerk called the roll and stated that a quorum was present.

INVOCATION AND PLEDGE OF ALLEGIANCE

Council Member Thorpe-Cooper led the prayer and the Pledge of Allegiance.

OPENING COMMENTS

Mayor Ellington extended a warm welcome and he recognized City Clerk Esther McCrackin as this is Clerk’s Week.

ADJUSTMENTS TO/APPROVAL OF AGENDA

Mayor Ellington asked if there were any adjustments to the Agenda. City Clerk McCrackin said one Consent Item needs to be moved to New Business (Accept Bid Proposal from Insight Planning and Development...) Council Member Elliott moved to accept the Agenda as adjusted. Motion seconded by Council Member Rainey and unanimously approved.

APPROVAL OF MINUTES

Mayor Ellington asked for any corrections to and/or approval of the minutes. Council Member Coffey moved the approval of the 11 April 2022 Regular Meeting minutes and the 26 April 2022 Special Called Meeting minutes. Motion seconded by Council Member Burnette, and unanimously approved.

PRESENTATIONS/RECOGNITIONS

Retiree Darrell Johnson – Henderson Water Reclamation Director Christy Lipscomb asked Mr. Johnson to come forward to accept a plaque and a blanket with the City Seal as a final recognition of his 20 plus years with the City.

Retiree Paul Brown – Public Works Director Andy Perkinson asked John Paul Brown to accept a plaque and blanket from the City. Mr. Brown has served the City for 22 plus years.

Both men will be missed by their peers. They set a standard for those coming behind them.

Mayor Ellington said the City appreciated each of them and what they have done for the City.

PUBLIC HEARING

Establishing and Defining Design Standards for Transitional Housing (*Reference: CAF 22-39; Ordinance 22-04*)

The City Manager asked Development Services Director Corey Williams to provide the background on this request.

Mr. Williams said the purpose of this action is to help people transition back into the community. He explained some of the requirements included in the ordinance, such as parking requirements, room size and the need for every transitional home to provide counseling and/or training. Mr. Williams said each home will be supervised and the contact people need to be on file with the Police, Fire, Emergency Management and Development Services.

(Clerk's Note: Council Member Spriggs left the meeting at 6:17 p.m.)

Council Member Elliott felt the ordinance was well-defined and thanked Mr. Williams for setting these standards for transitional housing.

Council Member Daeke asked if a variance could be requested. Mr. Williams said a variance would be considered when requested.

Council Member Williams asked who would monitor the counseling program. Mr. Blackmon said the City is only looking at the rezoning. He said staff would not be involved in the counseling aspect unless a complaint is received.

Council Member Coffey asked if security would be required. Mr. Williams said during the TRC review with the Police, Fire, Recreation and Parks, and Development Services, issues such as cameras, layout, security, etc. are discussed and brought back to the applicant.

At this time, Mayor Ellington opened the Public Hearing by asking if anyone was present who wished to speak in favor of this ordinance.

Sharon McNeil, 1422 Deer Crossing Court Ms. McNeil said she appreciated this action as she has wanted to establish a transitional home especially for young adults who have aged out of Foster Care and for veterans.

No one else came forward, so Mayor Ellington then asked if anyone was present who wished to speak in opposition to the ordinance. No one came forward.

(Clerk's Note: Council Member Spriggs returned to the meeting at 6:21 p.m.)

Mayor Ellington then closed the Public Hearing and asked for Council's pleasure.

Council Member Elliott moved the approval of Ordinance 22-04, *Establishing and Defining Design Standards for Transitional Housing*. Motion seconded by Council Member Rainey and APPROVED by the following vote: YES: Williams, Coffey, Burnette, Rainey, Elliott, Daeke, Thorpe-Cooper and Spriggs NO: None. ABSTAIN: None. ABSENT: None. *(See Ordinance Book 10, p 907)*

Rezone Dorsey Avenue Vance County Tax Parcel 0058 03002 from R-8 (Moderate to High Density Residential) to B-4 (Neighborhood Commercial) (Reference: CAF 22-40; Ordinance 22-05)

Development Services Director Corey Williams explained the owner of the property, Mr. Terrence Foster requested this rezoning and was present to address Council. Before doing so, Mr. Williams mentioned this is not spot zoning and said some of the property is currently being cleared.

Council Member Burnette asked if the only entrance/exit would be through the shopping center. Mr. Williams said that would be up to the developer and whether an agreement would be considered with the developer and owner of the shopping center.

With no discussion, Mayor Ellington opened the Public Hearing by asking if anyone was present who wished to speak in favor of this rezoning.

Mr. Terrance Foster, 1206 Anne Street Mr. Foster said he and his wife both own businesses that they would like to locate on this parcel. Mr. Foster added they would like to do some rentals if size permits. However, he said they are concentrating on getting their businesses up and running.

No one else came forward to speak in favor of this rezoning so Mayor Ellington then asked if anyone was present who wished to speak in opposition to the rezoning. No one came forward.

Mayor Ellington then closed the Public Hearing and asked for Council's pleasure.

Council Member Coffey moved the approval of Ordinance 22-05, *Establishing and Defining Design Standards for Transitional Housing*. Motion seconded by Council Member Burnette and APPROVED by the following vote: YES: Coffey, Burnette, Rainey, Elliott, Daeke, Thorpe-Cooper, Spriggs and Williams. NO: None. ABSTAIN: None. ABSENT: None. (See Ordinance Book 10, p 909)

Rezone 502 Parham Street Vance County Tax Parcel 0007 02019 from B-4 (Neighborhood Commercial) to R-6 (High Density Residential (Reference: CAF 22-41; Ordinance 22-06)

Development Services Director Corey Williams said Mr. Daniel White, of WW Properties has requested 0.67 acres be rezoned at the corner of Parham Street and Wakefield Avenue. This request is in accordance with the 2030 Comprehensive Land Use plan, and they are looking to develop residential dwellings on the parcel.

Council Member Daeke asked if the lot is vacant. Mr. Williams said yes, it is a vacant lot.

With no other questions, Mayor Ellington opened the Public Hearing by asking if anyone was present who wished to speak in favor of this rezoning.

Mr. Daniel White, 715 S. Garnett Street Mr. White said he wants to take the second step by continuing the progress made with the Berry Street project and added that Mr. Williams did a good job of filling in the details.

No one else came forward to speak for this rezoning so Mayor Ellington then asked if anyone was present who wished to speak in opposition to the rezoning. No one came forward.

Mayor Ellington then closed the Public Hearing and asked for Council's pleasure.

Council Member Burnette moved the approval of Ordinance 22-06, *Rezone 502 Parham Street Vance County Tax Parcel 0007 02019 from B-4 (Neighborhood Commercial) to R-6 (High Density Residential)*. Motion seconded by Council Member Elliott, and APPROVED by the following vote: YES: Burnette, Rainey, Elliott, Daeke, Thorpe-Cooper, Spriggs, Williams and Coffey. NO: None. ABSTAIN: None. ABSENT: None. (See Ordinance Book 10, p 911)

PUBLIC COMMENT PERIOD ON AGENDA ITEMS

City Clerk McCrackin advised no citizen wished to address Council on Agenda items.

NEW BUSINESS

CROM Proposal to Repair the Concrete on Oxidation Ditch #1 at Henderson Water Reclamation Facility (HWRF) (Reference: CAF 22-49; Resolution 22-41)

City Manager Blackmon stated that Council approved the removal of the sludge and after cleaning the ditch, the need for repairs has been found.

Council Member Daeke asked if this was part of the new renovation at the plant. HWRF Director Christy Lipscomb said these were part of the renovation and she reminded Council that when she asked for funds to clean the ditch, she said she'd be back to ask for more funds depending on what was discovered in the clean ditch. Mr. Daeke asked if there was any warranty on the ditch as part of the renovation and if Ms. Lipscomb thought it was surprising to have cracks this soon. Ms. Lipscomb said in her opinion the ditch should not have cracked this soon, but the warranty had expired.

Mayor Ellington asked if Ms. Lipscomb had reached out to the original company. She said CROM has done work for the City previously and this is what they do, so she felt they would do the job properly.

Mayor Ellington asked Council how it would like to proceed.

Council Member Rainey moved the approval of Resolution 22-41, *CROM Proposal to Repair the Concrete on Oxidation Ditch #1 at Henderson Water Reclamation Facility (HWRF)* Motion seconded by Council Member Coffey and APPROVED by the following vote: YES: Rainey, Elliott, Daeke, Thorpe-Cooper, Spriggs, Williams, Coffey and Burnette. NO: None. ABSTAIN: None. ABSENT: None. (See Resolution Book 7, p 269)

Approving a Contract Between the City of Henderson and Thompson, Price, Scott, Adams & Co., P.A. to Conduct the Annual Audit for Fiscal Year 2021-2022 (Reference CAF 22-48 Resolution 22-40)

City Manager Blackmon said every year around this time the need to approve an audit contract is brought to Council. This is a one-year agreement with the same auditors that the City has used for the last several years and the fee will not exceed \$53,000.

There were no questions so Mayor Ellington asked Council how it would like to proceed.

Council Member Rainey moved the approval of Resolution 22-40, *Approving a Contract Between the City of Henderson and Thompson, Price, Scott, Adams & Co., P.A. to Conduct the Annual Audit for Fiscal Year 2021-2022.* Motion seconded by Council Member Coffey, and APPROVED by the following vote: YES: Elliott, Daeke, Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette and Rainey. NO: None. ABSTAIN: None. ABSENT: None. (See Resolution Book 7, p 267)

Seventh Amendment to the Franklin County Water Agreement (Reference: CAF 22-51; Resolution 22-43)

City Manager Blackmon explained that last April Council agreed to increase the water supply to Franklin County at the current price. This agreement was for 36 months from the date of execution or to the date the Kerr Lake Regional Water System plan upgrade was completed. Due to the delay in starting this project, Franklin County has requested an additional 48 months at the existing rate of \$4.37 per thousand gallons of water.

Council Member Spriggs asked if staff considers this a good agreement. Mr. Blackmon said there have been discussions with Franklin County's Manager and commissioners, along with the attorneys for the County and City, along with the Partners and staff recommends approval of this amendment.

Council Member Coffey did not understand why the City is offering the same rate to Franklin County for four years. Mayor Ellington said time on the existing amendment is running out since the upgrade has not started.

Mr. Blackmon said the additional capacity of the new plant will allow Franklin County the ability to work with developers and that new rates will be established once the plant is built.

Council Member Elliott asked Council Member Daeke for his opinion since he serves as the Chair of the Kerr Lake Advisory Board. Mr. Daeke said he is 50/50 on the water rate and stated he felt two years would be good and that four years was being gracious toward the County.

There was a brief discussion regarding the length of the agreement and whether the agreement could be changed if the plant is up and running before the agreement expires.

Council Member Elliott suggested this be tabled until next month so more due diligence can be done on making an agreement with Franklin County.

Mayor Ellington now asked Council how it would like to proceed.

Council Member Elliott moved to TABLE Resolution 22-43, *Seventh Amendment to the Franklin County Water Agreement* until the June 2022 Council Meeting. Motion seconded by Council Member Daeke, and APPROVED by the following vote: YES: Daeke, Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette, Rainey and Elliott. NO: None. ABSTAIN: None. ABSENT: None. (See Resolution Book 7, p 273)

Accept Bid Proposal from Insight Planning and Development to Administer Community Development Block Grant (CDBG# 20-C3633) (Reference: CAF 22-45; Resolution 22-38)

City Manager Blackmon explained Council approved Insight Planning and Development during the March meeting. However, the State requested the City re-advertise the request for bid proposal, which was done on March 31, 2022. Again, the only proposal submitted was from Insight Planning and Development. Thus, Council is being asked to approve Insight Planning and Development for a second time to administer this grant.

Council Member Rainey moved the approval of Resolution 22-38, *Accept Bid Proposal from Insight Planning and Development to Administer Community Development Block Grant (CDBG# 20-C3633)* contingent on Rural Economic Development Division's (REDD) approval of utilizing non-competitive negotiation. Motion seconded by Council Member Spriggs, and APPROVED by the following vote: YES: Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette, Rainey, Elliott and Daeke. NO: None. ABSTAIN: None. ABSENT: None. *(See Resolution Book 7, p 265)*

CONSENT AGENDA

All matters listed under the Consent Agenda are considered to be routine or have been previously discussed, and can be approved in one motion, unless a Council Member asks for separate consideration of an item.

The City Clerk read the Consent Agenda that is summarized as follows:

Appointments to the Community-Wide Advisory Committee and the Planning Board (*Reference: CAF 22-43; Resolution 22-36*) Action on this item appoints Mr. James Baines to fill a vacant Ward 3 seat for a full three-year term on the Community-Wide Advisory Committee and Ms. Goldie Freeding to serve as an Alternate for a full three-year term on the Planning Board. *(See Resolution Book 7, p 259)*

Change the Name for the Elmwood District Urban Redevelopment Plan to the West End Urban Redevelopment Plan (*Reference: CAF 22-44; Resolution 22-37*) During the March 14, 2022, Council Meeting this plan was adopted but it was remanded back to the Redevelopment Commission for renaming. The Commission met in April and chose West End Urban Redevelopment Plan as the new name for this project. *(See Resolution Book 7, p 261)*

Premium Pay Parameters for Low to Moderate Income Essential City Employees and Other Policies Using Funds Received Under the American Rescue Plan Act of 2021 Coronavirus State and Local Fiscal Recovery Fund Program (*Reference: CAF 22-47; Resolution 22-39*) This resolution identifies the minimum requirements required to satisfy allowable uses of ARPA funds and specifically allows funds to be used to premium pay. *(See Resolution Book 7, p 265)*

Adopting Juneteenth as an Official City Holiday (*Reference: CAF 22-50; Resolution 22-42*) Juneteenth (June 19) became a U.S. Federal holiday on June 17, 2021. During a Human Resources Committee meeting on May 3, 2022, it was the consensus of the Committee that adding Juneteenth as a City holiday would create a positive message for the community and show the Council as being pro-active. Currently, the City follows the State of North Carolina's holiday schedule. This holiday will become official as of this meeting and will be recognized by the City on June 20, 2022. *(See Resolution Book 7, p 271)* **Removed from Consent Agenda and discussed following the Consent Agenda vote.**

Tax Releases and Refunds from Vance County for the Month of March 2022. (Reference: CAF 22-46) The Finance Director has reviewed the following releases/refunds and found them to be in order. This action approves the tax releases and refunds for March 2022.

March 2022 Tax Releases & Refunds			
Name	Reason	Tax Year	Amount
Real & Personal Property Releases			
HB Home Solutions	Personal Property Billed In Error	2020	\$ 16.16
United States	Government	2020	\$ 2,199.48
Newton, Donna	Personal Property Billed In Error	2021	\$ 32.31
RK&B Plumbing	Personal Property Billed In Error	2021	\$ 215.52
Real & Personal Property Releases - Total			\$ 2,463.47
Real & Personal Property Refunds			
Harris, Allie	Remove Solid Waste	2016-2020	\$ 141.80
Real & Personal Property Refunds - Total			\$ 141.80
Gap Bill Discoveries			
Miscellaneous	Gap Bill Discoveries	2022	\$ 2,604.74
Gap Bill Discoveries - Total			\$ 2,604.74
Real & Personal Property Discoveries			
Miscellaneous	RK&B Plumbing	2022	\$ 95.72
Real & Personal Property Discoveries - Total			\$ 95.72
Audit Discoveries			
			\$ -
Audit Discoveries - Total			\$ -
Total Refunds, Releases, & Discoveries			\$ 5,305.73

Mayor Ellington asked if anyone wished to remove any item from the Consent Agenda.

Council Member Burnette asked to have the Adoption of Juneteenth as an Official City Holiday removed from the Consent Agenda.

Council Member Burnette moved the approval of the Consent Agenda as adjusted. Motion seconded by Council Member Rainey and approved by the following vote: YES: Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette, Rainey, Elliott and Daeke. NO: None. ABSTAIN: None. ABSENT: None.

Adopting Juneteenth as an Official City Holiday (Reference: CAF 22-50; Resolution 22-42)

City Manager Blackmon stated staff met with the Human Resources Committee on May 3, 2022, to discuss this holiday. He said in 2021 June 19th was signed into law as a Federal holiday. Currently the City follows the State of North Carolina holidays and the State has not yet adopted Juneteenth as an official holiday. Mr. Blackmon said several North Carolina municipalities have already adopted Juneteenth as a holiday. The City has an annual Juneteenth celebration.

Council Member Burnette expressed concern about the cost and asked that action on this matter be delayed until after the budget discussions. He said there are vacant positions that need to be filled and he wanted to make sure the budget could support this action.

Council Member Elliott said she Chairs the Human Resources Committee and did not see a reason to put this off as the City has the financial ability to cover the cost. She added making Juneteenth a holiday would be a wonderful statement of being fair and equitable.

Council Member Daeke felt this holiday would add value in the sight of employees and that it would help with recruiting.

Council Member Williams said if the City can do it financially, culturally the City should do it. She thought it would boost morale and show that Council cares about all employees.

Council Member Spriggs thought the addition of Juneteenth would be a position step.

(Clerk's Note: Council Member Burnette left the meeting at 7:11 p.m.)

Council Member Williams asked if the budget would support this holiday down the road. Mr. Blackmon said because of vacancies, salaries have always been the biggest yearly savings. He added vacancy savings is one of the reasons for not using the Fund Balance amount budgeted each year.

Council Member Daeke said the cost of adding this holiday (\$33,617.75) is a drop in the proverbial bucket. He said this expense will affect all departments.

The Manager said the cost of this holiday is not included in the budget being presented this evening but will be incorporated into the FY22-23 budget if approved.

Council Member Coffey moved the approval of Resolution 22-42, *Adopting Juneteenth as an Official City Holiday*. Motion seconded by Council Member Elliott, and APPROVED by the following vote: YES: Williams, Coffey, Burnette (as he was not excused) Rainey, Elliott, Daeke, Thorpe-Cooper and Spriggs. NO: None. ABSTAIN: None. ABSENT: None. *(See Resolution Book 7, p 267)*

PUBLIC COMMENT PERIOD ON NON-AGENDA ITEMS

City Clerk McCrackin advised one citizen wished to address Council on Non-Agenda items.

Alfreda Hawkins, 413 Will Jefferson Road Ms. Hawkins talked with the Manager before the start of the April Council meeting and was assured the City would clean up the Alpha Omega Cemetery. She said she would be back if this did not happen, and she is before Council this evening because the cemetery has not been cleaned.

(Clerk's Note: Council Member Burnette returned to the meeting at 7:19)

The Manager said City staff had been to the cemetery and did clean up work. However, this is a privately owned cemetery, and the City can only do work on the right-of-way. Mr. Blackmon said he will ask staff to go out again.

Council Member Rainey asked if the owner of the cemetery could be located and informed of their responsibilities and Council Member Daeke said he loves for citizens to come and present issues. He also understands the need for the manager to be able to research the problem before responding. Council Member Spriggs thanked Ms. Hawkins for coming.

REPORTS

a) Mayor/Mayor Pro-Tem – No Report

b) City Manager – Mr. Blackmon reported on the following:

- i. More than 100 volunteers participated in the Litter Clean Sweep day. He said he is hopeful to have a quarterly targeted cleanup throughout the year.
- ii. Saturday, May 14, the Edmunds Tennis Foundation will be holding a tennis skills and drills event at Aycock Recreation and Parks. During this time, the Courts will be dedicated for Ms. Mary Lloyd Hodges Barbera.

c) City Attorney – No Report

d) City Clerk – The Open Enrollment period is this week and Council is welcome to attend any of the three sessions. Also, the first budget work session will be held Monday, May 16.

PROPOSED BUDGET PRESENTATION

City Manager Blackmon said Finance Director Joey Fuqua will be making a brief PowerPoint presentation on how the budget was compiled. He asked Council to hold their questions until the Work Session on Monday, May 16, unless it is a technical question. The Public Hearing on the Budget will be held Monday, May 23, 2022, and the Budget will be approved during the regularly scheduled meeting in June.

Finance Director Joey Fuqua reviewed the high points of the Budget. The FY 22-23 proposed Budget does not increase property taxes, sanitation fees, or water, sewer or regional water fees. He said the budget is very similar to the FY 21-22 Budget. Mr. Fuqua noted that health insurance will convert from Aetna to BCBS and said the rationale will be explained during the work sessions. The PowerPoint showed the City is seeing property tax and sales tax higher than last year at this time. He mentioned redevelopment and a growing tax base both commercially and residentially.

Mr. Fuqua said debt service has decreased significantly which will allow for the purchase of needed equipment such as a fire truck for the Fire Department. He touched briefly on the debt service, capital outlay, etc. for each fund and this information will be reviewed in detail during the work sessions.

The ARPA funds received from the Federal government will allow the City to complete projects such as new carpeting at the Police Department, repair of a sewer line at City Hall, and a new roof at the Operations Center.

In conclusion, Mr. Fuqua thanked his coworkers for their assistance in providing the information needed to compile this proposal.

Mr. Blackmon said as the proposed budget is discussed over the coming weeks, Council will find consideration has been given to the goals it established during the Strategic Planning meeting. He said staff will be at the budget work sessions to answer any questions that may arise, and he looks forward to starting the discussions on Monday, May 16.

With no further business, Mayor Ellington asked if Council was prepared to adjourn.

ADJOURNMENT

Council Member Rainey moved for adjournment. Motion seconded by Council Member Coffey, and unanimously approved. The meeting adjourned at 8:12 p.m.

Eddie Ellington
Mayor

ATTEST:

Esther J. McCrackin, City Clerk



City Council Minutes

Henderson City Council Budget Work Session #1

16 May 2022

PRESENT

Mayor Eddie Ellington, Presiding; and Council Members Marion B. Williams, Sara M. Coffey, D. Michael Rainey, Melissa Elliott, Garry D. Daeke, Ola Thorpe-Cooper, and Jason A. Spriggs

ABSENT

Council Member William Burnette

STAFF PRESENT

City Manager E. Terrell Blackmon, Finance Director Joey Fuqua, City Clerk Esther J. McCrackin, Assistant City Manager Paylor Spruill, Kerr Lake Regional Water and Henderson Water Reclamation Director Christy Lipscomb, Public Works Director Andy Perkinson and Assistant Public Works Director Lee Owens, Customer Service Manager Shay Bennett, Fire Chief Steve Cordell, and Assistant Fire Chief Curtis Tyndall

CALL TO ORDER

The 16 May 2022 Henderson City Council Budget Work Session #1 was called to order by Mayor Eddie Ellington at 6:03 p.m. in the R. G. “Chick” Young, Jr. Council Chambers, Municipal Building, 134 Rose Avenue, Henderson, NC.

ROLL CALL

The City Clerk called the roll and advised Mayor Ellington a quorum was present.

OPENING REMARKS

Mayor Ellington welcomed the staff members in attendance and then turned the meeting over to City Manager E. Terrell Blackmon.

Manager Blackmon began by saying he hoped Council had taken the time to review the budget material distributed during the May 9th meeting and he said he is looking forward to Council's requests and responding to questions. Ultimately, the Manager would like to have a consensus for a fair and well received budget.

Mr. Blackmon then turned the discussion over to Finance Director Joey Fuqua.

Kerr Lake Regional Water (KLRW)

Mr. Fuqua began by recapping this fund which is very consistent from year to year. He said the FY22 budget was \$5,208,000 and the FY23 proposed budget is \$5,312,490 which is a 2.01% increase. He stated the Capital Outlay requests centered around a pump and lab equipment. Utility costs are volatile due to inflation and fuel costs, and chemicals are the biggest increase in this budget. Mr. Fuqua said the FY23 proposed budget includes these unknowns. The Debt service for KLRW includes one high speed pump.

Council Member Spriggs asked if chemical costs are stable. KLRW Director Christy Lipscomb said the costs are up 3.5% currently and she has received a notice that the disinfectant (bleach) used at the plant will be harder to obtain so her department is currently making plans accordingly.

Council Member Daeke asked about the largest expenditure in the Capital Reserves Fund. Mr. Fuqua said this relates to the 20mgd reserve.

Council Member Williams expressed concern as to whether enough has been added to the budget for unforeseen chemical increases. Mr. Fuqua felt the budget includes enough to cover the unknowns.

Council Member Coffey asked about staffing and Council Member Williams asked about salaries not meeting or exceeding what other municipalities are offering. The City Manager said he would like to discuss staffing/salary issues during the General Fund discussion.

Council Member Elliott asked about coverage for retirees and again the Manager said he would like to discuss this during the General Fund portion of the Work Sessions.

Manager Blackmon did, however, mention that there are some departments where he would like to make salary adjustments. He mentioned the possibility of using bonuses to entice individuals to stay with the City and gave an example of increasing salaries by \$1.00 as this will increase a paycheck more than increasing pay by a percentage of salary.

Council Member Daeke then turned the discussion to public education. Ms. Lipscomb said they are working on compiling brochures for issues such as FOG (fats, oil and grease) to use at special events such as Night Out Against Crime, Halloween, etc. Once the brochures are completed, she said she will share them with Council.

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16 May 2022 Budget Work Session #1 Minutes

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Council Member Spriggs expressed concern about the vacant position at HWRF. City Manager Blackmon said this position is funded and until someone is found for the position, it will be filled by Interim Director Christy Lipscomb. He said Ms. Lipscomb has done a good job of training staff. Mr. Spriggs said he wants to make sure Ms. Lipscomb is not overworked as he would not want to have her leave the City.

With no other discussion, Mayor Ellington asked Council for a consensus on the recommended budget for KLRW of \$5,312,490. The overwhelming consensus was to approve this recommendation.

Mr. Fuqua then moved the discussion to the Water Fund.

Water Fund

Mr. Fuqua recapped the Water Fund by saying the proposed budget of \$7,530,571 is very similar to FY22 as there is a -0.73% decrease due to a reduction in capital outlay. Notable items in this Fund were repairs, water taps, meter replacements and equipment. The new HVAC cost is shared with other departments as is a new ice machine. Mr. Fuqua said debt service has been consistent over the last few years with no notable issues.

Council Member Coffey asked about the engineering increases. The Manager said contracted services have increased slightly.

Council Member Daeke asked what percentage of water lines have been replaced and how many more need to be replaced. Public Works Director Andy Perkinson said they have mainly focused on responding to breaks. At this time there is no prioritization of what lines need to be replaced.

City Manager Blackmon said he is working on an RFP to contract an engineer. He added a grant was just submitted for a stormwater grant.

Public Works Director Andy Perkinson said a lot of lines need to be taken out of service and there was a brief discussion about specific street issues regarding these smaller lines.

Manager Blackmon said many of these problems are due to the lack of stormwater planning. He said a plan has been submitted to Raleigh and once it is approved, the City will have five (5) years to comply. Ms. Lipscomb added that approval is anticipated in August and that there is a very specific timeline that will need to be met within the compliance period. She said she is currently working on a portion of the plan to get a jump on the requirements. When the plan is approved, she said it will include other departments such as Police and Fire.

Council Member Williams asked about the water problems on personal property. The Manager said the City is doing all it can to prevent damage; however, it cannot do work on personal property.

This led to a brief discussion about how the lack of planning and development is causing water problems, soil erosion, etc. There was mention of a problem on school property and Ms. Lipscomb stated anything to do with federal or state funds such as a school should be addressed by the State.

Ms. Williams then asked about the radio read meters. Water Collections Manager Shay Bennett said about 60% of the meters are radio read. She added there are funds in the proposed budget for more radio read meters.

Council Member Daeke remembered that when the City moved to radio read meters it would allow for a reduction in staff. He asked if this has happened. Ms. Bennett said the department utilizes one less meter reader than before this project began. She said there are currently three full-time meter readers and one part-time what fills in for vacations and cut-off days.

Mr. Daeke then asked about the increase in the Water Administration Fund. Manager Blackmon said this increase was due to the salary increases being considered for certain positions.

Ms. Bennett said she recently had one meter reader leave but she was able to fill the position the next day.

There was then a short discussion about the Engineering position and how this position is paid partially out of the Water Fund because the position supports several other departments.

Council Member Williams asked if citizens can now make payments on-line. Ms. Bennett said the real-time balances are now available.

Council Member Daeke requested information regarding what equipment has not been funded in this proposed budget and said he thought this was important for Council to know what may need to be purchased in future budgets.

There was no further discussion about the Water Fund, so the Mayor asked for a consensus for the Water Fund. Other than the changes recommended above, it was the consensus of Council to move forward with the recommended budget for the Water Fund of \$7,530,571.

Sewer Fund

Finance Director Joey Fuqua said this Fund is more on task than the other two. He said there is just a slight adjustment due to chemical costs, maintenance repairs and equipment. Mr. Fuqua said this Fund included a SCADA upgrade and the replacement of one pump. This Fund shares the cost of the HVAC system and the ice machine along with several other departments.

Council Member Coffey asked how the City continues to replace equipment without a rate increase. Mr. Blackmon said the City has decent reserves and at some point there will be a need to look at increasing rates; however, the current rates are meeting the current needs.

Minute Book 45

Mr. Blackmon added that there will be increases to the water rates once the expansion occurs at the KLRW plant. He also mentioned the valuation of property that will come in 2024. He said property values are increasing and he sees 2023/24 as critical years for increases.

There was a short discussion about I&I capital outlay costs, smoke testing and the need for accountability by landlords/property owners to fix sewer problems on private property. Mr. Perkinson said if the smoke test indicates there is a problem on private property, citizens are given a certain number of days to fix the problem. Otherwise, a letter is provided the resident that the City will fix the problem and charge the homeowner for the work.

There was no other discussion, so the Mayor asked for a consensus on the proposed budget of \$5,567,907. It was the consensus of Council to accept this budget figure.

CIP and Capital Reserve

Finance Director Fuqua distributed two handouts. One specifically showing the Capital Reserve Utilities, Capital Reserve General and the Rate Stabilization Fund. The other handout, relating to the ARPA funds received, showed a summary of suggested projects for using the funds. Mr. Fuqua said the ARPA funds need to be designated by 2024 and spent by 2026.

Council Member Elliott asked about using a portion of these funds for housing. Manager Blackmon said \$1.5M of ARPA funds have been set aside for redevelopment and staff will come back throughout the year with projects for these funds. One project Mr. Blackmon mentioned is setting aside a portion of these funds for property acquisition and urgent repairs. He said he would like to buy back properties, if the County is unwilling to give them to the City, that are currently city/county owned.

Council Member Rainey asked if the Recreation project costs would be split with the County since Recreation and Parks functions under both the City and County. This led to a discussion about how the County should be willing to turn over the city/county owned properties.

Other

Council Member Daeke asked how much was spent on paving last year. Only one small street was paved. Council felt ARPA funds needed to be spent on paving along with Powell Bill funds. Council Member Elliott felt streets in Ward 3 were the worst and ultimately it was decided that Council Members should submit lists of streets they felt should be paved in FY 2023.

There was a short discussion about the Henderson Laundry. Manager Blackmon said there are issues now revolving around the gentleman who purchased the laundry who has since passed away. The laundry is in a trust and the parties do not seem to be on the same page for the demolition of the structure. He said he is working with the City Attorney for options so the parcel can ultimately be redeveloped without the city/county owning the property. Council

Member Coffey felt the longer this goes the more of a health problem may exist as the tanks could be leaking.

Guidance for Staff Regarding Budget issues:

1. Salary adjustment costs for certain departments
2. Salary adjustments for part-time employees in certain departments
3. Retirement expenses
4. Cross-training within departments
5. Water line replacement
6. What equipment requests were not honored
7. Paint bathrooms at Operations Center
8. I&I ordinance review
9. Increase dollars for radio read meters by \$50,000
10. Council to submit list of streets to be paved

ADJOURNMENT

Council Member Coffey moved for adjournment. Motion seconded by Council Member Rainey and unanimously approved. The meeting adjourned at 8:04 p.m.

Eddie Ellington
Mayor

ATTEST:

Esther J. McCrackin, City Clerk



AGENDA

Henderson City Council Budget Work Session #1

Monday, May 16, 2022, 6:00 p.m.

R. G. (Chick) Young, Jr. Council Chambers, Municipal Building

134 Rose Avenue

Henderson, North Carolina

Mayor and City Council Members

Mayor Eddie Ellington, Presiding

Councilmember Marion B. Williams

Councilmember Sara M. Coffey

Councilmember William Burnette

Councilmember D. Michael Rainey

Councilmember Melissa Elliott

Councilmember Garry D. Daeke

Councilmember Ola Thorpe-Cooper

Councilmember Jason A. Spriggs

City Officials

E. Terrell Blackmon, City Manager

D. Rix Edwards, City Attorney

Esther J. McCrackin, City Clerk

I. CALL TO ORDER

II. ROLL CALL

III. OPENING REMARKS

In order to provide for the highest standards of ethical behavior and Transparency in Governance as well as provide for good and open government, the City Council has approved Core Values regarding Ethical Behavior¹ and Transparency in Governance². The Mayor now inquires as to whether any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council. If any Council Members knows of a conflict of interest, or appearance of conflict, please state so at this time.

¹ **Core Value 4: Ethical Behavior:** We value the public trust and will perform our duties and responsibilities with the highest levels of integrity, honesty, trustworthiness and professionalism.

² **Core Value 10: Transparency in Governance:** We value transparency in the governance and operations of the City.

IV. REVIEW AND DISCUSSION OF:

- a)** Regional Water Funds
- b)** Water Funds
- c)** Sewer Funds
- d)** Capital Reserve and CIP Funds

V. GUIDANCE FOR STAFF

VI. ADJOURNMENT



City Council Minutes

Henderson City Council Budget Work Session #2

19 May 2022

PRESENT

Mayor Eddie Ellington, Presiding; and Council Members Marion B. Williams, Sara M. Coffey, William Burnette, Melissa Elliott and Garry D. Daeke

ABSENT

Council Members Rainey, Thorpe-Cooper and Spriggs

STAFF PRESENT

City Manager E. Terrell Blackmon, Finance Director Joey Fuqua, City Clerk Esther J. McCrackin, Assistant City Manager Paylor Spruill, Police Chief Marcus Barrow, Fire Chief Steve Cordell, Assistant Fire Chief Curtis Tyndall, Recreation and Parks Director Kendrick Vann, Kerr Lake Regional and Henderson Water Reclamation Manager Christy Lipscomb, Human Resources Director Elgin Lane, Development Services Director Corey Williams, Public Works Director Andy Perkinson, Assistant Public Works Director Lee Owen, Water Collections Manager Shay Bennett and Downtown Development Manager Tracy Madigan,

CALL TO ORDER

The 19 May 2022 Henderson City Council Budget Work Session #1 was called to order by Mayor Eddie Ellington at 6:03 p.m. in the R. G. “Chick” Young, Jr. Council Chambers, Municipal Building, 134 Rose Avenue, Henderson, NC.

ROLL CALL

The City Clerk called the roll and advised Mayor Ellington a quorum was present.

OPENING REMARKS

Mayor Ellington asked City Manager turned the meeting over to the City Manager.

City Manager Blackmon asked that Council ask questions as the Finance Director goes through the General Fund. He then asked Finance Director Joey Fuqua to begin the presentation.

Mr. Fuqua said the proposed budget looks very similar to the FY 22 budget. He said most of the increases related to Premium Pay changes. The ARPA Funds have provided a good cushion for both FY22 and FY 23

Review and Discussion of:

General Fund:

Mr. Fuqua said the General Fund is the largest task of putting together the budget. It has the largest gaps between expenditures and revenues. He said staff starts the process by putting together a matrix which is reviewed and adjusted. Then a revenue forecast is compiled and this year the gap was over \$3-4M. He said when they first started working on the proposed budget, the final rulings for the use of ARPA funds had not been released. However, the final ruling came in January, and it allows a lot of latitude on how the ARPA funds can be used. Mr. Fuqua then moved through the various departments making up the General Fund.

Mr. Fuqua said the first notable change is with the IT Department. There was a notable increase as the Manager position is vacant and depending on NCOL and contracting needs, a significant increase was included to ensure the IT needs are taken care of until a manager is brought on board.

The Police Department will be replacing vehicles and the budget includes the cost of upfitting those vehicles.

The next significant budget change comes in the Fire Department which includes a new fire truck. Mr. Blackmon stated that this equipment is needed as they have been constantly patching and repairing existing equipment.

No major equipment is included in the proposed budget for the Public Works Department. However, the budget includes a new roof at the Operations Center, along with a new ice machine. The cost of the ice machine will be shared with several other departments.

Mr. Fuqua said the Garage costs increased mainly due to fuel costs. This account includes all the departments with vehicles and is closely monitored as fuel costs are very volatile at this time.

Council Member Coffey asked if staff felt the increase is sufficient. Mr. Fuqua said they have included a cushion of \$4.30 per gallon and although the City receives fuel at a discounted rate it may have to use all the budgeted amount with the way fuel prices are increasing due to the war in Ukraine.

The Street Fund includes an increase due to hardware/software licenses/permits.

The Sanitation Fund includes the annual increase from GFL (formerly Waste Industries) and also the costs of licenses and permits.

The expanded programs in the Recreation and Parks Department require additional supplies to fund these new initiatives. Also included in this departmental budget is building maintenance along with hardware/software needs

Council Member Coffey asked if the budget includes repairs to the tennis courts and the pool area. Mr. Blackmon said the tennis courts have been repaired, along with the parking lot. He said if there are safety issues in any area, they are addressed as soon as possible.

Council Member Elliott asked if the County is contributing their portion to the Recreation and Parks Department. Mr. Blackmon said yes and explained that once the City establishes its budget for this department it is sent to the County so they can budget their portion.

Council Member Daeke shared that the Recreation and Parks Department budget comes from 55% of the City and 45% from the County.

Mention of City/County shared projects took the discussion to other areas with Mr. Daeke asking what the County is responsible for and if it is paying its share. Mr. Blackmon said the County pays for Youth Services. There was a brief discussion about the Library and Mr. Daeke suggested a meeting with the County to review shared projects. Mr. Blackmon said that McGregor Hall has requested a new HVAC system. He added that with the Recreation and Parks Department, the City bills the County for their portion.

Mr. Fuqua then turned the discussion to Local Agency requests. He said no change has been made in these requests.

Council Member Burnette asked if the City makes any contribution to McGregor Hall. Mr. Blackmon said McGregor Hall did not make an official request for funding but added that there are some funds held in a Rec Players account that he advised Mr. Mark Hopper to make a formal for as the account holds approximately \$6,000.

Council Member Daeke suggested a discussion with McGregor Hall's staff once the pavilion is up and running. Mr. Blackmon said he recently met with the McGregor Hall staff and this was part of their discussion. The Manager said he will be presenting the final design for the pavilion soon and sees some events as better suited for outdoors rather than inside McGregor Hall, such as Sunday concerts in the park.

There was a brief discussion about redevelopment dollars being used for services such as homelessness. The Manager said the City must be careful because it does not provide human services per se, but it has set aside funds that will provide services that will need to be implemented by community-based organizations. Ms. Elliott asked for the expenditure deadline of the ARPA funds and was told the deadline is 2026. Mr. Blackmon said Council will need to approve the use of the funds and a process needs to be set in place.

Council Member Williams asked for an explanation of several large increases in the General Fund. Her first question led to a review of the IT departmental increase. The Manager said the City has a two-year contract with NCOL for IT assistance 24 hours a week. The City will recruit a new director that will work closely with NCOL once hired.

Council Member Williams then asked about the increase in Downtown Development. Mr. Blackmon said the majority of the increase in this department, as with most of the funds, is from the 2% salary increase and then the 3% Premium Pay.

Council Member Williams then asked about the Police and Fire increases. Mr. Blackmon explained these are the two largest departments and the majority of the costs relate to salaries. He added the last year Council approved six new positions for the Fire Department. Also, the purchase of a new fire truck. Additional costs for both departments include uniforms, repairs, travel, dues, etc.

City Manager Blackmon said he appreciates each department. He said the Fire Department's goal is to identify a location for the needed new fire station and to hire another 6 staff members. He said locations are being considered but these goals are not included in the FY23 budget.

The Manager envisions having to increase taxes in the coming years as the ARPA funds dwindle, salaries increase, and work begins on the KLRW renovations. He said tough decisions have to be made.

Finance Director Joey Fuqua said the ARPA funds have helped to cover the current expenses but going forward the City will need to absorb many costs and the City needs to find savings wherever it can.

Council Member Coffey said there is still a need for more firemen and Mr. Fuqua said some of the priorities are being taken care of now so those additional staff members can be hired in the coming years.

Fire Chief Cordell said the ladder truck has been out of service 88 days at a cost of \$61,000 for repairs.

A general discussion began with Council Member Daeke asking what a one cent tax raise would

garner. Mr. Fuqua told him approximately \$88,000.

Mr. Fuqua said the capital outlay for a new fire truck is approximately \$1.3M.

Mr. Fuqua said the LGC is in the process of reviewing the proposed budget and seems satisfied with what Council is considering for approval. He stated the second installment of the ARPA funds should be received shortly. However, if the funds are not received before the budget is approved in June, he will have to review those funds from the line item, but they will be added back once received.

Plans to place a columbarium in Elmwood Cemetery have not been finalized. Mr. Blackmon said the City Attorney has verified the funds in the Trust Fund can be used for repair and improvements in the cemetery including a columbarium.

Police Chief Barrow said the Police Department now functions in the world of technology so many of the departmental costs have increased due to upgrading software and the need to analyze data more efficiently. The Chief said Body Cams need to be upgraded yearly. Council Member Daeke commented that grants are wonderful, but they do cost money “down the road.”

Mr. Daeke asked for a list of equipment that was not funded in the proposed budget as both Ms. Williams and Mr. Burnette noted decreases in certain funds from the departmental requests to what the Manager included in the budget. Ms. Coffey felt equipment should be ordered now since there is such a delay in delivery due to Covid.

Council Member Daeke asked for the percent increase required by GFL and if they are purchasing fuel from the City. The Manager said GFL does buy its fuel from the City and the annual increase was 5%.

Council Member Daeke asked if ARPA funds can be used for land acquisition. Mr. Blackmon said yes and went on to say \$1M has been set for this purpose.

In summary, Mr. Blackmon said there has been good discussion and asked if there were any other outstanding issues Council wished to address.

The issue of Asset Forfeiture was brought up and the Chief said although there are currently no funds in the account, the new taskforce has made some stops that should bring more than \$100,000 to the City soon.

Council Member Elliott asked why the Airport received so much funding. It was explained that the airport is owned by Vance County, Henderson, Granville County and Oxford and that the amount included in the budget is the City’s portion of running the airport. Ms. Elliott also asked about the Corbitt Museum. Mr. Daeke said the City purchased a home owned by Mr. Bennett Perry when the County said it was not interested so what is included in the budget covers insurance and other costs.

Car Park Items:

Salary Adjustments – Mr. Blackmon said his recommendation for several departments that have employees that are under paid is to increase their hourly rate by \$1.00. There was very little discussion as Council seemed to agree that the \$1.00 increase provides a better wage for employees than offering a percent increase.

Retirement Expenses – Mr. Blackmon said there are 35 employees who can retire within the next year or two at the age of 50 or 55. The issue is whether the City should provide full insurance coverage for these employees until they reach age 65. Mr. Blackmon said if the City carried all 35 employees for 10 years, at the current health insurance rate of just under \$700.00 per employee, the City's cost would be over \$3M. Another option is to allow retirees to use their sick time for health coverage rather than State retirement. Mr. Blackmon said this is more difficult to calculate but mentioned it was not as equitable as some employees could have 1,000 hours of sick time where others might only have 300 hours.

There was a lengthy discussion about whether changing the existing policy would be for the best and how the policy should be changed. Council Member Daeke suggested Council hold a work session to further discuss this matter and asked the Manager to contact other municipalities to see how they are handling retirement, determine costs and what to do about individuals who have already retired.

(Clerk's Note: Council Member Daeke left the meeting at 7:31 p.m.)

City Manager Blackmon said he would investigate what other communities are doing and reminded Council that retirees have options to continue coverage with the City...just not at 100%.

At this time, Mayor Ellington asked if Council was comfortable with the budget as presented. The consensus was they were satisfied with the budget as presented.

Mr. Blackmon reminded Council that Monday, May 23, 2022, at 6:00 will be the next Work Session and it will also be the Public Hearing.

GUIDANCE FOR STAFF

City/County Joint Expenses Review (includes Library)

Sick Leave for potential Retirees

Unfunded equipment requests from Departments

ADJOURNMENT

Council Member Elliott moved for adjournment. Motion seconded by Council Member Coffey, and unanimously approved. The meeting adjourned at 7:43 p.m.

Eddie Ellington
Mayor

ATTEST:

Esther J. McCrackin, City Clerk



AGENDA

Henderson City Council Budget Work Session #1

Thursday, May 19, 2022, 6:00 p.m.

R. G. (Chick) Young, Jr. Council Chambers, Municipal Building

134 Rose Avenue

Henderson, North Carolina

Mayor and City Council Members

Mayor Eddie Ellington, Presiding

Councilmember Marion B. Williams

Councilmember Sara M. Coffey

Councilmember William Burnette

Councilmember D. Michael Rainey

Councilmember Melissa Elliott

Councilmember Garry D. Daeke

Councilmember Ola Thorpe-Cooper

Councilmember Jason A. Spriggs

City Officials

E. Terrell Blackmon, City Manager

D. Rix Edwards, City Attorney

Esther J. McCrackin, City Clerk

I. CALL TO ORDER

II. ROLL CALL

III. OPENING REMARKS

In order to provide for the highest standards of ethical behavior and Transparency in Governance as well as provide for good and open government, the City Council has approved Core Values regarding Ethical Behavior¹ and Transparency in Governance². The Mayor now inquires as to whether any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council. If any Council Members knows of a conflict of interest, or appearance of conflict, please state so at this time.

¹ **Core Value 4: Ethical Behavior:** We value the public trust and will perform our duties and responsibilities with the highest levels of integrity, honesty, trustworthiness and professionalism.

² **Core Value 10: Transparency in Governance:** We value transparency in the governance and operations of the City.

IV. CAR PARK ITEMS

- Equipment Requests
- List of Streets for Paving
- Radio Read Meters
- Salary Adjustments
- Retirement Expenses

V. REVIEW AND DISCUSSION OF:

- General Fund

VI. GUIDANCE FOR STAFF

VI. ADJOURNMENT



City Council Minutes

Henderson City Council Budget Work Session #3

23 May 2022

PRESENT

Mayor Eddie Ellington, Presiding; and Council Members Sara M. Coffey, William Burnette, Garry D. Daeke, Ola Thorpe-Cooper, and Jason A. Spriggs

ABSENT

Council Member Williams, Elliott and Rainey

STAFF PRESENT

City Manager E. Terrell Blackmon, Finance Director Joey Fuqua, City Clerk Esther J. McCrackin, Assistant City Manager Paylor Spruill, Kerr Lake Regional Water and Henderson Water Reclamation Director Christy Lipscomb, Public Works Director Andy Perkinson and Assistant Public Works Director Lee Owen, Fire Chief Steve Cordell, Assistant Fire Chief Curtis Tyndall, Police Chief Marcus Barrow, Recreation and Parks Director Kendrick Vann, Development Services Director Corey Williams and Downtown Development Manager Tracy Madigan

CALL TO ORDER

The 23 May 2022 Henderson City Council Budget Work Session #1 was called to order by Mayor Eddie Ellington at 6:23 p.m. in the R. G. “Chick” Young, Jr. Council Chambers, Municipal Building, 134 Rose Avenue, Henderson, NC.

ROLL CALL

The City Clerk called the roll and advised Mayor Ellington a quorum was present.

OPENING REMARKS

Mayor Ellington apologized for the delay and thanked everyone for being patient. He then referred the meeting over to the Manager.

City Manager Blackmon said by law, the Public Hearing must be held at least ten (10) days prior to adopting the budget. He reminded Council that they had the first Work Session on May 16 and then another on May 19. During those meetings the Enterprise Funds, General Fund, Powell Bill and CIP/Capital Reserve Funds have all been reviewed. The proposed FY 22-23 Budget contains no property tax increase, and no Water, Sewer or Regional Water increases. Mr. Blackmon proposed that the Mayor conduct the Public Hearing and then any outstanding items can be discussed.

(Clerk's Note: This Public Hearing was properly advertised, and citizens were asked to submit questions/comments by 3:00 p.m. the day of the meeting or to attend the meeting in person.)

Conduct Budget Public Hearing on FY 20-21 Budget:

Mayor Ellington opened the public hearing by asking if anyone wished to speak in favor of the Proposed FY 22-23 budget. No one wished to address Council in favor of the budget, so he asked if anyone wished to speak against the Proposed FY22-23 budget. Again, no one came forward.

(Clerk's Note: This meeting was held via Zoom, and no one logged on to the Zoom platform during this meeting.)

Mayor Ellington closed the Public Hearing and again turned the meeting over to the Manager.

OTHER

Council Member Coffey asked that a part-time animal control officer be added to the budget. She feels there are more animals running loose within the City than in the County. She thought the three Vance County officers were insufficient to cover the entire County.

Police Chief Marcus Barrow stated that normally Vance County Animal Control officers respond to calls but if there is a criminal offense involved within the City, the Police are called. He said he did not have the details with him but that he had mentioned this during the Retreat and would be happy to provide his information.

After a brief discussion about how other communities handle controlling animals, who the part-time officer would report to and why the County has not been asked to increase their staffing, Council Member Daeke recommended this concern be presented to the Public Safety Committee for further consideration.

Council Member Daeke felt the Committee of the Whole needed to be cognizant of citizen dollars and mentioned the need for additional staffing in the Code Compliance (Development Services) department.

Mayor Ellington concluded the discussion by saying the Manager will gather information to present to the Public Safety Committee and then this will come back to Council.

Manager Blackmon said if an officer is approved, details will need to be worked out with the County, as for one thing, the City has no facility to hold animals.

Council Member Coffey thanked everyone for listening to her concern and is looking forward to the Public Safety meeting.

City Manager Blackmon then turned their attention to the retirement issue that was “Car Parked” during earlier budget discussions. He said he would like to hold a Special Called Meeting to have a Closed Work Session once he and staff have time to gather and review more information regarding the retirement concerns. He asked the Clerk to distribute the Memo from Police Chief Barrow regarding using sick time for insurance, along with minutes and resolutions from the early 2000’s when Council made changes to the existing policy. Mr. Blackmon felt this would avoid making rash decisions and that the decisions made would be well documented.

Council Member Burnette asked for verification that the Public Works would be receiving a salary increase to help retain employees. Mr. Blackmon said not only would employees in the Public Works department receive a \$1.00 increase, but this would also affect the wastewater and water employees.

Mr. Blackmon said he foresees a salary study coming within the next few years and adjustments may be needed at that time.

Mayor Ellington asked Council if they were satisfied with the budget as proposed, including the salary adjustment. The Consensus of those present was that there was no need for future Work Sessions and that they felt this was the budget that should be presented for approval at the June 13, 2022, meeting.

The Manager reminded Council that until the budget is approved, he is open for discussion on any item.

Mayor Ellington thanked the Manager, Finance Director and staff for all they do and what was done to put together the FY 22-23 budget.

ADJOURNMENT

Council Member Coffey moved for adjournment. Motion seconded by both Council Member Spriggs and Daeke, and unanimously approved. The meeting adjourned at 6:53 p.m.

Eddie Ellington
Mayor

ATTEST:

Esther J. McCrackin, City Clerk



AGENDA

Henderson City Council Budget Work Session #3

Monday, May 23, 2022, 6:00 p.m.

R. G. (Chick) Young, Jr. Council Chambers, Municipal Building

134 Rose Avenue

Henderson, North Carolina

Mayor and City Council Members

Mayor Eddie Ellington, Presiding

Councilmember Marion B. Williams

Councilmember Sara M. Coffey

Councilmember William Burnette

Councilmember D. Michael Rainey

Councilmember Melissa Elliott

Councilmember Garry D. Daeke

Councilmember Ola Thorpe-Cooper

Councilmember Jason A. Spriggs

City Officials

E. Terrell Blackmon, City Manager

D. Rix Edwards, City Attorney

Esther J. McCrackin, City Clerk

I. CALL TO ORDER

II. ROLL CALL

III. OPENING REMARKS

In order to provide for the highest standards of ethical behavior and Transparency in Governance as well as provide for good and open government, the City Council has approved Core Values regarding Ethical Behavior¹ and Transparency in Governance². The Mayor now inquires as to whether any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council. If any Council Members knows of a conflict of interest, or appearance of conflict, please state so at this time.

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IV. BUDGET PUBLIC HEARING

Public Hearing on FY 22-23 Budget

V. OTHER

VI. GUIDANCE FOR STAFF

VI. ADJOURNMENT

City Council Minutes

Regular Meeting

June 13, 2022

PRESENT

Mayor Eddie Ellington, Presiding; and Council Members Marion B Williams, Sara M. Coffey, William Burnette, D. Michael Rainey, Melissa Elliott, Ola Thorpe-Cooper and Jason A. Spriggs.

ABSENT: Council Member Garry Daeke

STAFF PRESENT

City Manager Edward T. Blackmon, City Attorney D. Rix Edwards, City Clerk Esther J. McCrackin, Finance Director Joey Fuqua, Fire Chief Steve Cordell, Assistant Fire Chief Curtis Tyndall, Development Services Director Corey Williams, Human Resources Director Elgin Lane, Public Works Director Andy Perkinson, Kerr Lake Regional Water and Henderson Water Reclamation Director Christy Lipscomb, Customer Service Manager Shay Bennett and Downtown Development Manager Tracy Madigan

CALL TO ORDER

The 11 June 2022 Regular Meeting of the Henderson City Council was called to order by Mayor Eddie Ellington at 6:00 p.m. in the R. G. “Chick” Young, Jr. Council Chambers, Municipal Building, 134 Rose Avenue, Henderson, NC.

ROLL CALL

The City Clerk called the roll and stated that a quorum was present.

INVOCATION AND PLEDGE OF ALLEGIANCE

Council Member Burnette led the prayer and the Pledge of Allegiance.

OPENING COMMENTS

Mayor Ellington extended a warm welcome to everyone in attendance.

ADJUSTMENTS TO/APPROVAL OF AGENDA

Mayor Ellington asked if there were any adjustments to the Agenda. City Clerk McCrackin said there would be an add-on item to the Consent Agenda (*Accept Bid Proposal from Insight Planning and Development to Administer Community Development Block Grant CDBG #20-C3633*). Council Member Burnette moved to accept the Agenda as adjusted. Motion seconded by Council Member Elliott and unanimously approved.

APPROVAL OF MINUTES

Mayor Ellington asked for any corrections to and/or approval of the minutes. Council Member Burnette moved the approval of the 9 May Regular Meeting minutes, the 16 May Budget Work Session #1 minutes, 19 May Budget Work Session #2 minutes and the 23 May Budget Work Session #3 minutes. Motion seconded by Council Member Coffey and unanimously approved.

PRESENTATIONS/RECOGNITIONS

Fire Chief Steve Cordell and Assistant Fire Chief Curtis Tyndall presented medals of commendation to five firefighters this evening. Captain Joshua A Bolton was presented a Medal of Valor for his actions to preserve the life of another during conditions that were extremely life-threatening for himself as well as the victim trapped inside the structure. Capt. Bolton sustained second degree burns to areas of his shoulders and arm with some portions being considered third degree burns. The Life Saving Medal which is awarded to members of the department who save the life of another person through proper actions was presented this evening to Captain Kyle Holtzman, Master Firefighter Watkins Renn Hale, Senior Firefighter Zack Short, and Firefighter William Breedlove for their part in locating and removing the victim from the burning house. A standing ovation was given for each of these individuals. Chief Cordell 's entire presentation is incorporated by reference and hereby made part of these minutes.

Council Member Coffey thanked the department for all they do, and Council Member Burnette mentioned that while citizens run from a fire, these individuals run into a fire. Mayor Ellington thanked the Chief for his moving presentation and stated how much we all appreciate what this department does daily.

PUBLIC HEARING

Adopt the Comprehensive Plan for the City of Henderson (*Reference: CAF 22-62; Ordinance 22-12*)

The City Manager reminded Council that this project started a year ago and tonight is the culmination of the work done. He then asked Development Services Director Corey Williams to introduce the Insight Planning and Development staff member who will make a brief presentation of the plan updates.

Mr. Williams then introduced Mr. Chip Bartlett who explained that Phase I of this project was the kickoff which took place between June and September 2021. Phase II was the plan development and public engagement portion of the project that took place between September 2021 and March 2022. Tonight, Phase III is the completion, review and adoption portion of the project that began in March 2022. Mr. Bartlett said the citizens of Henderson had a lot to say during the public engagement portion as there were over 5,000 responses (every time someone clicked) to the citizens survey. He said there was a good cross section of participants and the top three assets mentioned were Kerr Lake, proximity to Raleigh, Wake Forest and Vance-Granville Community College. The top three issues facing the city's future were redevelopment of distressed neighborhoods, economic opportunities-jobs and public safety. To keep the plan transparent, Mr. Bartlett mentioned edits that have been made since the Planning Board approved

the plan in its entirety and he said he would be happy to answer any questions Council may have at this time.

Council Member Elliott asked how many individuals responded to the survey. Mr. Bartlett said most questions had 150-200 responses.

With no further questions, Mayor Ellington opened the Public Hearing by asking if anyone was present who wished to speak in favor of this ordinance. No one else came forward, so Mayor Ellington then asked if anyone was present who wished to speak in opposition to the ordinance. No one came forward. Mayor Ellington closed the Public Hearing and asked for Council's pleasure.

Council Member Elliott moved the approval of Ordinance 22-12, *Adopt the Comprehensive Plan for the City of Henderson*. Motion seconded by Council Member Rainey and APPROVED by the following vote: YES: Williams, Coffey, Burnette, Rainey, Elliott, Thorpe-Cooper and Spriggs. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Ordinance Book 10, p 923)

Amending the City Code and Zoning Ordinance to Allow the Planning Board and Board of Adjustment Extraterritorial Jurisdiction (ETJ) Members Full Voting Privileges on City and ETJ Matters (Reference: CAF 22-54; Ordinance 22-08, Ordinance 22-09)

City Manager Blackmon said this matter came before the Boards and Commissions Committee and the recommendation was to allow ETJ members voting privileges. He said the ETJ members are valuable members of the Planning Board and Board of Adjustment and it was strongly felt these members should be allowed to vote.

With no discussion, Mayor Ellington opened the Public Hearing by asking if anyone was present who wished to speak in favor of this rezoning. No one else came forward to speak in favor of this rezoning so Mayor Ellington then asked if anyone was present who wished to speak in opposition to the rezoning. No one came forward.

Mayor Ellington then closed the Public Hearing and asked for Council's pleasure.

Council Member Coffey moved the approval of Ordinance 22-08 and Ordinance 22-09 *Amending the City Code and Zoning Ordinance to Allow the Planning Board and Board of Adjustment Extraterritorial Jurisdiction (ETJ) Members Full Voting Privileges on City and ETJ Matters*. Motion seconded by Council Member Burnette and APPROVED by the following vote: YES: Coffey, Burnette, Rainey, Elliott, Thorpe-Cooper, Spriggs and Williams. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Ordinance Book 10, p 915 and 917)

PUBLIC COMMENT PERIOD ON AGENDA ITEMS

City Clerk McCrackin advised no citizen wished to address Council on Agenda items.

NEW BUSINESS

Adoption of the FY 22-23 Budget and Annual Fee Schedule (Reference: CAF 22-55; Ordinance 22-10)

The City Clerk reminded Council that during the budget work sessions, Finance Director Joey Fuqua stated that if the ARPA funds were not received before the budget was adopted, an adjustment would need to be made to the General Fund. As of today, the ARPA funds have not been received so the Clerk distributed a corrected budget page and said when the funds are received, the Finance Director will adjust the budget accordingly.

While the Clerk was distributing the updated information, Mayor Ellington thanked the Manager, Finance Director and staff for their efforts in compiling the FY22-23 budget.

City Manager Blackmon also thanked the Finance Director and staff for helping put together the budget. He reminded Council that the proposed budget was presented on May 9 with three Work Sessions. The Public Hearing was held on May 23 and as required by law; the budget can be adopted as it has been more than 10 days since that Hearing.

The FY22-23 budget contains no increase in taxes, and no material changes to the Fee Schedule. BCBS was selected for health care to keep costs down and he said the City will still offer health care reimbursement/subsidy for spouse and family coverage. Of significance is the \$1.5M Council approved for redevelopment. He said this indicates Council's foresight. Also, the budget includes increases for front line workers. In conclusion, he said staff understands they cannot always get what they want and he felt the budget was the best it could be with the funds available.

Mayor Ellington asked Council how it would like to proceed.

Council Member Rainey moved the approval of Ordinance 22-10, *Adoption of the FY 22-23 Budget and Annual Fee Schedule*. Motion seconded by Council Member Burnette and APPROVED by the following vote: YES: Burnette, Rainey, Elliott, Thorpe-Cooper, Spriggs, Williams and Coffey. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Ordinance Book 10, p 919)

Acceptance of 20 MGD Guaranteed Maximum Price (GMP) with CDM Smith (Reference CAF 22-63; Resolution 22-51)

City Manager Blackmon said there seems to be a light at the end of the proverbial tunnel regarding the KLRW expansion. The KLRW Advisory Board voted to accept the GMP for the upgrade and funding has been secured for the project. The next step is to obtain the Local Government Commission approval that he hopes will happen within the next few months. Permits will then need to be obtained and the actual expansion should begin early in 2023. At this time no rate changes are scheduled but there will be increases once the \$79,605,000 project begins.

There were no questions so Mayor Ellington asked Council how it would like to proceed.

Council Member Elliott moved the approval of Resolution 22-51, *Acceptance of 20 MGD Guaranteed Maximum Price (GMP) with CDM Smith*. Motion seconded by Council Member Williams and APPROVED by the following vote: YES: Rainey, Elliott, Thorpe-Cooper, Spriggs, Williams, Coffey and Burnette. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Resolution Book 7, p 289)

Dedication and Acceptance of St. Charles Drive as a City Street and Amending Article V, Section 7-64 of the City's Ordinance to Include St. Charles Drive (Reference: CAF 22-53; Resolution 22-45, Ordinance 22-07)

City Manager Blackmon stated the St. Charles apartments were built in accordance with approved plans and City specifications. If approved, the City will add 0.14 miles to the Powell Bill system.

Council Member Elliott asked how many apartment units are in this complex. Development Services Director Corey Williams said approximately 80. Mayor Ellington added that the complex is nearly full. Council Member Spriggs asked what Ward this street is in, and the response was Ward 2.

Council Member Coffey moved the approval of Resolution 22-45, *Dedication and Acceptance of St. Charles Drive as a City Street* and Ordinance 22-07, *Amending Article V, Section 7-64 of the City's Ordinance to Include St. Charles Drive*. Motion seconded by Council Member Thorpe-Cooper and APPROVED by the following vote: YES: Elliott, Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette and Rainey. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Resolution Book 7, p 277; Ordinance Book 10, p 913)

Funding Transfer for Tar-Pamlico Stormwater Ordinance Revisions (Reference: CAF 22-60; Resolution 22-49, Ordinance 22-11)

City Manager Blackmon explained the stormwater plan needs to be revised to stay in compliance. Since the City does not have a stormwater utility fund, dollars need to be transferred to update the plan. Mr. Blackmon said once the State approves the plan, the City will have five years to meet all the State requirements which will involve additional staffing among other things that will appear in the FY23-24 budget.

There were no questions, so Mayor Ellington asked Council how it wished to proceed.

Council Member Elliott moved the approval of Resolution 22-49, *Funding Transfer for Tar-Pamlico Stormwater Ordinance Revisions* and Ordinance 22-11, *Establishing Funds for Tar-Pamlico Stormwater Ordinance Revisions*. Motion seconded by Council Member Coffey and APPROVED by the following vote: YES: Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette, Rainey and Elliott. NO: None. ABSTAIN: None. ABSENT: Daeke. (See Resolution Book 7, p 285; Ordinance Book 10, p 921)

Seventh Amendment to the Franklin County Water Agreement (*Reference: CAF 22-51.1; Resolution 22-43*)

City Manager Blackmon reminded Council that during the April 12, 2021, meeting, a Sixth Amendment to this agreement was approved that increased the supply of water by 450,000 GPD to 3.45MGD. The price remained at \$4.37 per gallon and the term of that agreement was for 36 months from the date of execution or to the date the KLRW plan upgrade was completed. Due to the delay Franklin County has requested an additional 48 months beyond the expiration date of the Sixth Amendment. Both the Mayor and Manager felt an extension was an act of good will. Mr. Blackmon said it makes sense to approve this amendment to allow Franklin County to continue to receive water that will assist with their development while the City will continue to receive additional income.

There were no questions so Mayor Ellington now asked Council how it would like to proceed.

Council Member Spriggs moved the approval of Resolution 22-43.1, *Seventh Amendment to the Franklin County Water Agreement*. Motion seconded by Council Member Rainey and APPROVED by the following vote: YES: Thorpe-Cooper, Spriggs, Williams, Coffey, Burnette, Rainey and Elliott. NO: None. ABSTAIN: None. ABSENT: Daeke. (*See Resolution Book 7, p 273*)

(*Clerk's Note: Council Member Burnette left the meeting at 7:00 due a previously scheduled meeting*)

CONSENT AGENDA

All matters listed under the Consent Agenda are considered to be routine or have been previously discussed, and can be approved in one motion, unless a Council Member asks for separate consideration of an item.

The City Clerk read the Consent Agenda that is summarized as follows:

Accepting the Official Results of the 17 May 2022 Municipal Election (*Reference: CAF 22-59; Resolution 22-48*) Action on this item appoints Mr. James Baines to fill a vacant Ward 3 seat for a full three-year term on the Community-Wide Advisory Committee and Ms. Goldie Freeding to serve as an Alternate for a full three-year term on the Planning Board. (*See Resolution Book 7, p 259*)

Providing for the Disposition of Jointly Owned Properties by the City and County Identified as 0 Hall Street, Recorded in Vance County Tax Deed Book 1326, Page 0115, Further Identified as PIN #0058 03007 and 248 Denver Street, Recorded in Vance County Tax Deed Book 1235, Page 0528, Further Identified as PIN #0058 04002 (*Reference: CAF 22-58, Resolution 22-47*) If approved, the proceeds of the sale will be shared by the City and County on a pro rata basis. The assessed tax value for 248 Denver Street is \$6,800 and 0 Hall Street has an assessed tax value of \$6,000. (*See Resolution Book 7, p 281*)

Submission of an Application to the Bureau of Justice Assistance Bulletproof Vest Program FY22 Grant (*Reference: CAF 22-57; Resolution 22-46*) This is a yearly grant that the

Department applies for that reimburses the City up to 50% of the full cost of purchasing Ballistic Vests (\$8,961.38) for newly hired officers and to replace broken or expired vests. If approved the City will be reimbursed up to \$4,480.69. *(See Resolution Book 7, p 279)*

Accept State Reserve Loan Program (SRP) Offer for Sandy Creek Basin Fix and Find Project *(Reference: CAF 22-61; Resolution 22-50)* Council approved the submission of a loan application during the April 2022 meeting. The application has been approved and WK Dickson Engineering will be working with a contractor to obtain the best results of finding and fixing areas to reduce Sanitary Sewer issues. *(See Resolution Book 7, p 287)*

Administrative Guidelines and Policies for Community Development Block Grant Neighborhood Revitalization (CDBG-NR) Grant #20-C-363 *(Reference: CAF 22-14.1; Resolution 22-13.1)* As a part of the grant requirements, the City must adopt the following: *(See Resolution Book 7, p 213-A)*

1. Project Budget Ordinance
2. Financial Management Resolution
3. Housing Assistance Policy
4. Housing Construction Contract Award Policy
5. Citizen Participation Plan
6. Residential Anti-displacement and Relocation Assistance Plan
7. Local Jobs Initiative (Section 3) Plan
8. Temporary Relocation Policy
9. Code of Conduct
10. Fair Housing Policy
11. Excessive Force Policy
12. Procurement Standards Policy/Plan
13. Equal Opportunity Plan
14. Language Assistance Plan (Providing Meaningful Communication with Persons with Limited English Proficiency)
15. Recipient's Plan to Further Fair Housing

Tax Releases and Refunds from Vance County for the Month of April 2022. *(Reference: CAF 22-56)* The Finance Director has reviewed the following releases/refunds and found them to be in order. This action approves the tax releases and refunds for April 2022.

April 2022 Tax Releases & Refunds			
Name	Reason	Tax Year	Amount
Real & Personal Property Releases			
Burgess, Wesley	Personal Property Billed In Error	2021	\$ 65.49
Hill, Valerie	Personal Property Billed In Error	2021	\$ 105.80
Dukenet Communications	Personal Property Billed In Error	2021	\$ 0.61
Real & Personal Property Releases - Total			\$ 171.90
Real & Personal Property Refunds			
			\$ -
Real & Personal Property Refunds - Total			\$ -
Gap Bill Discoveries			
Miscellaneous	Discoveries	2022	\$ 1,020.00
Gap Bill Discoveries - Total			\$ 1,020.00
Real & Personal Property Discoveries			
Ransom, Kirby	Discovery	2022	\$ 2,551.51
Real & Personal Property Discoveries - Total			\$ 2,551.51
Audit Discoveries			
			\$ -
Audit Discoveries - Total			\$ -
Total Refunds, Releases, & Discoveries			\$ 3,743.41

Accept Bid Proposal from Insight Planning and Development to Administer Community Development Block Grant (CDBG #20-C3633) (Reference: CAF 22-64; Resolution 22-52)

Due to limited staff, it is recommended that the City procure a CDBG consultant to administer this grant. Insight Planning and Development was the only proposal submitted when proposals were solicited on February 3 and March 31, 2022. This was re-advertised on May 28 and June 2, 2022, and again Insight Planning and Development was the only company to submit a proposal. The fee for Insight Planning and Development to administer this grant is \$98,500 and will be paid from grant funds. (See Resolution Book 7, p 251)

Mayor Ellington asked if anyone wished to remove any item from the Consent Agenda.

Council Member Elliott moved the approval of the Consent Agenda as presented. Motion seconded by Council Member Coffey and approved by the following vote: YES: Spriggs, Williams, Coffey, Rainey, Elliott and Thorpe-Cooper. NO: None. ABSTAIN: None. ABSENT: Daeke and Burnette

PUBLIC COMMENT PERIOD ON NON-AGENDA ITEMS

City Clerk McCrackin advised one citizen wished to address Council on Non-Agenda items.

REPORTS

- a) Mayor/Mayor Pro-Tem – The Mayor mentioned the High-Speed Rail meeting earlier this week, the State of the City luncheon on June 30 and a group of business people that have

met to identify weaknesses of the City they want to bring to Council. Lastly, he said there are good things happening at the Henderson Vance Industrial Park.

Mayor Pro-Tem Coffey extended congratulations to the Police Department for making swift arrests in the recent shooting at a local gas station.

b) City Manager – Manager Blackmon mentioned:

- i. There will be a Public Safety meeting on Wednesday regarding law enforcement issues.
- ii. Youth Services will hold a forum on June 30 at Eaton Johnson regarding gun violence
- iii. Juneteenth holiday will be June 20 and City offices will be closed.
- iv. The Juneteenth celebration will be held this Saturday, June 18.
- v. The Manager attended the Love Festival on Saturday which was well-attended and supported by the City in conjunction with the DEI initiatives of the City

Council Member Elliott thanked the Mayor, Manager and Downtown Development for their involvement with the Love Festival. She thanked the police and added that they did some recruitment during the event, along with food vendors and others. There were also opportunities for vaccinations, too. She felt it was well attended and said many of those in attendance felt safe to participate.

Council Member Williams said she went not knowing what to expect but found it a wonderful learning experience. She said it was an “eye-opener” for her.

- vi. Consultants held a design workshop at McGregor Hall for the S-Line. Approximately 75 people attended this event. The more updated design for various rail stations will be presented June 20 at Grand Station in Raleigh. Henderson will host a meeting in September for the S-Line.
- vii. The Manager asked Ms. Cruz to introduce a new resident to Council. This individual has a PhD in nutritional biochemistry, and she prefers working in rural areas as they do not have access to healthy, nutritious food.
- viii. A resolution was passed unanimously by the State to name a portion of I-85 for Dr. Andrea Harris. Her foundation submitted the request which required a resolution from a government entity which the City of Henderson was happy to provide.

c) City Attorney – No Report

d) City Clerk – No Report

With no further business, Mayor Ellington asked if Council was prepared to go into Closed Session.

Council Member Rainey moved to go into Closed Session. Motion seconded by Council Member Coffey.

CLOSED SESSION

Pursuant to G.S. §143-318.11 (a)(3) regarding Attorney/Client Privilege

Council Member Elliott moved to come out of Closed Session. Motion seconded by Council Member Rainey.

ADJOURNMENT

Council Member Rainey moved for adjournment. Motion seconded by Council Member Coffey and unanimously approved. The meeting adjourned at 7:40 p.m.

Eddie Ellington
Mayor

ATTEST:

Esther J. McCrackin, City Clerk

Good evening, Mayor, City Council Members, City Manager, and staff. Thank you for allowing the Fire Department to share with this assembly an account of a significant event that occurred this past January.

On the evening of January 16th, 2022, at 8:00 pm, fire stations 1 and 2 were dispatched to a residence for a reported structure fire with smoke and flames visible with two occupants in the house. Engine 1, the Battalion Chief (Battalion 1), and Ladder 1 responded from station 1. Engine 4 responded from station 2 and all units responded emergency traffic to the scene. While the fire units were en route, the Vance County Communications Center advised that there was a Henderson Police Officer on scene who stated that there was fire coming from the back of the house and that there was an occupant still inside the dwelling that could not get out. The Battalion Chief and Engine 1, arrived on scene at 8:02, followed shortly by Ladder 1 at 8:03, and Engine 4 at 8:04. The Battalion Chief established command and marked the fire as a working house fire and asked for central to initiate a priority one callback which is a procedure where off duty personnel are called back in to work to staff an engine that can be ready to answer any further emergency calls.

Engine 1 personnel deployed a 1 3/4" hand line toward the rear of the right side of the structure while Battalion Chief Twisdale completed a 360 degree walk around. A second line was deployed for the rapid intervention team. Heavy fire and smoke conditions were found all along the rear of the 1125 square foot, single family dwelling, with lighter smoke presenting from the eaves on all other sides of the structure. Ladder company personnel attempted to open the front as well as the left side door to gain access to the structure and were met with hoarder conditions with belongings stacked up completely blocking both doorways from floor to ceiling. Captain Bolton, the officer in charge on Engine 1, made his way to the back door under the covered carport area while Firefighter Ramos stretched the hose line and positioned it at the back door.

Captain Bolton was informed that the resident who had gotten out was saying that her child was still inside. Upon hearing this, Captain Bolton made a split-second decision to do a quick sweep of the kitchen and dining area, looking for the victim that was reportedly trapped inside near the area involved in fire. He was met with fire conditions that were unbearable but did clear two rooms before the heat and flames became too intense to bear, sustaining heavy damage to his personal protective gear and burns to his shoulders and upper arm area. He immediately exited the structure and notified command of his injury. After being injured, Captain Bolton considered re-entering the structure but was escorted to an ambulance for assessment. EMS began treating him and he was transported to the UNC burn center for assessment and treatment. Immediately after his exit, firefighters knowing that the fire would continue to increase in volume and intensity knew they had to begin suppressing the fire so that they could re-enter the dwelling to complete a primary search. When the firefighters resumed the search, they found a female victim just inside the living room adjacent to fire area. The victim was found face down on the floor in front of a recliner surrounded by clutter that made it difficult to locate her. The 61year old female was removed by firefighters through the back door. After being removed from the house, patient care was transferred to Vance Co EMS.

Captain Joshua A Bolton attempted to rescue a trapped victim inside of a burning structure despite the threat of personal injury and attempted to find the trapped victim inside the home. He did this in conditions that were so extreme that he sustained second degree burns to areas of his shoulders and arm with some portions being third degree. During this act of heroism, he did not

reach the victim, but helped to rule out the most intense fire areas and allowed the remaining personnel to search the adjacent areas where the victim was found. After a lengthy hospital stay, the victim is out and receiving rehabilitation care in a local facility. She has spoken with Captain Bolton by telephone since her discharge from the hospital. Captain Bolton's split-second decision to search the rear of the structure without regard to his own personal safety allowed his crew to continue the search and locate the victim where he left off. His decision to enter the structure before the application of water was made for the purpose of protecting the victim from deadly steam that would have been generated by the water. If the victim would have been in the back rooms, the outcome would have been worse for the victim if the application of water had been made prior to her removal. It is the opinion of the commendation committee and the Fire Chief that Captain Joshua A Bolton be granted a medal of valor for his actions to preserve or attempt to preserve the life of another during conditions that were extremely life-threatening for himself as well as the victim trapped inside the structure. It is also recognized that not only did Captain Bolton risk his life for the trapped victim, but he endured the stresses of intense fire and heat and kept other members of his crew just outside the door so they would not be exposed to the extreme conditions.

The committee also recognizes that the successful rescue of the fire victim was accomplished by the efforts of both engine companies along with the ladder company under the leadership of Battalion Chief Tim Twisdale. This team's efforts were successful due to many factors. One factor was that the victim had the benefit of competent and brave professionals coming for her that continually train for every conceivable contingency in such an event as this one. Another major factor was that the victim was fortunate enough to live just ½ mile from the closest fire station which is certainly not the case for all properties in this city. Given the actions of the following personnel it is the opinion of the committee and the Fire Chief that the following commendations are to be made: The Life Saving Medal which is awarded to members of our department who saves the life of another person through proper actions is to be presented to Captain Kyle Holtzman, Master Firefighter Watkins Renn Hale, Senior Firefighter Zack Short, and Firefighter William Breedlove for their part in locating and removing the victim from the burning house. While not receiving a commendation medal today, the following personnel should also be recognized. Captain William Boyd, Engineer Dylan Dickerson, Firefighter William Ramos, and Firefighter Devin Sherrod who performed fire suppression, forcible entry and search functions while Master Firefighter Trenton Clark operated the pump on Engine 1 that provided the vital fire streams at this incident. With the council's permission we would like to present the gentlemen receiving their commendation metals to you now.

By Fire Chief Steve Cordell



AGENDA

Henderson City Council Regular Virtual Meeting

Monday 13 June 2022 6:00 p.m.

R. G. (Chick) Young, Jr. Council Chambers, Municipal Building

134 Rose Avenue

Henderson, North Carolina

Mayor and City Council Members

Mayor Eddie Ellington, Presiding

Councilmember Marion B. Williams
Councilmember Sara M. Coffey
Councilmember William Burnette
Councilmember D. Michael Rainey
Councilmember-Elect Lamont Noel

Councilmember Melissa Elliott
Councilmember Garry D. Daeke
Councilmember Jason A. Spriggs
Councilmember Ola Thorpe-Cooper

City Officials

E. Terrell Blackmon, City Manager
D. Rix Edwards, City Attorney
Esther J. McCrackin, City Clerk

CALL TO ORDER

ROLL CALL

INVOCATION AND PLEDGE OF ALLEGIANCE

OPENING REMARKS

In order to provide for the highest standards of ethical behavior and Transparency in Governance as well as provide for good and open government, the City Council has approved Core Values regarding Ethical Behavior¹ and Transparency in Governance². The Mayor now inquires as to whether any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council. If any Council Members knows of a conflict of interest, or appearance of conflict, please state so at this time.

¹ **Core Value 4: Ethical Behavior:** We value the public trust and will perform our duties and responsibilities with the highest levels of integrity, honesty, trustworthiness and professionalism.

² **Core Value 10: Transparency in Governance:** We value transparency in the governance and operations of the City.

ADJUSTMENTS TO AND/OR APPROVAL OF THE AGENDA

APPROVAL OF MINUTES

09 May 2022 Regular Meeting
16 May 2022 Budget Work Session #1
19 May 2022 Budget Work Session #2
23 May 2022 Budget Work Session #3

PRESENTATION/RECOGNITION

Fire Department Recognition

PUBLIC HEARING

CAF 22-62 Adopt the Comprehensive Plan for the City of Henderson

Requested by: Development Services Director Corey Williams

Explanation: Chapter 160D, Article 5 of the North Carolina General Statutes requires adoption and reasonable maintenance of a comprehensive plan as a condition of adopting and applying zoning regulations. The Comprehensive Plan is intended to set forth goals, policies, and programs to guide the present and future physical, social, and economic development of the jurisdiction. A comprehensive or land use plan uses text and maps to designate the future use or reuse of land. A land use plan is intended to guide coordinated, efficient, and orderly development within the planning and development regulation jurisdiction based on an analysis of present and future needs.

Insight Planning and Development, the Planning Board, and staff have been working on creating a new Comprehensive Plan since June 2021. There have been several meetings throughout the year and City webpages dedicated to the comprehensive plan development. A community public engagement meeting was held March 22, 2022, at Aycock Recreation Center where over 70 citizens attended and participated.

A copy of the Comprehensive Plan may be obtained through the Development Services department.

Fiscal Note: Comprehensive Plan development has cost \$75,000, which was a part of the FY 22 budget.

Recommendation: The Planning Board met on May 16, 2022, and unanimously approved the recommendation to adopt the proposed Comprehensive Plan developed by Insight Planning and Development.

Attachments: Ordinance 22-12
Planning Board Minutes

CAF 22-54 Amending the City Code and Zoning Ordinance to Allow the Planning Board and Board of Adjustment Extraterritorial Jurisdiction (ETJ) Members Full Voting Privileges on City and ETJ Matters

Requested by: Development Services Director Corey Williams

Explanation: The Planning Board and Board of Adjustment have had issues with establishing a quorum for meetings. After discussion among board members and staff, the idea of allowing ETJ members to vote on City related matters was brought before the Boards and Commissions Committee in April and the Planning Board in May, and both recommended allowing ETJ members full voting privileges on City and ETJ matters.

Fiscal Note: There is no financial impact. The City currently pays both City and ETJ board members the same rate of pay.

Recommendation: Approved the Amendments to the Ordinances

Attachments: Ordinance 22-09
Ordinance 22-09
Planning Board Minutes 05-16-22

PUBLIC COMMENT PERIOD ON AGENDA ITEMS

Citizens may only speak on Agenda items at this time. Citizens wishing to address the Council must sign-in on a form provided by the City Clerk prior to the beginning of the meeting. The sign-in form is located on the podium. When recognized by the Mayor, come forward to the podium, state your name, address and if you are a city resident. Please review the Citizen Comment Guidelines that are provided below.³

³ **Citizen Comment Guidelines for Agenda Items**

The Mayor and City Council welcome and encourage citizens to attend City Council meetings and to offer comments on matters of concern to them. Citizens are requested to review the following public comment guidelines prior to addressing the City Council.

- 1) Citizens are requested to limit their comments to three minutes; however, the Mayor, at his discretion, may limit comments to three minutes should there appear to be a large number of people wishing to address the Council;
- 2) Comments should be presented in a civil manner and be non-personal in nature, fact-based and issue oriented. Except for the public hearing comment period, citizens must speak for themselves during the public comment periods;
- 3) Citizens may not yield their time to another person;
- 4) Topics requiring further investigation will be referred to the appropriate city official, Council Committee or agency and may, if in order, be scheduled for a future meeting agenda;
- 5) Individual personnel issues are confidential by law and will not be discussed. Complaints relative to specific individuals are to be directed to the City Manager;
- 6) Comments involving matters related to an on-going police investigative matter and/or the court system will not be permitted; and
- 7) Citizens should not expect specific Council action, deliberation and/or comment on subject matter brought up during the public comment section unless and until it has been scheduled as a business item on a future meeting agenda.

NEW BUSINESS

CAF 22-55 Adoption of the FY 22-23 Budget and Fee Schedule

Requested by: Finance Director Joey Fuqua

Explanation: Consensus Achieved

Fiscal Note: The FY 22-23 Recommended Budget was presented to Council on May 9, 2022, and discussed further during several work sessions along with the Public Hearing held on May 23, 2022. A summary of the comments and discussion from the Council may be found in the Council Minutes. There were no comments received during the Public Hearing, so Council continued to deliberate on the budget.

After review of an assortment of budget items and overall recap of the total budget, there was a consensus of the Council to recommend approval of the FY 23 budget during the Regularly Scheduled meeting on Monday, June 13, 2022.

A complete summary of the changes made to the Recommended Budget are below:

Fund	Recommended Budget	Adopted Budget
General Fund	\$22,688,450	\$22,688,450
Powell Bill Fund	\$525,500	\$525,500
Regional Water Fund	\$5,312,490	\$5,312,490
Water Fund	\$7,580,571	\$7,580,571
Sewer Fund	\$5,567,577	\$5,567,577
Capital Reserve Funds	\$2,122,435	\$2,122,435
Total Budget	\$43,797,023	\$43,797,023
Inter-fund Transfers	(\$4,246,500)	(\$4,246,500)
Total Adjusted Budget	\$39,550,523	\$39,550,523

- Regional Water Fund
 - No rate increase was recommended.
- Water Fund
 - No rate increase was recommended.
- Sewer Fund
 - No rate increase recommended.

- General Fund

- The property tax rate is recommended to remain at .712; the sanitation fee remains the same and Council's consensus on the Budget did not change this recommendation. The changes made to the Fund are as follows:
 - Health insurance will be with Blue Cross Blue Shield and the deductible is \$5,000 per employee with a Health Care Reimbursement Account component that supplements staff who exceed the \$3,000 level dollar-for-dollar up to \$1,500. The cost to the City per employee is \$632.87 per month.
 - A 1% 401K contribution and longevity plan for remains in effect for full-time staff.

All Other Funds

- There were no changes made to the following funds' recommended budgets:
 - 70: Capital Reserve Utilities Fund.
 - 72: Capital Reserve General Fund; and 73: Capital Reserve Economic Development Fund.

Annual Fee Schedule

There were no noteworthy changes to the fee schedule.

Recommendation: Approve the FY 22-23 Proposed Budget

Attachments: Ordinance 22-10

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CAF 22-63 Acceptance of 20 MGD Guaranteed Maximum Price (GMP) with CDM Smith

Requested by: Kerr Lake Regional Water Director Christy Lipscomb

Explanation: The Kerr Lake Regional Water System Advisory Board met on May 24, 2022, and voted unanimously to accept the GMP from CDM Smith Inc. for the Kerr Lake Regional Water Plant 20 MGD upgrade. Funding has been secured and the next step is to submit to the Local Government Commission to receive their approval to move forward.

Fiscal Note: The City of Henderson will allocate funds from various funding sources in the amount of \$79,605,000 for this work.

Recommendation: Accept funding.

Attachments: Resolution 22-51
Guaranteed Maximum Price

CAF 22-53 Dedication and Acceptance of St. Charles Drive as a City Street

Requested by: Development Services Director Corey Williams

Explanation: St. Charles Drive was built with the development of St. Charles Apartments located west of, or behind Maria Parham Medical Center off Charles Rollins Road. St. Charles Drive was built in accordance with approved plans and City specifications. If approved, St. Charles Drive will be maintained by the City and the street will be added to the Powell Bill System and will consist of approximately 0.14 additional miles.

Fiscal Note: Unknown

Recommendation: Accept St. Charles Drive as a City Street

Attachments: Resolution 22-45
Ordinance 22-07
Street Conveyance and Dedication
St. Charles Final Plat

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CAF 22-60 Funding Transfer for Tar-Pamlico Stormwater Ordinance Revisions

Requested by: Kerr Lake Regional Water Director Christy Lipscomb

Explanation: AECOM, who has been working on the City's stormwater MS4 plan and other stormwater related issues, will revise the City's Tar-Pamlico Stormwater Ordinance. These revisions are required by the State to stay in compliance.

Fiscal Note: Since the City has not created a Stormwater Utility fund, \$20,000 will be transferred from a CIP water fund account to the already utilized Stormwater CIP account.

Recommendation: Approve the transfer.

Attachments: Resolution 22-49
Ordinance 22-11

CAF 22—51.1 Approving the Seventh Amendment to the Franklin County Water Agreement

Requested by: City Manager E. Terrell Blackmon

Explanation: At its April 12, 2021, regular meeting, the Henderson City Council approved a Sixth Amendment to the Franklin County Water Agreement that increased the supply of water by 450,000 GPD to 3.45 MGD. The price remained at \$4.37 per gallon and the term of the agreement was for thirty-six (36) months from the date of execution of the amendment by both parties; or to the date the Kerr Lake Regional Water System Plant Upgrade is completed, this completion to be determined by the City.

Due to the delay with the start of the project and the need for a consistent water source for allocation purposes, Franklin County has requested that the Sixth Amendment be modified to lengthen the term an additional forty-eight (48) months beyond the expiration date of the executed Sixth Amendment. This would be the Seventh Amendment to the original contract.

Fiscal Note: The increase in water supply to Franklin County will generate additional revenue for the City of Henderson.

Recommendation: Staff recommends that Council approve the Seventh Amendment of the Franklin County Water Agreement by extending the term of the Sixth Amendment forty-eight (48) months from the date of expiration of the Sixth Amendment by the parties.

Attachments: Resolution 22-43.1
Seventh Amendment to Franklin County Water Agreement

CONSENT AGENDA

All matters listed under the Consent Agenda are considered to be routine or have been previously discussed, and can be approved in one motion, unless a Council Member asks for separate consideration of an item.

CAF 22-59 Accepting the Official Results of the 17 May 2022 Municipal Election

Requested by: City Clerk Esther McCrackin

Explanation: The City Clerk has received the abstract of votes for the City of Henderson's Municipal Election held on May 17, 2022, by the Vance County Board of Elections office. Only two seats were contested, and the results are to be filed with the City Clerk's office.

The 2021 elections were delayed due to the 2020 Census and the required redistricting; therefore, those elected in this election will serve a three-year term.

The certified results of said election are as follows:

Ward 1 Three (3) Year Term; At-Large Council Member Sara Coffey
Ward 2 Three (3) Year Term; At-Large Council Member Lamont Noel
Ward 3 Three (3) Year Term; Ward Seat Garry Daeke
Ward 4 Three (3) Year Term; Ward Seat Ola Thorpe-Cooper

Fiscal Note: None

Recommendation: Accept the municipal election results.

Attachments: Resolution 22-48

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CAF 22-58 Disposition of two Jointly Owned Properties by the City and County Identified as 0 Hall Street Lot, Recorded in Vance County Tax Deed Book 1326, Page 0115, Further Identified as PIN #0058 03007, and 248 Denver Street, Recorded in Vance County Tax Deed Book 1235 Page 9527, Further Identified as PIN #0058 04002.

Requested by: City Manager E. Terrell Blackmon

Explanation: Vance County Board of Commissioners received an offer to purchase the properties located at 0 Hall Street and 248 Denver Street. The sale of the property will be taken before the Vance County Board during their June 2022 meeting.

The offer to purchase 0 Hall Street is \$1,000. The assessed tax value is \$6,000. Unpaid County taxes total \$480 and the unpaid City taxes total \$370 for a total of \$850 in unpaid taxes. There is also \$1,315 in accumulated interest and \$3,000 in Attorney fees associated with this property.

The offer to purchase 248 Denver Street is \$1,000. The assessed tax value is \$6,800. Unpaid County taxes total \$1,974.72 and the unpaid City taxes total \$1,120.06 for a total of \$3,094.78 in unpaid taxes. There is also \$525.22 in accumulated interest and \$2,955 in Attorney fees associated with this property.

Fiscal Note: If Council approves the transfer of this property to Vance County, it will be with the understanding upon the sale that the proceeds will be shared on a pro rata basis.

Recommendation: Staff recommends transferring these properties

Attachments: Resolution 22-47
Offers to Purchase, Deeds, Map

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CAF 22-57 Submission of an Application to the Bureau of Justice Assistance Bulletproof Vest Program FY22 Grant

Requested by: Police Chief Marcus Barrow

Explanation: The Henderson Police Department (HPD) is seeking funding from the US Department of Justice Bureau of Justice Assistance (BJA) Bulletproof Vest Program (BVP) to reimburse the City up to 50% of the cost of purchasing Ballistic Vests (\$8961.38) for newly hired Police Officers and to replace old vests that are either broken or have exceeded their expiration date.

The grant would cover any vests purchased after April 2022 and after the funding for the current 2021 BJA BVP grant has been expended. Refunds will be for the cost of body armor already submitted as part of the agency's FY 23 Agency Budget under "Uniforms" line item.

Fiscal Note: Grant funding from this program would provide up to 50% reimbursement (\$4,480.69) for ballistic armor purchased for sworn Henderson Police Officers.

Recommendation: Staff recommends approving the Resolution.

Attachments: Resolution 22-46

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CAF 22-61 Accept State Reserve Loan Program (SRP) Offer for Sandy Creek Basin Fix and Find Project

Requested by: Kerr Lake Regional Water Manager Christy Lipscomb

Explanation: At the April 2022 meeting, Council approved the submission of a State SRP loan application to assist in addressing a number of Inflow and Infiltration issues in the Sandy Creek Basin. The City's loan application has been approved from the Water Infrastructure Fund in the amount of \$2,542,553. WK Dickson Engineering will be working with a contractor to use these funds to obtain the best results of finding and fixing areas that will contribute to a reduction in Sanitary Sewer Overflow issues.

Fiscal Note: \$2,542,553 added to Debt Service

Recommendation: Accept the loan.

Attachments: Resolution 22-50
Funding Offer and Acceptance for State SRP Loan

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CAF 22-14.1 Administrative Guidelines and Policies for Community Development Block Grant Neighborhood Revitalization (CDBG-NR) Grant #20-C-3633CDBG

Requested by: Development Services Director Corey Williams

Explanation: The City of Henderson must adopt 15 guidelines and policies related to the administration of the CDBG Grant #20-C-3633:

1. Project Budget Ordinance
2. Financial Management Resolution
3. Housing Assistance Policy
4. Housing Construction Contract Award Policy
5. Citizen Participation Plan
6. Residential Anti-displacement and Relocation Assistance Plan
7. Local Jobs Initiative (Section 3) Plan
8. Temporary Relocation Policy
9. Code of Conduct
10. Fair Housing Policy
11. Excessive Force Policy
12. Procurement Standards Policy/Plan
13. Equal Opportunity Plan
14. Language Assistance Plan (Providing Meaningful Communication with Persons with Limited English Proficiency)
15. Recipient's Plan to Further Fair Housing

Fiscal Note: None

Recommendation: Approve the guidelines and policies.

Attachments: Resolution 22-43

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CAF: 22-56 Tax Releases and Refunds from Vance County for the Month of April 2022

Requested By: Finance Director Joey Fuqua

Explanation: The Vance County Tax office submitted the following tax releases and refunds to the Finance Department for the month of April 2022. These records are found to be in order and are being recommended for approval.

April 2022 Tax Releases & Refunds			
Name	Reason	Tax Year	Amount
Real & Personal Property Releases			
Burgess, Wesley	Personal Property Billed In Error	2021	\$ 65.49
Hill, Valerie	Personal Property Billed In Error	2021	\$ 105.80
Dukenet Communications	Personal Property Billed In Error	2021	\$ 0.61
Real & Personal Property Releases - Total			\$ 171.90
Real & Personal Property Refunds			
			\$ -
Real & Personal Property Refunds - Total			\$ -
Gap Bill Discoveries			
Miscellaneous	Discoveries	2022	\$ 1,020.00
Gap Bill Discoveries - Total			\$ 1,020.00
Real & Personal Property Discoveries			
Ransom, Kirby	Discovery	2022	\$ 2,551.51
Real & Personal Property Discoveries - Total			\$ 2,551.51
Audit Discoveries			
			\$ -
Audit Discoveries - Total			\$ -
Total Refunds, Releases, & Discoveries			\$ 3,743.41

PUBLIC COMMENT PERIOD ON NON-AGENDA ITEMS

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REPORTS

- a)** Mayor/Mayor Pro-Tem (No Report)
- b)** City Manager (No Report)
- c)** City Attorney (No Report)
- d)** City Clerk
 - i. Meeting and Events Calendar
 - ii. E-911 Monthly Report
 - iii. Fire Department Monthly Report
 - iv. Police Monthly Report
 - v. Public Services Monthly Report

CLOSED SESSION

Pursuant to G.S. §143-318.11 (a)(3) regarding Attorney/Client Privilege

ADJOURNMENT